

Costing

Oracle Fusion has four Costing Methods:

First: Average Cost

Moving Average or Weighted Average.

Second: Actual Cost

Each quantity received into inventory is calculated separately using its own Actual Cost.

Third: Periodic Average Cost

Cost is calculated based on an average cost over a specific accounting period.

Fourth: Standard Cost

Inventory is valued using a predefined Standard Cost.

Standard Cost

It means that I manually enter the inventory value in the warehouse.

This inventory value does not change regardless of the purchase cost, unless I manually update it.

It is simply the calculation of the inventory value or the item value inside the warehouse, which is manually entered on an active Cost scenario, effective from a specific date to another date, until it is changed or updated with a new effective date.

Example:

If I receive 100 units at 5 USD, while the Standard Cost is 10 USD, then the inventory will be recorded at 1,000 USD, because the Standard Cost is set to 10 USD per unit.

So, where does the difference (increase or decrease) go?

It goes to Purchasing Price Variance (PPV).

We will understand this more clearly when we study the accounting entries, but for now, think of it like a money box:

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

- I purchased the item at 5 USD, but it is received into inventory at 10 USD.
- The 5 USD difference is placed into the “money box” (PPV).
- If the situation is reversed, the difference is also placed in the same box, but as a Debit.

I record positive differences as (+) and negative differences as (–).

At the end of the period, these amounts are netted together, and the system shows the total inventory variance, which is posted to a specific accounting account.

Average Cost:

I don't have a fixed cost here.

I calculate each transaction individually and apply a formula in order to determine the Balance Unit Cost after the transaction.

The formula is:

((Transaction Quantity × Unit Price))

Plus (+)

((On-hand Quantity before the transaction × Balance Unit Cost before the transaction))

Divided by (÷):

(Transaction Quantity + On-hand Quantity before the transaction)

Periodic Average Cost:

For example, someone told me:

“I want to receive inventory throughout the month, but when I issue inventory, I want it to be issued using the average cost of all receipts during the month.

This means that an issue transaction on day 2 of the month will have the same cost value as an issue transaction on day 31, so that the issue cost is unified across the entire month.”

The final inventory value is calculated based on the monthly average, and then the system reprocesses all issue transactions that occurred within the same period and costs them using the same average value.

Created By: Islam Afify



+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

The receipt average cost and the issue cost are unified across the month.
That is why it is a mandatory requirement to close the previous period.

The formula is:

(Total value of all receipts during the period)
÷
(Total quantities received)

When opening a new month, the Opening Balance will be the Closing Balance of the previous month.

Actual Cost:

Each receipt is handled individually.

For example, you received:

100 units at 10 USD, and then •

200 units at 11 USD. •

When you issue 50 units, the system will calculate the cost as:

50×10 USD.

This means that 50 units remain from the first receipt.

For the next issue, you want to issue 70 units, after the receipt at 11 USD.

How will the system handle this?

The system will calculate it as:

50×10 USD, and •

20×11 USD, •

because it follows the First In, First Out (FIFO) principle: the earliest receipt is consumed first.

If, for example, you want to issue 200 units, and the next receipt was 200 units at 12.25 USD, the system will behave as follows:

The remaining 20 units (from the previous issue) will be taken first, •

Created By: Islam Afify



+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Then it will calculate 180×11 USD, •

And finally, the remaining quantity will be calculated as 20×12.25 USD. •

.....

Costing Structure

If the business asks us to combine two or more Inventory Organizations (Inv. Orgs), the system will calculate the average cost across them.

For example, if an item is received in Inventory 1, its average cost will be calculated together with Inventories 2, 3, and 4.

This means that when we tell the system for all the sales organizations:

“Whenever I receive inventory in one of them, average it with all balances in the other warehouses,”

it is possible.

How?

I created a Level (LVL) and placed it at the top of the hierarchy.

As long as all warehouses are under the same Business Unit (BU), I can create a Cost.Org, so that I can include all warehouses 1, 2, 3, and 4.

It is also possible to work on the Inventory Organization and want to separate at the Sub-Inventory level:

For example, if an item is placed in Raw, it will average only with Raw.

Similarly, if it is placed in FG, it will average only with FG, and so on.

All of this is possible.

Instead of the previous setup in the Cost Structure at the Cost.Org / Inv.Org level, I can change it to:

Cost.Org / Inv.Org / Sub.Inv.

Created By: Islam Afify



+2 01060903831



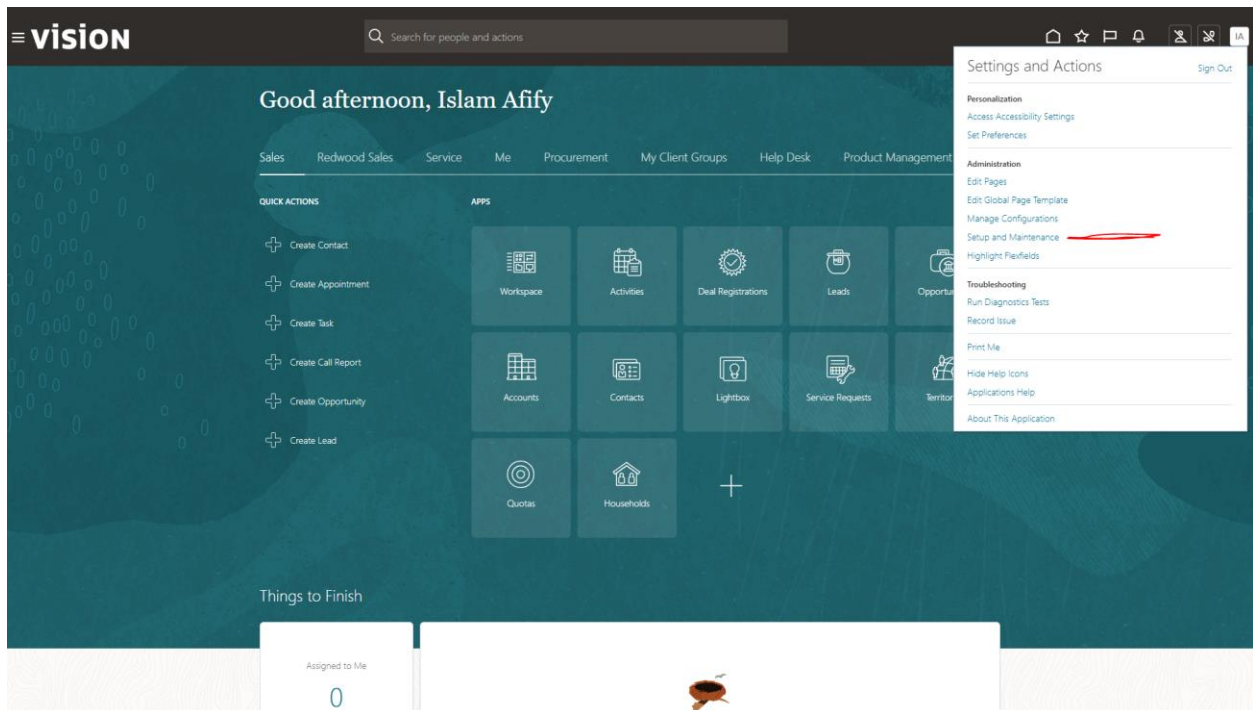
LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

This way, I tell the system:

“When you see Sub.Inventory X, create a separate Valuation Unit for it” — meaning a separate unit for inventory valuation.

The same steps can also be applied to Lot Numbers.

*Manage Costing Key Flexfields



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

vision							
Manage Costing Key Flexfields ⓘ							
Search Results							
Actions View Format Freeze Detach Wrap Manage Structures Manage Structure Instances Deploy Flexfield							
Application	Key Flexfield Name	Key Flexfield Code	Module	Entity Usages	Deployment Status	Deployment Error Message	Deployment Date
Cost Management	Valuation Unit Flexfield	VALU	Core Setup		✓		15/06/24 02:31 ...

vision							
Manage Costing Key Flexfields ⓘ							
Search Results							
Actions View Format Freeze Detach Wrap Manage Structures Manage Structure Instances Deploy Flexfield							
Application	Key Flexfield Name	Key Flexfield Code	Module	Entity Usages	Deployment Status	Deployment Error Message	Deployment Date
Cost Management	Consigned Flexfield	CONS	Core Setup		✓		23/03/21 07:10 ...

We will just look at what exists.

Created By: Islam Afify

 +2 01060903831

 LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Manage Cost.Org

vision
Setup: Manufacturing and Supply Chain Materials Management

Functional Areas

- Initial Users
- Enterprise Profile
- Legal Structures
- Financial Reporting Structures
- Organization Structures
- Customers
- Suppliers
- Facilities
- Users and Security
- Items
- Carriers and Transit Times
- Catalogs
- Inventory Management
- Advanced Inventory Management
- Receiving

Change Feature Opt In

Search Tasks

Cost Accounting

View Format Freeze Detach Wrap Show Required Tasks

Task	Scope	Actions
Manage Cost Organizations		
Cost Organizations		
Manage Cost Organization Data Access for Users		
Manage Cost Books		
Cost Books		
Manage Cost Organization Relationships		
Cost Organization Relationships		
Valuation Structures		
Cost Elements		
Cost Component Mappings		
Columns Hidden: 3		

vision
Create Cost Organization

Create new
Select an existing organization to define as a Cost Organization

Cost Organization

*Effective Start Date: 01/01/01

*Name: AFI Cost Org

*Status: Active

*Cost Organization Code: AFI_Cost_Org

*Legal Entity Name: US1 Legal Entity

Save Save and Close Cancel

Manage Cost.Books

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

For example, if I have four partners, each from a different school:

One of them says: “The best method I used to calculate inventory value is Standard Cost.”

The second says: “No, Average Cost is better.”

The third says: “Periodic Average is the best.”

The fourth says: “Actual Cost is the most accurate.”

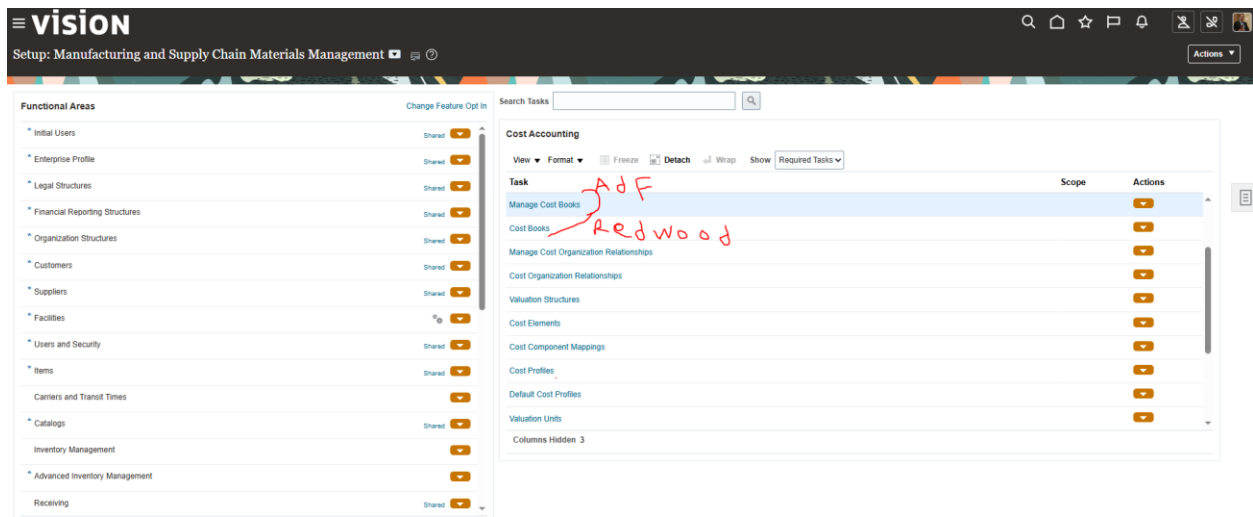
Each of them opened an Excel sheet to show their preferred method.

We can implement all four methods in the system, but with one condition:

One of them must be used for the General Ledger (G.L.), meaning it will be considered as the inventory value in the financial statements.

In simple terms, for now this is temporary, and we will review the details later.

We need to create four separate books, each recording different data according to each method.



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

vision
Manage Accounting Cost Organization Relationships

Search

Cost Organization: Equals [] Profit Center Business Unit: Starts with []
Legal Entity Name: Starts with []

Advanced Saved Search All Cost Organizations

Search Results: Cost Organizations

Actions View Format Freeze Detach Wrap

* Cost Organization	Cost Organization Code	Legal Entity Name	* Item Validation Organization
AFI Cost Org	AFI_Cost_Org	US1 Legal Entity	ISF Master Organization

Columns Hidden: 2

Relationships

Set Assignments Inventory Organizations Cost Books

Actions View Format Freeze Detach

* Reference Data Object	* Reference Data Set Name	Reference Data Set Code
No data to display.		

Here, it asks me: where should I get the list of items from?

I will select it from the Master.

vision
Manage Accounting Cost Organization Relationships

Search

Cost Organization: Equals [] Profit Center Business Unit: Starts with []
Legal Entity Name: Starts with []

Advanced Saved Search All Cost Organizations

Search Results: Cost Organizations

Actions View Format Freeze Detach Wrap

* Cost Organization	Cost Organization Code	Legal Entity Name	* Item Validation Organization
AFI Cost Org	AFI_Cost_Org	US1 Legal Entity	ISF Master Organization

Columns Hidden: 2

Relationships

Set Assignments Inventory Organizations Cost Books

Actions View Format Freeze Detach

* Reference Data Object	* Reference Data Set Name	Reference Data Set Code
Costing Core Setups	Enterprise Set	ENTERPRISE

NOTE:

My abbreviations, AFI or ISF, may appear in some images one way, and differently in other images. ✓

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

VISION
Manage Accounting Cost Organization Relationships

Search Results: Cost Organizations

* Cost Organization	Cost Organization Code	Legal Entity Name	* Item Validation Organization
ISF Cost Org	ISF_Cost_Org	US1 Legal Entity	ISF Master Organization

Columns Hidden: 2

ISF Cost Org: Relationships

Name	Manufacturing Plant	Profit Center Business Unit	* Effective Start Date	Effective End Date	Attachments	Status
ISF Inventory 3	---	ISF BU	01/12/25		None	Active
ISF Inventory 1	✓	ISF BU	01/12/25		None	Active
ISF Inventory 2	---	ISF BU	01/12/25		None	Active

VISION
Manage Accounting Cost Organization Relationships

Search Results: Cost Organizations

* Cost Organization	Cost Organization Code	Legal Entity Name	* Item Validation Organization
ISF Cost Org	ISF_Cost_Org	US1 Legal Entity	ISF Master Organization

Columns Hidden: 2

ISF Cost Org: Relationships

Cost Book	Ledger	Primary Book	Periodic Average Cost	Currency	Accounting Calendar	Create Accounting	First Opened Period	Constant Dollar Reporting Rate Type	US Dollar Reporting Rate Type	Maximum Open Periods	Effective Start Date	Effective End Date	Attachments
ISF A-Cost Book C-O	US Primary Ledger	⊕		USD	AccountingMY	⊕	12-25	Corporate	Corporate	1	01/13/25		None
ISF A-Cost Book C-O-S				USD	AccountingMY		12-25	Corporate	Corporate	3	01/13/25		None
ISF A-Cost Book C-O-LDT				USD	AccountingMY		12-25	Corporate	Corporate	2	01/13/25		None
ISF S-Cost Book C-O				USD	AccountingMY		12-25	Corporate	Corporate		01/13/25		None
ISF Periodic Average C-O			⊕	USD	AccountingMY		12-25	Corporate	Corporate	1	01/13/25		None

Columns Hidden: 1

ISF A-Cost Book C-O: Period End Validations

Validation Type	Period Close	Final Period Close	Action
Pending cost processing	⊕	⊕	Error
Pending preprocessing	⊕	⊕	Error
Pending preprocessing of trade events	⊕	⊕	Error
Pending preprocessing of manufacturing transactions	⊕	⊕	Error
Pending onsite accounting in final mode	⊕	⊕	Error

We will select one of them to be the Primary Book, and since we are choosing a Primary, we must also assign a Ledger to it.

Note

You might be in an international company, and the company tells you:

“We want to see the inventory value in USD and in EUR.”

Created By: Islam Afify



+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

In this case, I will create two Cost Books working in the same way:

One linked to the Primary Ledger in USD, and

One linked to the Secondary Ledger in EUR.

This way, all transactions will be valued in both USD and EUR.

The screenshot displays the SAP Vision 'Manage Accounting Cost Organization Relationships' interface. A modal dialog titled 'ISF A-Cost Book C-O: Edit Cost Book Association' is open, showing configuration for a cost book. The dialog includes fields for 'Cost Book' (ISF A-Cost Book C-O), 'Currency' (USD), 'Accounting Calendar' (AccountingMM/Y), 'Effective Start Date' (01/12/25), 'Ledger' (US Primary Ledger), 'Conversion Rate Type' (Corporate), 'Constant Dollar Reporting Rate Type' (Corporate), 'US Dollar Reporting Rate Type' (Corporate), 'First Opened Period' (12-25), 'Maximum Open Periods' (1), 'Effective End Date' (infinity), and a 'Create Accounting' checkbox. Below these fields is a 'Period End Validations' table.

Validation Type	Period Close	Final Period Close	Action
Completed work orders not closed	✓	✓	Error
Pending revenue recognition events import	✓	✓	Error
Pending interface	✓	✓	Error
Pending cost processing	✓	✓	Error
Pending preprocessing	✓	✓	Error

The background interface shows a list of cost organizations and a table of 'ISF A-Cost Book C-O: Period End Validations' with columns for 'Period Close', 'Final Period Close', and 'Action'.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

vision
Manage Accounting Cost Organization Relationships

Search Results: Cost Organizations

ISF Cost Org

Columns Hidden: 2

ISF Cost Org Relationships

Set Assignments Inventory Organizations Cost Books

Cost Book Ledger

ISF A-Cost Book C-O

US Primary Ledger

ISF A-Cost Book C-O-S

ISF A-Cost Book C-O-LOT

ISF S-Cost Book C-O

ISF Periodic Average C-O

Columns Hidden: 1

ISF A-Cost Book C-O-S: Period End Validations

Validation Type

Completed work orders not closed

Pending revenue recognition events input

Pending Interface

Pending cost processing

Pending preprocessing

ISF A-Cost Book C-O-S: Edit Cost Book Association

Cost Book ISF A-Cost Book C-O-S

Currency USD

Accounting Calendar AccountingMMYY

Effective Start Date 01/12/25

Conversion Rate Type Corporate

Constant Dollar Reporting Rate Type Corporate

US Dollar Reporting Rate Type Corporate

* First Opened Period 12-25

Maximum Open Periods 3

Effective End Date 01/01/26

Additional Information

Period End Validations

Validation Type	Period Close	Final Period Close	Action
Completed work orders not closed	✓	✓	Error
Pending revenue recognition events input	✓	✓	Error
Pending Interface	✓	✓	Error
Pending cost processing	✓	✓	Error
Pending preprocessing	✓	✓	Error

Cost Organization Code ISF_Cost_Org

Legal Entity Name US1 Legal Entity

* Item Validation Organization ISF Master Organization

US Dollar Reporting Rate	Maximum Open Periods	Effective Start Date	Effective End Date	Attachments
Corporate	1	01/12/25		None
Corporate	3	01/12/25		None
Corporate	2	01/12/25		None
Corporate		01/12/25		None
Corporate	1	01/12/25		None

Period Close	Final Period Close	Action
⊗	⊗	Error
⊗	⊗	Error
⊗	⊗	Error
⊗	⊗	Error
⊗	⊗	Error

vision
Manage Accounting Cost Organization Relationships

Search Results: Cost Organizations

ISF Cost Org

Columns Hidden: 2

ISF Cost Org Relationships

Set Assignments Inventory Organizations Cost Books

Cost Book	Ledger	Primary Book	Periodic Average Cost	Currency	Accounting Calendar	Create Accounting	First Opened Period	Constant Dollar Reporting Rate Type	US Dollar Reporting Rate Type	Maximum Open Periods	Effective Start Date	Effective End Date	Attachments
ISF A-Cost Book C-O	US Primary Ledger	⊗		USD	AccountingMMYY	⊗	12-25	Corporate	Corporate	1	01/12/25		None
ISF A-Cost Book C-O-S				USD	AccountingMMYY		12-25	Corporate	Conversion Rate Type		01/12/25		None
ISF A-Cost Book C-O-LOT				USD	AccountingMMYY		12-25	Corporate	Corporate	2	01/12/25		None
ISF S-Cost Book C-O				USD	AccountingMMYY		12-25	Corporate	Corporate		01/12/25		None
ISF Periodic Average C-O		⊗		USD	AccountingMMYY		12-25	Corporate	Corporate	1	01/12/25		None

Columns Hidden: 1

ISF A-Cost Book C-O-LOT: Period End Validations

Validation Type

Completed work orders not closed

Pending revenue recognition events input

Pending Interface

Pending cost processing

Pending preprocessing

Validation Type	Period Close	Final Period Close	Action
Completed work orders not closed	⊗	⊗	Error
Pending revenue recognition events input	⊗	⊗	Error
Pending Interface	⊗	⊗	Error
Pending cost processing	⊗	⊗	Error
Pending preprocessing	⊗	⊗	Error

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

VISION
Manage Accounting Cost Organization Relationships

Search Results: Cost Organizations

* Cost Organization

ISF Cost Org

Columns Hidden 2

ISF Cost Org. Relationships

Set Assignments Inventory Organizations Cost Books

Actions View Format Freeze Detach Wrap

Cost Book Ledger

ISF A-Cost Book C-O US Primary Ledger

ISF A-Cost Book C-O-S

ISF A-Cost Book C-O-LDT

ISF S-Cost Book C-O

ISF Periodic Average C-O

Columns Hidden 1

ISF S-Cost Book C-O: Period End Validations

View Format Freeze Detach Wrap

Validation Type

Completed work orders not closed

Pending revenue recognition events import

Pending Interface

Pending cost processing

Pending preprocessing

ISF S-Cost Book C-O: Edit Cost Book Association

Cost Book ISF S-Cost Book C-O

Currency USD

Accounting Calendar AccountingMMYY

Effective Start Date 01/12/25

Primary Book

Conversion Rate Type Corporate

Constant Dollar Reporting Rate Type Corporate

US Dollar Reporting Rate Type Corporate

* First Opened Period 12-25

Maximum Open Periods

Create Accounting

Effective End Date 01/01/26

Additional Information

Period End Validations

Validation Type	Period Close	Final Period Close	Action
Completed work orders not closed	✓	✓	Error
Pending revenue recognition events import	✓	✓	Error
Pending Interface	✓	✓	Error
Pending cost processing	✓	✓	Error
Pending preprocessing	✓	✓	Error

OK Cancel

Cost Organization Code ISF_Cost_Org

Legal Entity Name US Legal Entity

* Item Validation Organization ISF Master Organization

IS Dollar Reporting Rate	Maximum Open Periods	Effective Start Date	Effective End Date	Attachments
Corporate	1	01/12/25		None
Corporate	3	01/12/25		None
Corporate	2	01/12/25		None
Corporate	1	01/12/25		None
Corporate	1	01/12/25		None

Period Close	Final Period Close	Action
✓	✓	Error
✓	✓	Error
✓	✓	Error
✓	✓	Error
✓	✓	Error

VISION
Manage Accounting Cost Organization Relationships

Search Results: Cost Organizations

* Cost Organization

ISF Cost Org

Columns Hidden 2

ISF Cost Org. Relationships

Set Assignments Inventory Organizations Cost Books

Actions View Format Freeze Detach Wrap

Cost Book Ledger

ISF A-Cost Book C-O-S

ISF A-Cost Book C-O-LDT

ISF S-Cost Book C-O

ISF Periodic Average C-O

ISF Actual Cost Book C-O

Columns Hidden 1

ISF Periodic Average C-O: Period End Validations

View Format Freeze Detach Wrap

Validation Type

Completed work orders not closed

Pending accounting event creation

Pending revenue recognition events import

Pending Interface

Pending accounting overhead rates absorption

ISF Periodic Average C-O: Edit Cost Book Association

Cost Book ISF Periodic Average C-O

Currency USD

Accounting Calendar AccountingMMYY

Effective Start Date 01/12/25

Primary Book

Conversion Rate Type Corporate

Constant Dollar Reporting Rate Type Corporate

US Dollar Reporting Rate Type Corporate

* First Opened Period 12-25

Maximum Open Periods 1

Create Accounting

Effective End Date 01/01/26

Additional Information

Period End Validations

Validation Type	Period Pending Close	Period Close	Final Period Close	Action
Completed work orders not closed	✓	✓	✓	Error
Pending accounting event creation	—	—	✓	Error
Pending revenue recognition events import	✓	✓	✓	Error
Pending Interface	✓	✓	✓	Error
Pending accounting overhead rates absorption	✓	✓	✓	Error

OK Cancel

Cost Organization Code ISF_Cost_Org

Legal Entity Name US Legal Entity

* Item Validation Organization ISF Master Organization

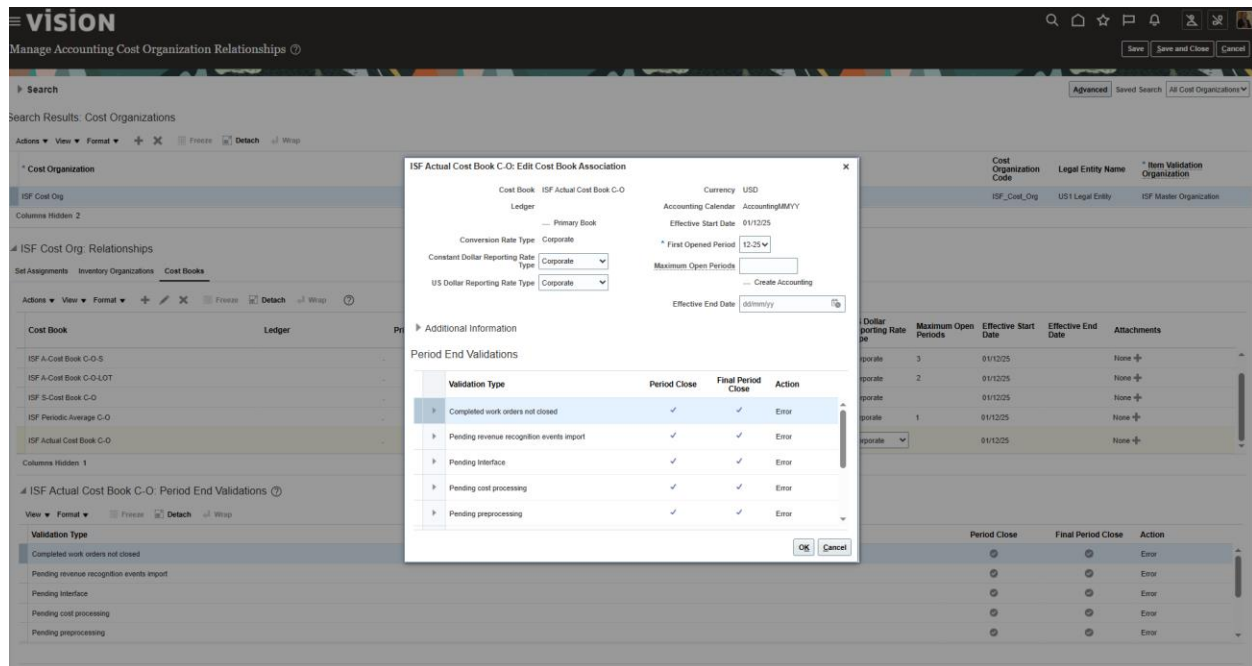
Dollar Reporting Rate	Maximum Open Periods	Effective Start Date	Effective End Date	Attachments
Corporate	3	01/12/25		None
Corporate	2	01/12/25		None
Corporate	1	01/12/25		None
Corporate	1	01/12/25		None

Period Pending Close	Period Close	Final Period Close	Action
✓	✓	✓	Error
✓	✓	✓	Error
✓	✓	✓	Error
✓	✓	✓	Error
✓	✓	✓	Error

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)



Effective Date

This is very important: it is the date from which the system will determine the accounting periods or inventory periods.

First Opened Period

The accounting period in the Ledger Calendar is very important and cannot be changed if we make a mistake.

Maximum Open Periods

If we want to have multiple accounting periods open at the same time, we can:

Keep 1 period open in the Primary Book, and

In the other Cost Books, either open 2 periods or leave them empty as if they are open.

*Of course, in the other Cost Books, we don't select a Ledger.

The other Books will be Just For Reporting, unless we have a different Calendar.

For example, if someone says:

“I want this Cost Book to calculate over a 3-month period,”

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

then we create a new Calendar in Finance and reference it here.

Valuation Structure

We need to tell the system which Valuation Structure it will work on.

Fixed Assets are anything that incurs depreciation, like a car or a fridge.

For example, a building or land does not incur depreciation.

We will just review what exists here and work on the Demo, like in the images.

The screenshot displays the SAP Materials Management (MM) interface. The top navigation bar includes the 'Materials Management' title and various icons for search, home, favorites, and notifications. Below the navigation bar, the 'Cost Accounting' task list is visible. The task list is organized into columns: 'Task', 'Scope', and 'Actions'. The tasks listed include 'Manage Costing Key Flexfields', 'Manage Cost Organizations', 'Cost Organizations', 'Manage Cost Organization Data Access for Users', 'Manage Cost Books', 'Cost Books', 'Manage Cost Organization Relationships', 'Cost Organization Relationships', 'Valuation Structures' (highlighted with a red arrow), 'Cost Elements', and 'Columns Hidden 3'. Each task has a corresponding 'Actions' button. The interface also features a 'Search Tasks' field and a 'Required Tasks' dropdown menu.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

< Valuation Structures

Search by valuation structure code or description

Valuation Structure TypeValuation Structure ModeCost Valuation GranularityValuation Structure Set

+ Add

Valuation Structure Code	Valuation Structure Type	Valuation Structure Mode	Cost Valuation Granularity	Valuation Structure Set	Description	Valuation Units	Actions
Asset Default	Asset	Both automatic and manual	Cost ORG, ORG	Enterprise Set	Asset Default		
Consignment	Consigned	Automatic	Owner Type, Owner, Original Receipt	Common Set	Consignment	Available	
Demo	Asset	Both automatic and manual	Cost ORG, ORG, Subinventory	Common Set			
Demo2	Expense	Both automatic and manual	Cost ORG, ORG, Subinventory	Common Set			
Expense Default	Expense	Both automatic and manual	Cost ORG, ORG	Enterprise Set	Expense Default		
Inv Org - Lot	Asset	Both automatic and manual	Cost ORG, ORG, Lot	Common Set	Inv Org - Lot	Available	
Inv Org - Lot - Expense	Expense	Both automatic and manual	Cost ORG, ORG, Lot	Common Set	Inv Org - Lot - Expense		
Inv Org-Asset	Asset	Both automatic and manual	Cost Organization and Inventory Organization	Common Set	Valuation Structure-Inv Org	Available	
Inv Org-Expense	Expense	Both automatic and manual	Cost Organization and Inventory Organization	Common Set	Valuation Structure-Inv Org	Available	
Inv Org-Serial	Asset	Both automatic and manual	Cost ORG, ORG, Serial	Common Set	Inv Org-Serial - Asset	Available	
Inv Org-Serial - Expense	Expense	Both automatic and manual	Cost ORG, ORG, Serial	Common Set	Inv Org-Serial - Expense		
Inv Org_Project_Task_Asset	Asset	Both automatic and manual	Cost ORG, ORG, Project, Task	Common Set	Inventory Org, Project, Task, Asset	Available	
InvOrg_Project_Task_Expense	Expense	Both automatic and manual	Cost ORG, ORG, Project, Task	Common Set	Inventory Org, Project, Task, Expense		
InvOrg_Subinventory_Asset	Asset	Both automatic and manual	Inventory Subinventory	Common Set	Inventory Subinventory	Available	
InvOrg_Subinventory_Expense	Expense	Both automatic and manual	Inventory Subinventory	Common Set	Inventory Subinventory		

Cost Component Mappings

Valuation Structures

Valuation Unit

Cost Profiles

Default Cost Profiles

Item Cost Profiles

Valuation Structures

Search by valuation structure code or description

Valuation Structure TypeValuation Structure ModeCost Valuation GranularityValuation Structure Set

+ Add

Valuation Structure Code	Valuation Structure Type	Valuation Structure Mode	Cost Valuation Granularity
Asset Default	Asset	Both automatic and manual	Cost ORG, ORG
Consignment	Consigned	Automatic	Owner Type, Owner, Original Receipt
Demo	Asset	Both automatic and manual	Cost ORG, ORG, Subinventory
Demo2	Expense	Both automatic and manual	Cost ORG, ORG, Subinventory
Expense Default	Expense	Both automatic and manual	Cost ORG, ORG
Inv Org - Lot	Asset	Both automatic and manual	Cost ORG, ORG, Lot
Inv Org - Lot - Expense	Expense	Both automatic and manual	Cost ORG, ORG, Lot
Inv Org-Asset	Asset	Both automatic and manual	Cost Organization and Inventory Organization
Inv Org-Expense	Expense	Both automatic and manual	Cost Organization and Inventory Organization
Inv Org-Serial	Asset	Both automatic and manual	Cost ORG, ORG, Serial
Inv Org-Serial - Expense	Expense	Both automatic and manual	Cost ORG, ORG, Serial
Inv Org_Project_Task_Asset	Asset	Both automatic and manual	Cost ORG, ORG, Project, Task
InvOrg_Project_Task_Expense	Expense	Both automatic and manual	Cost ORG, ORG, Project, Task
InvOrg_Subinventory_Asset	Asset	Both automatic and manual	Inventory Subinventory
InvOrg_Subinventory_Expense	Expense	Both automatic and manual	Inventory Subinventory

Cost Component Mappings

Valuation Structures

Valuation Unit

Cost Profiles

Default Cost Profiles

Item Cost Profiles

Valuation Structure

Valuation Structure Code

Demo

Valuation Structure Set

Common Set

Valuation Structure Type

Asset

Valuation Structure Mode

Both automatic and manual

Cost Valuation Granularity

Cost ORG, ORG, Subinventory

Description

Additional Information

_FLEX_ValidationDate

26/12/25

_FLEX_NumOfSegments

0

_FLEX_NumOfVisibleSegments

1

Context

Attachments

Cost valuation granularity attributes

Sequence	Costing Attribute	Required
1	Cost organization	No
2	Inventory organization	No
3	Subinventory	No

Cost Elements

Any item in the system has components, which are the Cost Element Types, and almost all of them are similar or fixed.

1-materials

Which are the raw materials.

2-Resource

The cost of manufacturing and production operations.

3-Materials Overhead

For example, raw materials cost is X, manufacturing cost is Y, and transportation is part of these costs.

I just want to highlight the transportation expenses separately.

4-Overhead

For example, electricity expenses, forklift costs, or warehouse rent.

5-Outside Processing

The cost of outsourced manufacturing operations.

For example, a part of the product is sent to another location to be processed, and I am charged only for the operation performed there.

< Cost Elements

Try a cost element, cost element type, or description

Cost Element Cost Element Set Cost Element Type Inventory Organization

Cost Element	Description	Cost Element Set	Cost Element Type	Inventory Organization	Additional Information	Actions
ms1_water	ms1_water	Common Set	Overhead			
IM-PS1	Internal Margin PII	Common Set	Profit in inventory	SA PS Inv 1		
ITPS_Material	Italy PS Material	Common Set	Material			
Manufacturing Overheads	Manufacturing Overheads	Enterprise Set	Overhead			
Direct Labor	Direct Labor	Enterprise Set	Resource			
Direct Equipment	Direct Equipment	Enterprise Set	Resource			
Indirect Material	Indirect Material	Enterprise Set	Overhead			
Direct Material	Direct Material	Enterprise Set	Material			
IM-HCF01	Internal Margin PII	Common Set	Profit in inventory	Health Center Field Services		
IM-285	Internal Margin PII	Common Set	Profit in inventory	NL Healthcare		
IM-281	Internal Margin PII	Common Set	Profit in inventory	NL Logistics Warehouse		
IM-280	Internal Margin PII	Common Set	Profit in inventory	NL Central Warehouse		
IM-HC01M	Internal Margin PII	Common Set	Profit in inventory	Vision Hospital Maintenance		
IM-PRG01	Internal Margin PII	Common Set	Profit in inventory	Progress Operations		
IM-102	Internal Margin PII	Common Set	Profit in inventory	Norwich		
IM-920	Internal Margin PII	Common Set	Profit in inventory	Defective Parts Warehouse		
IM-050	Internal Margin PII	Common Set	Profit in inventory	Medical Product Products		

Cost Elements Cost Analysis Groups

We haven't told the system yet which Method our Cost Book will use.

Manage Cost Profile

Setup: Manufacturing and Supply Chain Materials Management

Functional Areas

- * Initial Users
- * Enterprise Profile
- * Legal Structures
- * Financial Reporting Structures
- * Organization Structures
- * Customers
- * Suppliers
- * Facilities
- * Users and Security
- * Items
- * Carriers and Transit Times
- * Catalogs
- * Inventory Management
- * Advanced Inventory Management
- * Receiving

Change Feature On/Off

Search Tools

Cost Accounting

View: Format, Filter, Detail, Show, Required Tasks

Task	Scope	Actions
Cost Component Mappings		
Cost Profiles		
Default Cost Profiles		
Valuation Units		
Manage Valuation Structures		
Manage Cost Elements		
Manage Cost Component Mappings		
Manage Cost Profiles		
Manage Default Cost Profiles		
Manage Valuation Units		
Columns Hidden: 3		

Created By: Islam Afify



+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Manage Cost Profiles

Done

Search

Advanced Saved Search All Cost Profiles

Search Results

Actions

View

Format

✖

Freeze

Detach

⌵

Wrap

Cost Profile	Cost Profile Set	Description	Cost Method	Valuation Structure Code	Valuation Structure Type	Unreferenced RMA Receipt Cost	Create Accounting	Enforce Processing of Costs by Transaction Date	Attachments
ISF Average-C-O-...	Common Set	ISF Average-C-O-Asset	Perpetual average	Inv Orig-Asset	Asset	Existing Item Cost	---	None	
ISF Periodic Average	Common Set	ISF Periodic Average	Periodic average	Inv Orig-Asset	Asset	Existing Item Cost	---	None	
ISF Actual Cost Book	Common Set	ISF Actual Cost Book	Actual cost	Inv Orig-Asset	Asset	Existing Item Cost	---	None	
ISF Standard-C-O-...	Common Set	ISF Standard-C-O-Asset	Standard cost	Inv Orig-Asset	Asset	Existing Item Cost	---	None	
ISF Average-C-O-...	Common Set	ISF Average-C-O-S-Asset	Perpetual average	InvOrig_Subinventory_Av	Asset	Existing Item Cost	---	None	
ISF Average-C-O-L-...	Common Set	ISF Average-C-O-L-Asset	Perpetual average	Inv Orig - Lot	Asset	Existing Item Cost	---	None	

Columns Hidden: 12

Edit Cost Profile: ISF Average-C-O-Asset

Save and Close Cancel

Cost Profile Set: Common Set

Cost Profile: ISF Average-C-O-Asset

Description: ISF Average-C-O-Asset

Additional Information

Attachments: None

Accounting

* Cost Method: Perpetual average

* Process Negative Quantity: Never

Quantity Display Method: First in first out

Account Invaluation Unit Transfers: ☒

Account Invaluation Unit Pick Transactions: ☐

Valuation Rules

* Valuation Structure Code: Inv Orig-Asset

Valuation Structure Type: Asset

* Cost By: Primary UOM

Work Order Valuation Rules

* Provisional Completions: Value at work order close

* Operation Scrap Valuation: Value immediately and at work order close

* Provisional Completions for Process Manufacturing: Value at work order close

* Operation Scrap Accounting: Include in inventory

Cost Structure

* Cost Component Mapping Group: Common Component Group

Analysis Mapping:

Transaction Costing Rules

* Receipt Without Cost: Use current average cost

Propagate Cost Adjustment: ☐

Enforce Processing of Costs by Transaction Date: ☐

* Referenced RMA Cost: Average cost of original sales order

Unreferenced RMA Receipt Cost: Existing Item Cost

Summarization Rules

Summarize Cost Transactions for Lot Controlled Items: ☒

Summarize Cost Transactions for Serial Controlled Items: ☒

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+2 01060903831

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Edit Cost Profile: ISF Average-C-O-S-Asset

Save and Close
Cancel

Cost Profile Set: Common Set
Cost Profile: ISF Average-C-O-S-Asset
Description: ISF Average-C-O-S-Asset

Additional Information
Attachments: None

Accounting

* Cost Method: Perpetual average
* Process Negative Quantity: Never
Quantity Depletion Method: First in first out

Account Invaluation Unit Transfers:
Account Invaluation Unit Pick Transactions:

Valuation Rules

* Valuation Structure Code: InvOrg_Subinventory_Asset
Valuation Structure Type: Asset
* Cost By: Primary UOM

Work Order Valuation Rules

* Provisional Completions: Value at work order close
* Operation Scrap Valuation: Value immediately and at work order close
* Provisional Completions for Process Manufacturing: Value at work order close
* Operation Scrap Accounting: Include in inventory

Cost Structure

* Cost Component Mapping Group: Common Component Group
Analysis Mapping:

Transaction Costing Rules

* Receipt Without Cost: Use current average cost
Propagate Cost Adjustment:
Enforce Processing of Costs by Transaction Date:
* Referenced RMA Cost: Average cost of original sales order
Unreferenced RMA Receipt Cost: Existing Item Cost

Summarization Rules

Summarize Cost Transactions for Lot Controlled Items:
Summarize Cost Transactions for Serial Controlled Items:

Edit Cost Profile: ISF Average-C-O-L-Asset

Save and Close
Cancel

Cost Profile Set: Common Set
Cost Profile: ISF Average-C-O-L-Asset
Description: ISF Average-C-O-L-Asset

Additional Information
Attachments: None

Accounting

* Cost Method: Perpetual average
* Process Negative Quantity: Never
Quantity Depletion Method: First in first out

Account Invaluation Unit Transfers:
Account Invaluation Unit Pick Transactions:

Valuation Rules

* Valuation Structure Code: Inv Org: Lot
Valuation Structure Type: Asset
* Cost By: Primary UOM

Work Order Valuation Rules

* Provisional Completions: Value at work order close
* Operation Scrap Valuation: Value immediately and at work order close
* Provisional Completions for Process Manufacturing: Value at work order close
* Operation Scrap Accounting: Include in inventory

Cost Structure

* Cost Component Mapping Group: Common Component Group
Analysis Mapping:

Transaction Costing Rules

* Receipt Without Cost: Use current average cost
Propagate Cost Adjustment:
Enforce Processing of Costs by Transaction Date:
* Referenced RMA Cost: Average cost of original sales order
Unreferenced RMA Receipt Cost: Existing Item Cost

Summarization Rules

Summarize Cost Transactions for Lot Controlled Items:
Summarize Cost Transactions for Serial Controlled Items:

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+2 01060903831

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Edit Cost Profile: ISF Standard-C-O-Asset

Save and Close
Cancel

Cost Profile Set: Common Set
Cost Profile: ISF Standard-C-O-Asset
Description: ISF Standard-C-O-Asset

Additional Information
Attachments: None

Accounting

* Cost Method: Standard cost
* Process Negative Quantity: Never
Quantity Depletion Method: First in first out

Account Intravaluation Unit Transfers: ☒
Account Intravaluation Unit Pick Transactions: ☐

Valuation Rules

* Valuation Structure Code: Inv Org-Asset
Valuation Structure Type: Asset

* Cost By: Primary UOM

Work Order Valuation Rules

* Provisional Completions: Value at standard cost
* Operation Scrap Valuation: Value immediately and at work order close

* Provisional Completions for Process Manufacturing: Value at standard cost
* Operation Scrap Accounting: Expense

Cost Structure

* Cost Component Mapping Group: Common Component Group

Analysis Mapping:

Transaction Costing Rules

* Receipt Without Cost: Use current average cost
Propagate Cost Adjustment: ☐
Enforce Processing of Costs by Transaction Date: ☐

* Referenced RMA Cost: Average cost of original sales order
Unreferenced RMA Receipt Cost: Existing Item Cost

Summarization Rules

Summarize Cost Transactions for Lot Controlled Items: ☒

Summarize Cost Transactions for Serial Controlled Items: ☒

Edit Cost Profile: ISF Actual Cost Book

Save and Close
Cancel

Cost Profile Set: Common Set
Cost Profile: ISF Actual Cost Book
Description: ISF Actual Cost Book

Additional Information
Attachments: None

Accounting

* Cost Method: Actual cost
* Process Negative Quantity: Never
Quantity Depletion Method: First in first out

Account Intravaluation Unit Transfers: ☒
Account Intravaluation Unit Pick Transactions: ☐

Valuation Rules

* Valuation Structure Code: Inv Org-Asset
Valuation Structure Type: Asset

* Cost By: Primary UOM

Work Order Valuation Rules

* Provisional Completions: Value at last actual cost
* Operation Scrap Valuation: Value immediately and at work order close

* Provisional Completions for Process Manufacturing: Value at last actual cost
* Operation Scrap Accounting: Include in inventory

Cost Structure

* Cost Component Mapping Group: Common Component Group

Analysis Mapping:

Transaction Costing Rules

* Receipt Without Cost: Use first receipt layer cost
Propagate Cost Adjustment: ☒
Enforce Processing of Costs by Transaction Date: ☐

* Referenced RMA Cost: Average cost of original sales order
Unreferenced RMA Receipt Cost: Existing Item Cost

Summarization Rules

Summarize Cost Transactions for Lot Controlled Items: ☒

Summarize Cost Transactions for Serial Controlled Items: ☒

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+2 01060903831

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Edit Cost Profile: ISF Periodic Average Save and Close Cancel

Cost Profile Set: Common Set
 Cost Profile: ISF Periodic Average
 Description: ISF Periodic Average

Accounting
 * Cost Method: Periodic average
 Process Negative Quantity: Never
 Quantity Depletion Method: Not Applicable

Valuation Rules
 * Valuation Structure Code: Inv Orig Asset
 Valuation Structure Type: Asset
 * Cost By: Primary UOM

Work Order Valuation Rules
 * Provisional Completions: Value using accumulated work in process balances
 * Operation Scrap Valuation: Value immediately and at work order close
 * Provisional Completions for Process Manufacturing: Value using accumulated work in process balances
 * Operation Scrap Accounting: Include in inventory

Cost Structure
 * Cost Component Mapping Group: Common Component Group
 Analysis Mapping

Transaction Costing Rules
 Receipt Without Cost: Use current average cost
 Propagate Cost Adjustment
 Reverse Processing of Costs by Transaction Date
 * Referenced RMA Cost: Average cost of original sales order
 Unreferenced RMA Receipt Cost: Existing Item Cost

Summarization Rules
 Summarize Cost Transactions for Lot Controlled Items
 Summarize Cost Transactions for Serial Controlled Items

Note

Process Negative Quantity

We will choose **Never**; this is very important, as it can cause many issues, especially in manufacturing.

When Oracle performs a Transaction, it checks the balance at the moment of the Transaction, not on the Transaction date. This means the Transaction can be Back Dated, of course if it is allowed on the system. For example, if a specific person is responsible for issuing transactions and that person is not available today for any reason, the transaction can be done tomorrow when the person is available again, and the issue transactions can be recorded for the previous day. However, the system checks the balance based on the current balance, not a past date.

For example, if you received 100 units on the 1st of the month, 150 units on the 2nd, no transactions on the 3rd, and 200 units on the 4th, then the system balance becomes 450 units. On the 5th day, the person responsible for issuing starts entering the issue transactions that actually happened earlier. The first issue transaction was actually done on the 3rd but was not yet recorded on the system. Currently, the system balance is 450, but on the 3rd the balance was 250. If this person issues 400 units, the system will allow it because there is sufficient balance on the system, even though on the 3rd the balance was only 250.

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+2 01060903831



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Here, this becomes a system question: when calculating the Cost and a transaction causes the inventory value to go negative, what should be done? This is considered a User error. If this happens, the system asks what action should be taken:

Always

It will take the Item cost before the transaction.

Never

It will stop it completely and raise an Error; it will not cost it until the subsequent transactions are costed.

To Zero

I instruct the system to calculate it at zero, and when it is later costed, record it as a Cost Variance.

Note: Work Order valuation Rules

This refers to Work Orders when working in a manufacturing environment.

.....

Manage Item Cost Profile

If we want one Item to use Standard, another Item to use Average, and a third Item to use Actual—whatever combination you want—if we run a search now, it will not return anything because we have not run any Cost yet. However, I can use Add Manual here; that is why there is another option called Default. From here, I can manually enter and add Items one by one. Of course, this usually does not happen in companies except in cases where, for example, you are asked to add one or two Items and create their Cost Profile, such as Standard or Average, depending on what is required.

The system will now ask, when costing a Transaction, what the Default Cost Profile is.

I will start by telling the system, at the level of the specific Cost Organization and Cost Book, to assign this Cost Profile to the Item.

Manage Default Cost Profile

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+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

New Item Profile Creation

For example, I created a new Item and made a Transaction with it, and the system will Create this Transaction. This Item appears for the first time. Should I request a Review for assigning the Cost Profile—meaning review and Approve or Reject—or should I tell the system No, Auto?

And we continue the rest using the same steps as in the images:

Note:

I took a screenshot from Eng. Ahmed El-Shaib's account temporarily because there was an issue with my user. Now, the shortcut will be, as usual, SH.

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Cost Profiles
Done

Advanced Saved Search All Default Cost Profiles

Cost Book
Category Code

SH S-Cost Book C-O
SH Periodic
SH A-Cost Book C-O-LOT
SH A-Cost Book C-O-S
SH Actual Cost Book C-O
SH A-Cost Book C-O

Cost Organization
SH Cost Org

Cost Book
SH A-Cost Book C-O-S

Category Code

Category Name

New Item Profile Creation
Auto

Asset Cost Profile
SH Average-C-O-S-Asset

Expense Cost Profile

Consigned Cost Profile

Additional Information

Attachments
None

Asset Cost Profile Details

Cost Profile Set
Common Set

Cost Profile
SH Average-C-O-S-Asset

Description
SH Average-C-O-S-Asset

Cost Method
Perpetual average

Quantity Depletion Method
First in first out

Process Negative Quantity
Never

Cost By
Primary UOM

Valuation Structure Code
InvOrg_Subinventory_Asset

Structure Type
Asset

Cost Component Mapping Group
Common Component Group

Receipt Without Cost
Use current average cost

Referenced RMA Cost
Average cost of original sales order

Unreferenced RMA Receipt Cost
Existing Item Cost

Propagate Cost

Adjustment

Provisional Completions for Process Manufacturing
Value at work order close

Provisional Completions for Process Manufacturing
Value at work order close

Operation Scrap Accounting
Include in inventory

Operation Scrap Valuation
Value immediately and at work order close

Enforce Processing of

Costs by Transaction Date

Expense Cost Profile Details

Consigned Cost Profile Details

Save and Close Cancel

Cost Profiles
Done

Advanced Saved Search All Default Cost Profiles

Cost Book
Category Code

Cost Book C-O
Periodic
Cost Book C-O-LOT
Cost Book C-O-S
Actual Cost Book C-O
Cost Book C-O

Cost Organization
SH Cost Org

Cost Book
SH A-Cost Book C-O-LOT

Category Code

Category Name

New Item Profile Creation
Auto

Asset Cost Profile
SH Average-C-O-L-Asset

Expense Cost Profile
Perpetual Average - Expense

Consigned Cost Profile

Additional Information

Attachments
None

Asset Cost Profile Details

Cost Profile Set
Common Set

Cost Profile
SH Average-C-O-L-Asset

Description
SH Average-C-O-L-Asset

Cost Method
Perpetual average

Quantity Depletion Method
First in first out

Process Negative Quantity
Never

Cost By
Primary UOM

Valuation Structure Code
Inv Org - Lot

Structure Type
Asset

Cost Component Mapping Group
Common Component Group

Receipt Without Cost
Use current average cost

Referenced RMA Cost
Average cost of original sales order

Unreferenced RMA Receipt Cost
Existing Item Cost

Propagate Cost

Adjustment

Provisional Completions for Process Manufacturing
Value at work order close

Provisional Completions for Process Manufacturing
Value at work order close

Operation Scrap Accounting
Include in inventory

Operation Scrap Valuation
Value immediately and at work order close

Enforce Processing of

Costs by Transaction Date

Expense Cost Profile Details

Consigned Cost Profile Details

Save and Close Cancel

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+2 01060903831

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Edit Default Cost Profile: SH Cost Org, SH Actual Cost Book C-O

Cost Organization SH Cost Org
Cost Book SH Actual Cost Book C-O
Category Code
Category Name

* New Item Profile Creation Auto

Asset Cost Profile SH Actual Cost Book

Expense Cost Profile

Consigned Cost Profile

Additional Information

Attachments None

Asset Cost Profile Details

Cost Profile Set Common Set
Cost Profile SH Actual Cost Book
Description SH Actual Cost Book
Cost Method Actual cost
Quantity Depletion Method First in first out
Process Negative Quantity Never
Cost By Primary UOM
Valuation Structure Code Inv Org-Asset
Structure Type Asset
Cost Component Mapping Group Common Component Group
Receipt Without Cost Use first receipt layer cost

Referenced RMA Cost Average cost of original sales order
Unreferenced RMA Receipt Cost Existing Item Cost
Propagate Cost ☒
Adjustment
Provisional Completions Value at work order close
Provisional Completions for Process Manufacturing Value at work order close
Operation Scrap Accounting Include in inventory
Operation Scrap Valuation Value immediately and at work order close
Enforce Processing of
Costs by Transaction Date

Expense Cost Profile Details

Consigned Cost Profile Details

Save and Close

Cancel

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

.....

Didn't we say that I can create a Valuation Unit, and there are two types: Manual and Automatic, which we defined in the Cost Valuation Structure?

So, where do I create the Manual? Didn't we have a scenario, for example, where I want to create a Raw and have three Sub.Raw warehouses under it, which I created all together?

Manage Valuation unit

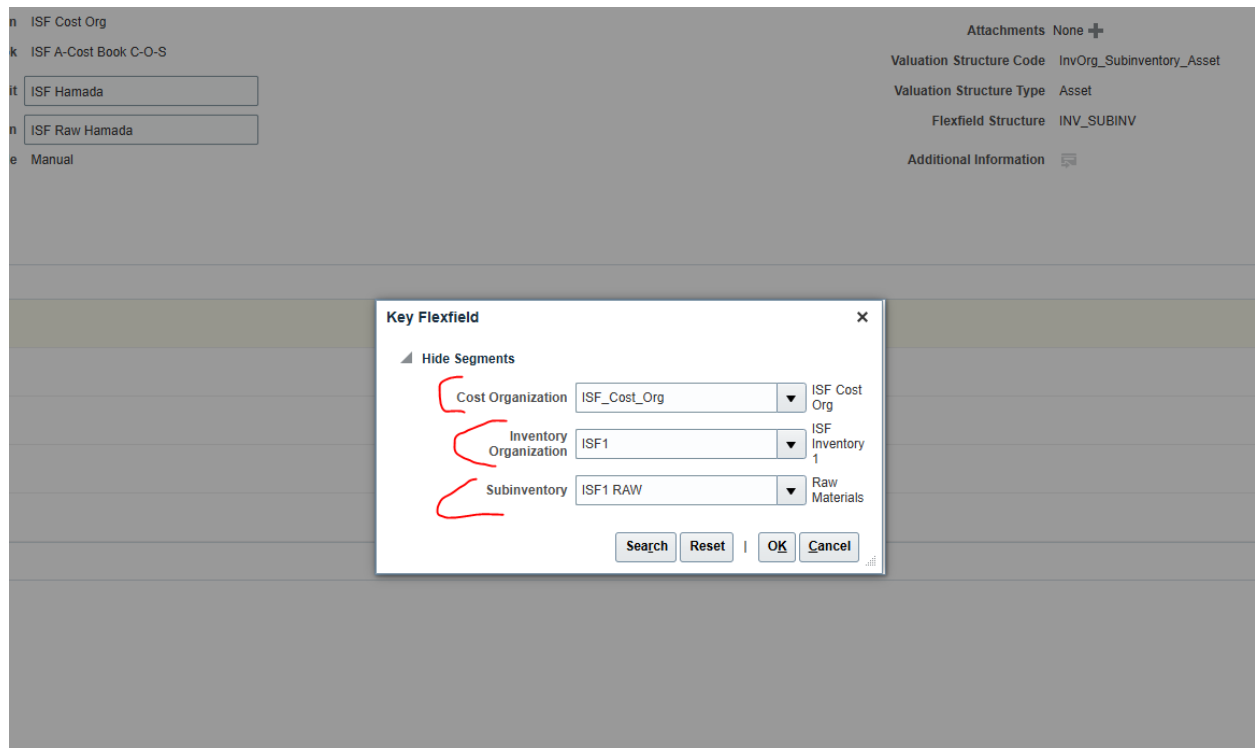
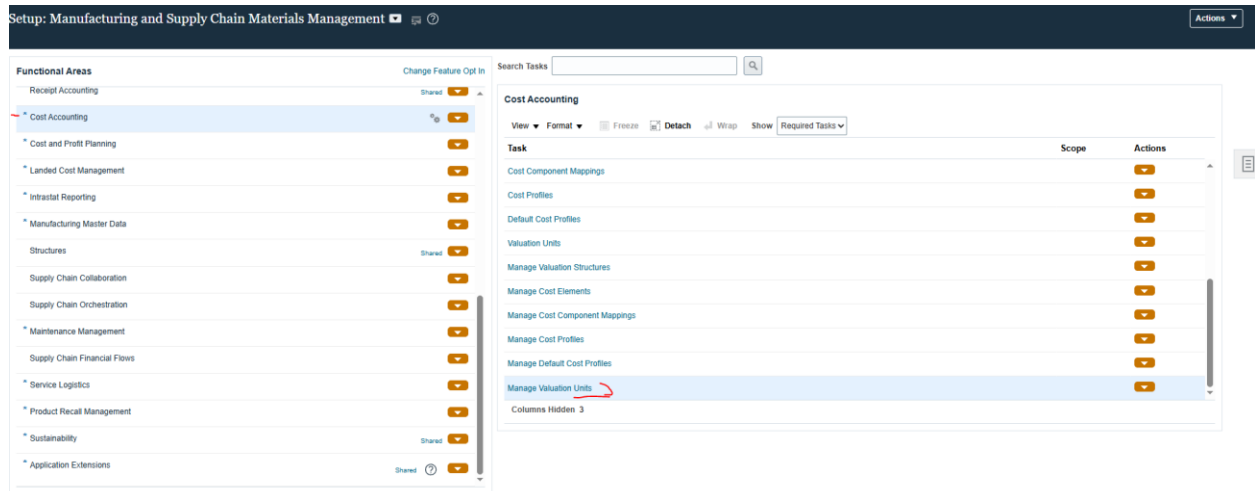
Through it, I can either suggest based on what exists or create a Manual Valuation Unit if needed.

Created By: Islam Afify

 +2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

The Valuation Unit Structure allows me to do this. How will it allow it? It can be Both or Manual, but if it is Automatic, then no.



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Edit Valuation Unit : ISF Hamada Save Save and Close Cancel

Cost Organization ISF Cost Org
 Cost Book ISF A-Cost Book C-O-S
 Valuation Unit ISF Hamada
 Description ISF Raw Hamada
 Valuation Structure Mode Manual

Attachments None
 Valuation Structure Code InvOrg_SubInventory_Asset
 Valuation Structure Type Asset
 Flexfield Structure INV_SUBINV
 Additional Information

Segment Values

Account Code

Account Code	Segment Values
Cost Organization-Inventory Organization-SubInventory	ISF_Cost_Org-ISF1-ISF1 Raw 2
Cost Organization-Inventory Organization-SubInventory	ISF_Cost_Org-ISF1-ISF1 RAW
Cost Organization-Inventory Organization-SubInventory	ISF_Cost_Org-ISF1-ISF1 Raw 3
Cost Organization-Inventory Organization-SubInventory	ISF_Cost_Org-ISF1-ISF1 Raw 4

Here, we are working on the Sub.Inv example, so we will choose the Book related to Sub.Inv.

For the Valuation Unit, we will just enter a name here like in the image, and we make sure we selected the same one we chose in the Cost Profile over there with the Valuation Structure Code.

Now, I want to prevent any user from entering a Transaction in a closed Period. Didn't we say the Maximum Period could be 2, 1, or open? I set the Maximum to, for example, Open Period, but I didn't set the Profile Option that prevents the user from entering Back Dated data. I want to control the Transaction date for anything related to the Item—Miscellaneous, PO Receipts, or anything else. I want to restrict it so the user cannot enter a Transaction with yesterday's date or even a minute earlier, or allow Transactions only as long as the accounting or inventory period is open. All of this is controlled through the Profile Option.

Setup: Manufacturing and Supply Chain Materials Management Actions

Functional Areas

- Suppliers
- Facilities
- Users and Security
- Items
- Carriers and Transit Times
- Catalogs
- Inventory Management**
- Advanced Inventory Management
- Receiving
- Shipping
- Receipt Accounting
- Cost Accounting
- Cost and Profit Planning
- Landed Cost Management
- Intrastat Reporting

Change Feature Opt In

Inventory Management

View Format Freeze Detail Wrap Show All Tasks

Task	Scope	Actions
Manage Inventory Profile Options		
Manage Inventory Lookups		
Manage Inventory Value Sets		
Manage Inventory Descriptive Flexfields		
Manage Inventory Account Alias Key Flexfield		
Manage Inventory Locator Key Flexfield		
Inventory Transaction Sources and Types		
Manage Inventory Transaction Sources and Types		
Material Statuses		
Manage Material Statuses		
Columns Hidden	3	

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+2 01060903831

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Profile Option Code Application

Profile Display Name Module

Category

Search Results

Search Results : Profile Options

View

Profile Option Code	Profile Display Name	Application	Module	Start Date	End Date	Description
INV_RSV_TRANSFER_UPDATE...	INV_RSV_TRANSFER_UPDATE...	Inventory Management	Inventory Management	21/09/23		
INV_SUBINV_TRANS_TXN	Subinventory Transfer Processing ...	Inventory Management	Material Transactions	18/06/19		Specify the processing mode for the subinventory transfer transaction.
INV_TRANSACTION_DATE	Transaction Date Validation Enabled	Inventory Management	Material Transactions	18/06/19		Enable validation of the transaction date field on all inventory transactions.
INV_TRANSACTION_PROCESS...	Transaction Processing Mode	Inventory Management	Material Transactions	18/06/19		Specify the processing control for transacting items.
INV_TXN_MGR_WORKER_SIZE	Inventory Transaction Manager Wo...	Inventory Management	Material Transactions	18/06/19		Specify the number of inventory transactions to place in a single child worker for background processing by the Inventory Transaction Manager.
INV_USE_AR_TAX_INTCOM	Intercompany Receivables Tax Use...	Inventory Management	Intercompany Invoicing	26/07/17		Specify whether the same tax should be used by both AR and AP for intercompany invoices.
ORA_INV_AVAL_LOCK_RETRIES	Number of Attempts to Acquire a L...	Inventory Management	Material Availability	29/06/22		Determines the number of times the thread attempts to acquire a lock.
ORA_INV_AVAL_LOCK_TIMEOUT	Time to Acquire Lock Before Timeout	Inventory Management	Material Availability	29/06/22		Determines waiting period to acquire lock to retrieve availability for items between two successive retries. Errors if unable to acquire lock after multiple retries.
ORA_INV_AVAL_LOCK_WAIT	Wait Time to Acquire a Lock	Inventory Management	Material Availability	29/06/22		Determines the time the thread waits to acquire a lock between successive retries.
ORA_INV_CONFIRM_PICK_SLIP...	Redwood Page for Confirm Pick Sl...	Inventory Management	Common	24/12/24		Enable the Redwood page for Confirm Pick Slips.

INV_TRANSACTION_DATE: Profile Values

Actions View

Profile Level	Product Name	User Name	Profile Value
Site			No validation
User		AXX	Validate transaction date
User		Islam Afify	Validate transaction date
User		FLU	Validate transaction date
User		a.ekshayeb	Validate transaction date
User		islam.mohsen7	Validate transaction date

We will run a search without entering anything and do exactly as in the image.

It can be done at the Site level or the User level; in the image, it is set at the User level.

Profile Value

No Validation

The user can enter transactions in a Period that is closed or open, today or yesterday—whatever you want.

Allow Current Date Only

Now, I just can't move right or left.

Validate Transaction Date

I tell it to take the date and go check the Costing. Since I have set up the Costing, see which Org this falls under.

Cost Org and Cost Book, and of course, as Primary. It will show me the Primary from these and check whether its accounting period is open or not. If it is closed, the system will prevent me from entering the Transaction.

Created By: Islam Afify



+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Now, we will set up Data Access for the Cost Org, exactly like in the image.

Manage Data Access for Users

☐ Users without Data Access ☒ Users with Data Access

Security Context: Cost organization

Search: User Name: Islam Afify Role:

Search Results

Actions: View, Add, Edit, Delete, Attach, Detach, Authorize Additional Data Access, Export All Data Access

User Name	Role	Security Context	Security Context Value
Islam Afify	Application Administrator	Cost organization	ISF Cost Org
Islam Afify	Cost Accountant	Cost organization	ISF Cost Org

Columns Hidden: 3

Now, we have set up the Profile Option, giving me the ability to prevent the User from entering Transactions except in an Open Period. The User will not be able to receive anything unless I allow them by opening the accounting or inventory period through Cost Accounting, so they can receive in December. The User who handles Cost Control or is the Cost Accountant allows other users to start performing any transactions that affect or are affected by inventory during a specific accounting period.

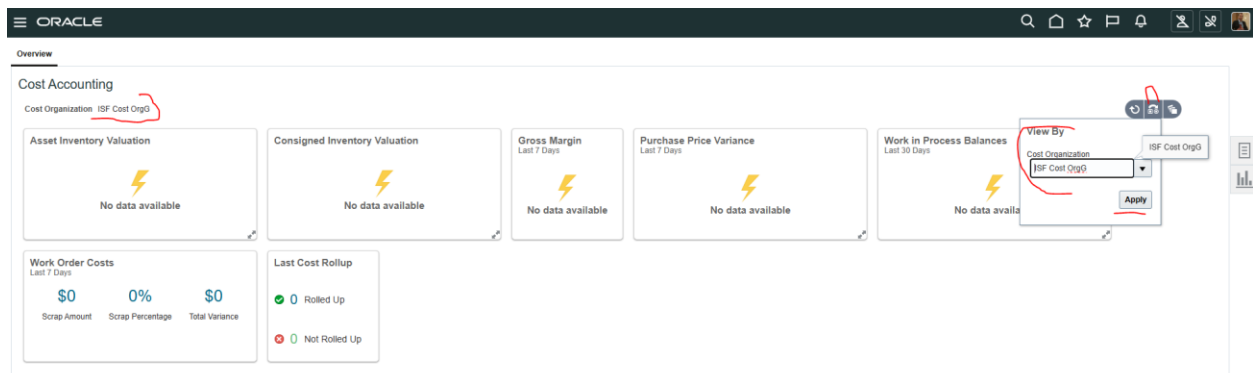
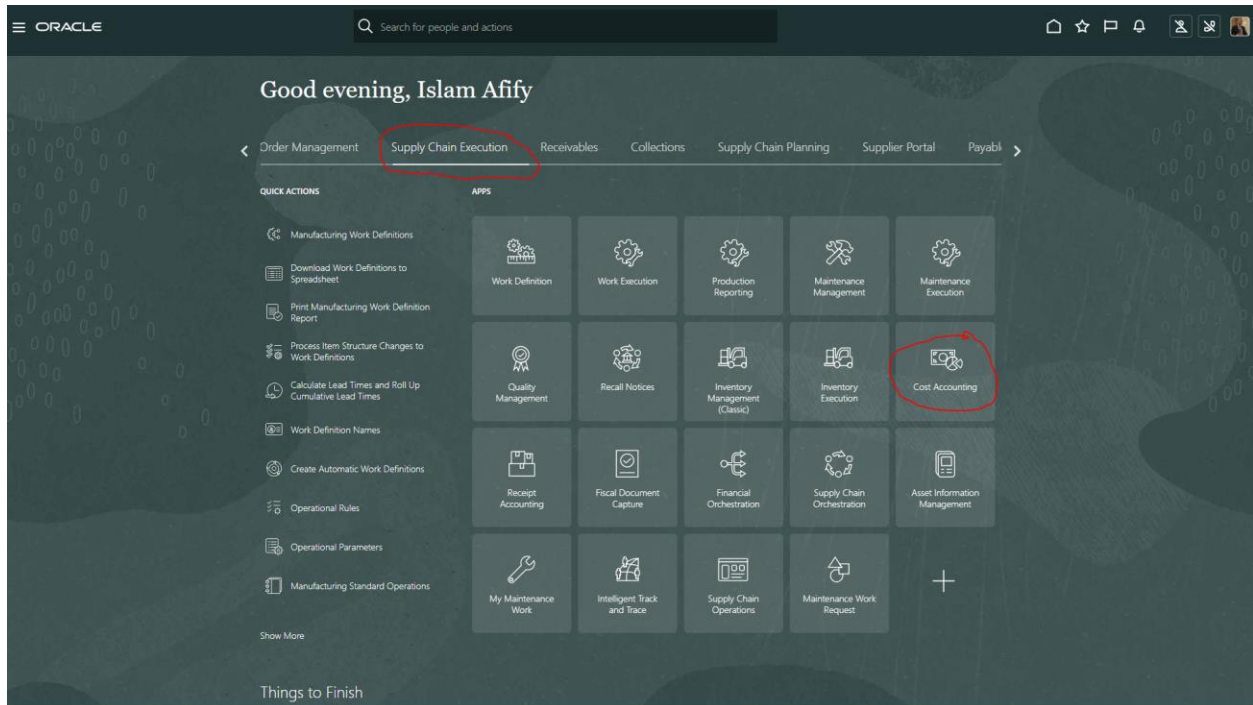
So, the responsible person here is the Cost Accountant, not the Implementor.

We will go into **Cost Accounting** to open the accounting period.

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+2 01060903831

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

ORACLE

Overview

Cost Accounting

Cost Organization: ISF Cost Org

Asset Inventory Valuation
No data available

Consigned Inventory Valuation
No data available

Gross Margin
Last 7 Days
No data available

Purchase Price Variance
Last 7 Days
No data available

Work in Process Balances
Last 30 Days
No data available

Work Order Costs
Last 7 Days
Scrap Amount: \$0, Scrap Percentage: 0%, Total Variance: \$0

Last Cost Rollup
0 Rolled Up, 0 Not Rolled Up

Cost and Profit Planning

- Manage Cost Scenarios
- Manage Standard Costs
- Standard Cost Import Exceptions
- Manage Resource Rates
- Overhead Rates
- Cost Rollup Groups
- Transfer Charge Rule Sets
- Transfer Charge Rules
- View Rolled-up Costs
- Scenario Exceptions
- Compare Standard Costs

Item Costs

- Review Item Costs
- Standard Purchase Cost Variance Summary
- Manage Accounting Overhead Rules
- Manage Cost Adjustment
- Manage Periodic Average Cost Adjustments

Cost Processing

- Cost Processing Run Control
- Manage Cost Accounting Periods
- Review and Approve Item Cost Profiles
- Review Cost Accounting Processes
- Work Order Costs
- Maintenance Work Order Costs
- Gross Margin Analysis
- Review Cost Accounting Distributions
- Review Inventory Valuation

Accounting

- Create Accounting
- Review Journal Entries

We have activated multiple Cost Books on the same Inv. Org.

Now it will ask me for the Ledger, and I will choose the US Primary. I will also select the Cost Org I created. I have five Cost Books, but only one of them is linked to the Ledger.

Here, we will find the Status for everything, and the Costing Period will show as Never Opened.

Search

Cost Organization: Starts with ISF, Cost Book: Starts with, Ledger: Starts with US F

Advanced | Saved Search | All Cost Periods

Search | Reset | Save...

Search Results

Actions: View, Format, Freeze, Detach, Wrap, Run Validations, View Exceptions, Open Target Period, View Period Details

Cost Organization	Cost Book	Periodic Average Cost	Ledger	Current Period		Prior Period		Next Period	
				Period	Status	Period	Status	Period	Status
ISF Cost Org	ISF A-Cost Book C-O-LOT	No		12-25	Never opened			01-26	
ISF Cost Org	ISF A-Cost Book C-O-S	No		12-25				01-26	
ISF Cost Org	ISF Actual Cost Book C-O	No		12-25				01-26	
ISF Cost Org	ISF Periodic Average C-O	Yes		12-25				01-26	
ISF Cost Org	ISF S-Cost Book C-O	No		12-25				01-26	
ISF Cost Org	ISF A-Cost Book C-O	No	US Primary Ledger	12-25				01-26	

Columns Frozen: 3

So, what is the difference between the Costing Period and the Accounting Period?

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+2 01060903831

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The Acc. Period is the one in the General Ledger, while the Cost Period we are talking about here is in Costing.

We see the date 12/25 because this is the First Open Period, and we cannot open 01-26 unless 12-25 is already opened and marked as Open.

ORACLE

Overview Manage Cost Accounting Periods

Manage Cost Accounting Periods

Search

Cost Organization Starts with ISF Cost Book Starts with Ledger Starts with US P

Advanced Saved Search All Cost Periods

Search Reset Save

Search Results

Actions View Format Freeze Detach Wrap Run Validations View Exceptions Open Target Period View Period Details

Cost Organization	Cost Book	Periodic Average Cost	Ledger	Current Period		Prior Period		Next Period	
				Period	Status	Period	Status	Period	Status
ISF Cost OrgG	ISF A-Cost Book C-O-LOT	No		12-25				01-26	
ISF Cost OrgG	ISF A-Cost Book C-O-S	No		12-25				01-26	
ISF Cost OrgG	ISF Actual Cost Book C-O	No		12-25				01-26	
ISF Cost OrgG	ISF Periodic Average C-O	Yes		12-25				01-26	
ISF Cost OrgG	ISF S-Cost Book C-O	No		12-25				01-26	
ISF Cost OrgG	ISF A-Cost Book C-O	No	US Primary Ledger	12-25				01-26	

Columns Frozen 3

Format Freeze Detach Wrap Run Validations View Exceptions Open Target Period View Period Details

Cost Organization	Cost Book	Periodic Average Cost	Ledger	Current Period		Prior Period		Next Period	
				Period	Status	Period	Status	Period	Status
ISF Cost OrgG	ISF A-Cost Book C-O-LOT	No		12-25				01-26	
ISF Cost OrgG	ISF A-Cost Book C-O-S	No		12-25				01-26	
ISF Cost OrgG	ISF Actual Cost Book C-O	No		12-25				01-26	
ISF Cost OrgG	ISF Periodic Average C-O	Yes		12-25				01-26	
ISF Cost OrgG	ISF S-Cost Book C-O	No		12-25				01-26	
ISF Cost OrgG	ISF A-Cost Book C-O	No	US Primary Ledger	12-25				01-26	

Columns Frozen 3

Open Target Period

Cost Organization ISF Cost OrgG

Cost Book ISF A-Cost Book C-O

Accounting Period 12-25

OK Cancel

ISF Cost OrgG, ISF A-Cost Book C-O: Period Details

Period Details

Actions View Format Freeze Detach Wrap Run Validations View Exceptions Open Target Period Search by Year

Accounting Period	Period Number	Year	From Date	To Date	Period Status
12-25	12	2025	01/12/25	31/12/25	Never opened

Legend: Never opened Open Pending close Closed Permanently closed

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+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

When I choose View Period Details, it will give me more information—whether it is Open and how much time is left before it closes.

Can I open another Period? We had specified only one, so if I try to open another, it will not open or it will give me an Error.

Note: If opened from the Redwood screens, it will be slightly different, but the details and information are mostly the same, just displayed differently. There might be a filter on the Primary Ledger, which is why only the Primary Book appears. To see the others, you need to clear that filter.

We will Open the remaining Books, and if any of them have a Maximum Open Period of 2 and we try to open another Period, it will open normally, as well as if it is already open.

Cost Accounting Periods

Search by status, cost organization, or cost book

Ledger US Primary Ledger X Period Cost Organization SH Cost Org X Cost Book Filters Clear (2)

Costing Period Close Assistant

Refresh Close Period Run Validations

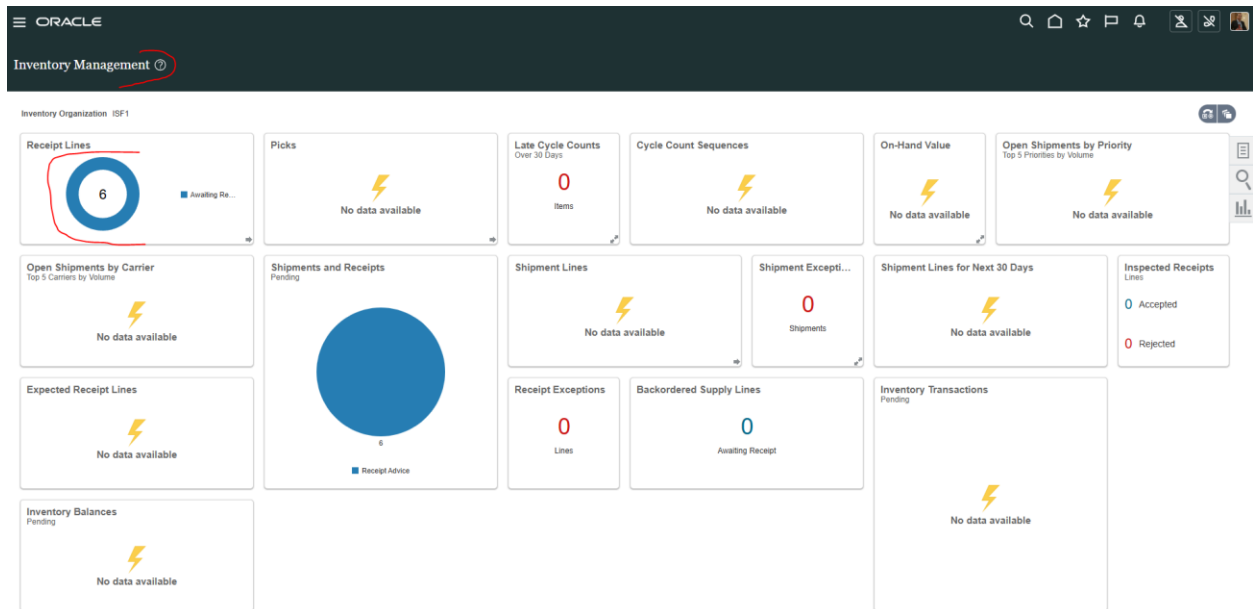
Open Close Pending Closed Permanently closed Never opened All

Cost Organization	Cost Book	Period	Period End Date	Days to...	Costing Period...	Accounting Period...	Related Subled...	Exception Count	Validation Run Date	Action
SH Cost Org	SH A-Cost Book C-O	12-25	31-12-2025		Never opened	Open		Not Run		...

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)



Receive Expected Shipments

Advanced Search

Search Results

View: **Receive**

Organization	Item	Item Description	Document Type	Document Number	Document Line	Document Schedule	Due Date	Quantity	UOM Name
ISF1	ISF-Cst-001	Cost 1	Purchase order	AH-PO000018	1	1	29/12/25	150	Ea
ISF1	ISF-Cst-0002	Cost 2	Purchase order	AH-PO000018	2	1	29/12/25	200	Ea
ISF1	ISF-LOT2-001	LOT 2	Purchase order	AH-PO000018	3	1	29/12/25	300	Ea
ISF1	ISF-Cst-001	Cost 1	Purchase order	AH-PO000017	1	1	29/12/25	100	Ea
ISF1	ISF-Cst-0002	Cost 2	Purchase order	AH-PO000017	2	1	29/12/25	100	Ea
ISF1	ISF-LOT2-001	LOT 2	Purchase order	AH-PO000017	3	1	29/12/25	100	Ea

Receive Lines

Organization: ISF1

Actions: View, Remove Line, **Show Receipt Quantity**, View Details

Item	Item Description	Document Number	* Quantity	* UOM Name	Destination Type	Subinventory	Locator	Deliver to Location	* Receipt Date	* Received By
ISF-Cst-001	Cost 1	AH-PO000017	100	Ea	Receiving				30/12/25 1	Affy, Islam
ISF-Cst-0002	Cost 2	AH-PO000017	100	Ea	Receiving				30/12/25 1	Affy, Islam
ISF-LOT2-001	LOT 2	AH-PO000017	100	Ea	Receiving				30/12/25 1	Affy, Islam

Created By: Islam Affy

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

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Inventory Organization ISF 1 [Change Organization](#)

[Submitt](#) [Cancel](#)

Create Receipt

Organization: ISF 1

Receipt

Supplier: ISF Supplier 1

Customer:

Shipment:

Packing Slip:

Shipping Method:

Number of Supplier Packing Units:

Receipt Date: 30/12/25 12:39 AM

GL Date: 30/12/25 12:39 AM

Shipped Date: dd/mm/yy hh:mm a

Waybill:

Bill of Lading:

* Received By: Affy, Islam

Notes:

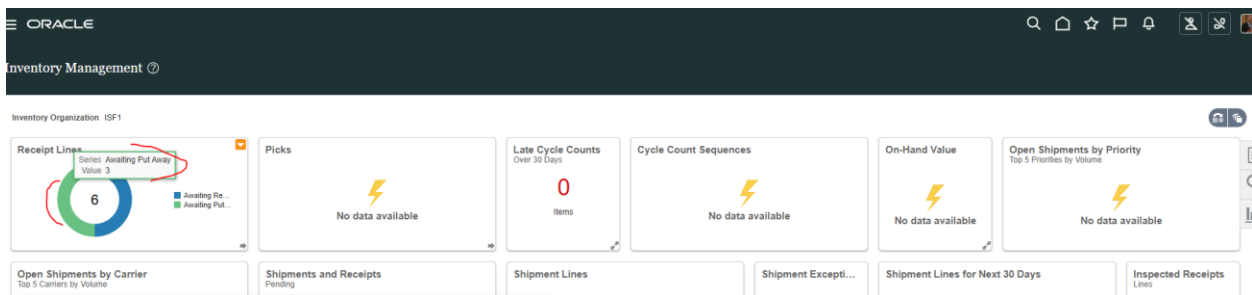
Attachments: None

Additional Information

Receipt Lines

View [Remove Line](#)

Item	Item Description	Revision	Document Number	Quantity	UOM Name	Subinventory	Locator	Receiving Location	Destination Type
ISF-Cst-001	Cst 1	BLACK	AH-PO000017	100	Ea			ISF Sadat	Receiving
ISF-Cst-0002	Cst 2	BLACK	AH-PO000017	100	Ea			ISF Sadat	Receiving
ISF-LOT2-001	LOT 2	BLACK	AH-PO000017	100	Ea			ISF Sadat	Receiving



ORACLE

Inventory Organization ISF 1 [Change Organization](#)

[Done](#)

Put Away Receipts

Advanced Search

Saved Search: All Lines to Put Away

Search Results

View [Put Away](#)

Organization	Item	Item Description	Line Status	Receipt	Document Type	Document Number	Quantity	UOM Name	Supplier
ISF1	ISF-Cst-001	Cst 1	Received	202510004	Purchase order	AH-PO000017	100	Ea	ISF Supplier 1
ISF1	ISF-Cst-0002	Cst 2	Received	202510004	Purchase order	AH-PO000017	100	Ea	ISF Supplier 1
ISF1	ISF-LOT2-001	LOT 2	Received	202510004	Purchase order	AH-PO000017	100	Ea	ISF Supplier 1

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

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Inventory Organization ISF1 Change Organization

Put Away Lines

Organization: ISF1

Actions View Remove Line View Details

Item	Item Description	Receipt	Document Number	Quantity	UOM Name	Destination Type	Subinventory	Locator	Deliver to Location
ISF-Cst-001	Cost 1	202510004	AH-PO000017	30	Ea	Inventory	ISF1 Raw		ISF Sada
ISF-Cst-002	Cost 2	202510004	AH-PO000017	30	Ea	Inventory	ISF1 Raw 2		ISF Sada
ISF-LOT2-001	LOT 2	202510004	AH-PO000017	30	Ea	Inventory	ISF1 Raw 3		ISF Sada

I created a Cost Structure at the Sub.Inv level, so I will receive the first batch in Raw 1, 2, and 3. However, the Lot will be split into 2 records: 15 and 15.

ORACLE

Inventory Organization ISF1 Change Organization

Put Away Lines

Organization: ISF1

Actions View Remove Line View Details

Edit Lines

Split Line

Remove Line

View Details

Record Lots and Serial Numbers

Generate Single Lot

Generate Serial Numbers

Generate Lots and Serial Numbers

Show All Distributions

Receipt	Document Number	Quantity	UOM Name	Destination Type	Subinventory	Locator	Deliver to Location
202510004	AH-PO000017	30	Ea	Inventory	ISF1 Raw		ISF Sada
202510004	AH-PO000017	30	Ea	Inventory	ISF1 Raw		ISF Sada
202510004	AH-PO000017	30	Ea	Inventory	ISF1 Raw		ISF Sada

ORACLE

Inventory Organization ISF1 Change Organization

Record Lots

Transaction Details

Item ISF-LOT2-001

Subinventory ISF1 Raw 3

Item Description LOT 2

Locator

Revision

Quantity 30 Ea

Lots

Entered 30 Ea

Quantity Remaining 0 Ea

Actions View Generate Single Lot

Lot	Quantity	Supplier Lot	Origination Type	Origination Date	Retest Date	Hold Date	Maturity Date	Reason	Additional Information
ISF-1001	15		Receiving	30/12/25 12:00	dd/mm/yy hh:mm	dd/mm/yy hh:mm	dd/mm/yy hh:mm		
ISF-1002	15		Receiving	30/12/25 12:00	dd/mm/yy hh:mm	dd/mm/yy hh:mm	dd/mm/yy hh:mm		

We will do Submit, and receive the next batch 30, 30 on Raw1 only, because I manually set it to gather all the Raw under it.

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+2 01060903831

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ORACLE

Put Away Lines

Organization: ISF1

Inventory Organization: ISF1

Change Organization

Submit Cancel

Actions View Remove Line View Details

Item	Item Description	Receipt	Document Number	Quantity	UOM Name	Destination Type	Subinventory	Locator	Deliver-to Location
ISF-Cst-001	Cost 1	202510004	AH-PO000017	30	Ea	Inventory	ISF1 RAW		ISF Sadat
ISF-Cst-002	Cost 2	202510004	AH-PO000017	30	Ea	Inventory	ISF1 RAW		ISF Sadat
ISF-LOT2-001	LOT 2	202510004	AH-PO000017	30	Ea	Inventory	ISF1 RAW		ISF Sadat

For the third and final one, we put it in FG, and after that, we change the ORG and do the same process.

ORACLE

Put Away Lines

Organization: ISF1

Inventory Organization: ISF1

Change Organization

Submit Cancel

Actions View Remove Line View Details

Item	Item Description	Receipt	Document Number	Quantity	UOM Name	Destination Type	Subinventory	Locator	Deliver-to Location
ISF-Cst-001	Cost 1	202510004	AH-PO000017	40	Ea	Inventory	ISF1 FG		ISF Sadat
ISF-Cst-002	Cost 2	202510004	AH-PO000017	40	Ea	Inventory	ISF1 FG		ISF Sadat
ISF-LOT2-001	LOT 2	202510004	AH-PO000017	40	Ea	Inventory	ISF1 FG		ISF Sadat

Confirmation
The put away transaction was created.
OK

So, what is the Cost Process that will allow me to start calculating the Cost?

****Simply put, if we are working manually and someone is handling the inventory, for example, Eslam, doing all the issues and receipts properly and keeping their paperwork, let's assume we have no system at all. Every time there is an issue, Eslam records it with the issue document and signs it. When there is a receipt, he prepares the invoice, generates the receipt document, bundles them together, and keeps them. At the end of the month, Eslam goes to the Cost person, and the Cost Accountant will say, "Give me all the issue documents and transactions so I can start calculating the cost of each Item and derive the inventory value," and so on.**

So now, as long as the Cost person hasn't seen the work Eslam is doing, will he calculate anything? No—because he hasn't received any documents.**

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Oracle, on the other hand, separates Cost and adds flexibility. The Cost person will calculate on their own quietly until they start reviewing the Transactions that occurred in Receiving, Inventory, Manufacturing, and Maintenance, as well as what happened in Payables, so that in the end they can organize all this and derive the inventory value.

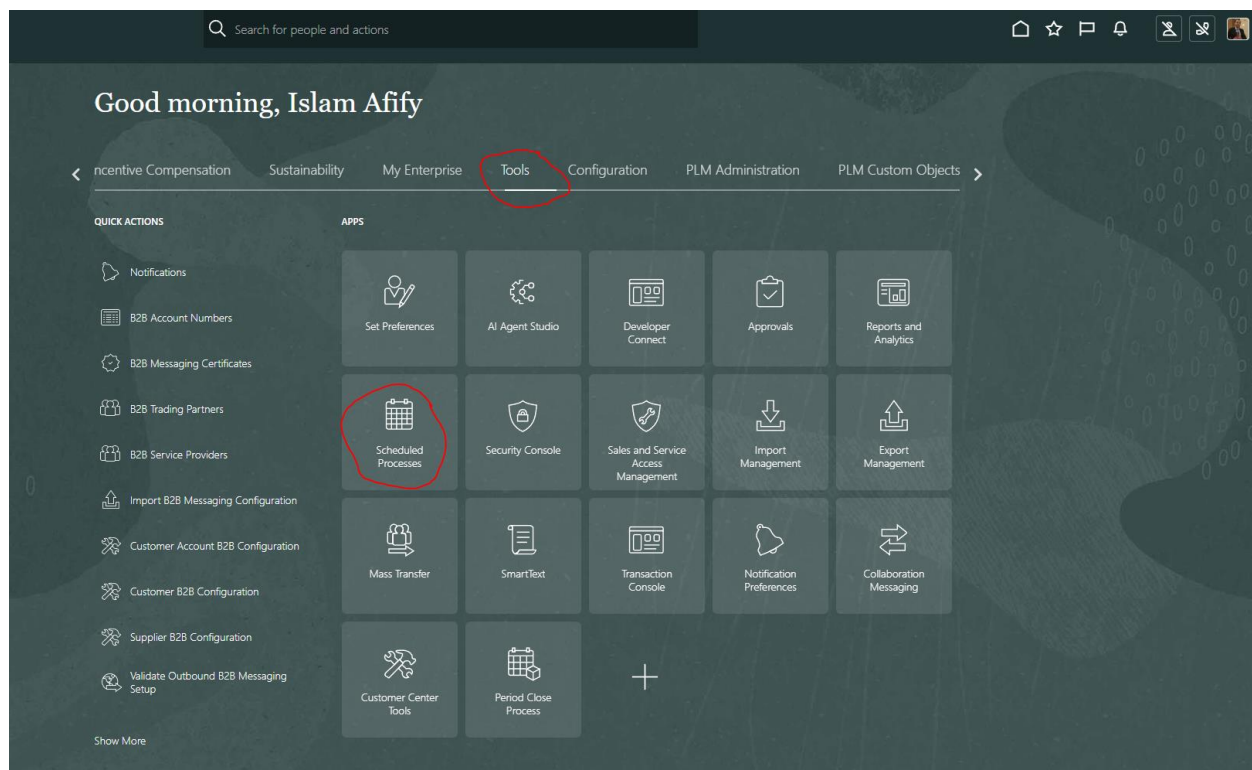
So, I have a set of Schedule Processes that I must run so the Costing Module starts recognizing all this.

****ScheduleNew Process – Transfer Trans**

****We do a Search, and four will appear.**

One is for China, which is not ours. If Production is not running, then only Inv To Cost and Receiving To Cost remain.

They are independent of each other because one comes from one source and the other from another source.



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

ORACLE

Overview

Search

Search Results

View: Flat List Hierarchy

Actions: View Schedule New Process Resubmit Put On Hold Cancel Process Release Process View Log

Name	Metadata Name	Process ID	Status	Scheduled Time	Submission Time	Submission Notes
Resubmit Undelivered Signals	ResubmitUndeliveredSign...	8937080	Wait	30/12/25 06:49 AM EET	30/12/25 06:39 AM EET	Resubmit Undelivered Signals
Refresh Access Control Data	RefreshAccessControlDat...	8937059	Wait	30/12/25 07:30 AM EET	30/12/25 06:30 AM EET	Refresh Access Data Hourly
Run Access Group Membership Rules	MembershipRulesBatchA...	8937055				BatchAssignRequest
Resubmit Undelivered Signals	ResubmitUndeliveredSign...	8937049				Resubmit Undelivered Signals

Search and Select: Name

Search

Name: Transfer Trans

Search Reset

Name	Description
Transfer Transactions from Inventory to Costing	Transfers inventory transa...
Transfer Transactions from Production to Costing	Transfers resource transa...
Transfer Transactions from Receiving to Costing	Posts transaction details f...
Transfer Transactions to Golden Tax Adaptor for China	Transfer Receivables tran...

OK Cancel

Schedule New Process Resubmit Put On Hold Cancel Process Release Process View Log

Metadata Name	Process ID	Status	Scheduled Time	Submission Time	Submission Notes
ResubmitUndeliveredSign...	8937080	Wait	30/12/25 06:49 AM EET	30/12/25 06:39 AM EET	Resubmit Undelivered Signals
RefreshAccessControlDat...	8937059	Wait	30/12/25 07:30 AM EET	30/12/25 06:30 AM EET	Refresh Access Data Hourly
MembershipRulesBatchA...	8937055				BatchAssignRequest
ResubmitUndeliveredSign...	8937049				Resubmit Undelivered Signals

Schedule New Process

Type: Job Job Set

Name: Transfer Transactions from Receiving to Costing

Description: Posts transaction details from receiving to costing.

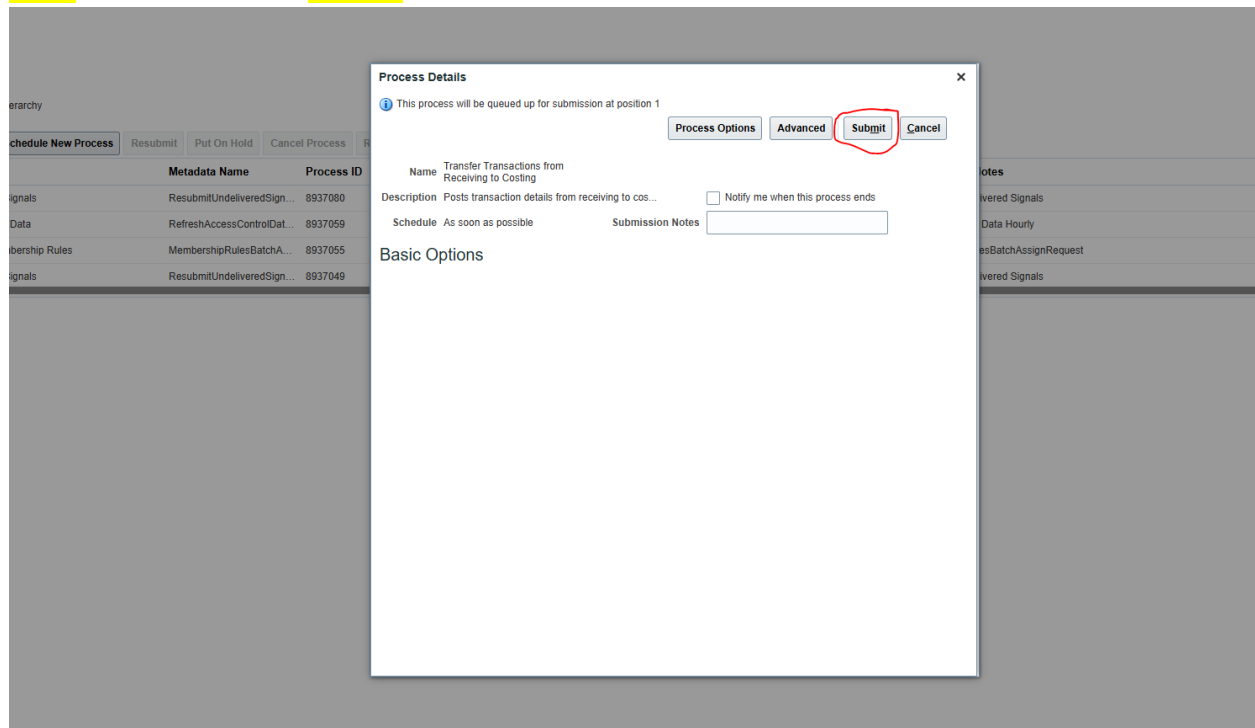
OK Cancel

Created By: Islam Afify

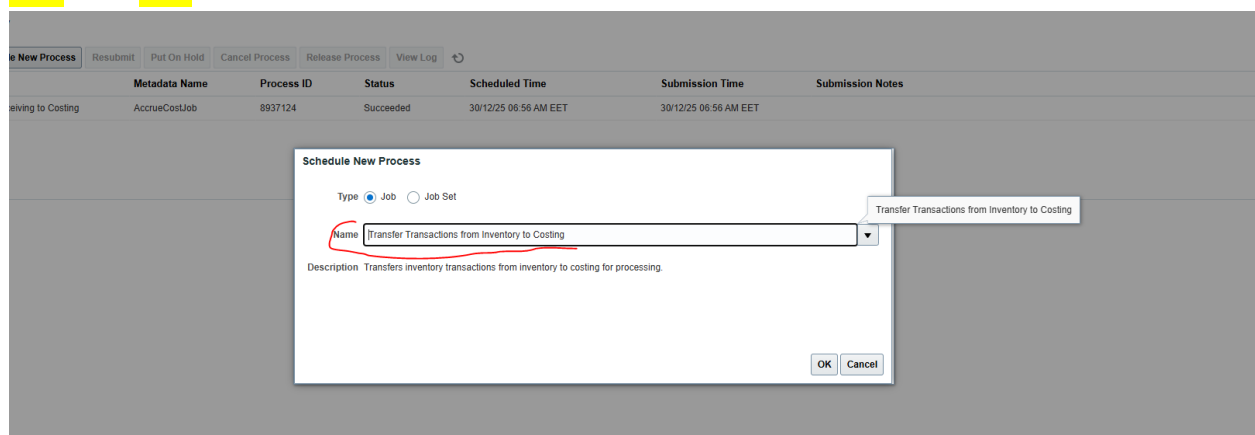
+2 01060903831

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After that, we click on **Submit** Without Any Parameters.



And then **Run** the next one.



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Process Details ✕

i This process will be queued up for submission at position 1

Process Options **Advanced** **Submit** **Cancel**

Name Transfer Transactions from Inventory to Costing

Description Transfers inventory transactions from inventory... ☐ Notify me when this process ends

Schedule As soon as possible **Submission Notes**

Basic Options

Parameters

Cost Organization ISF Cost OrgG ▼

Commit Limit 500000

Commit Limit

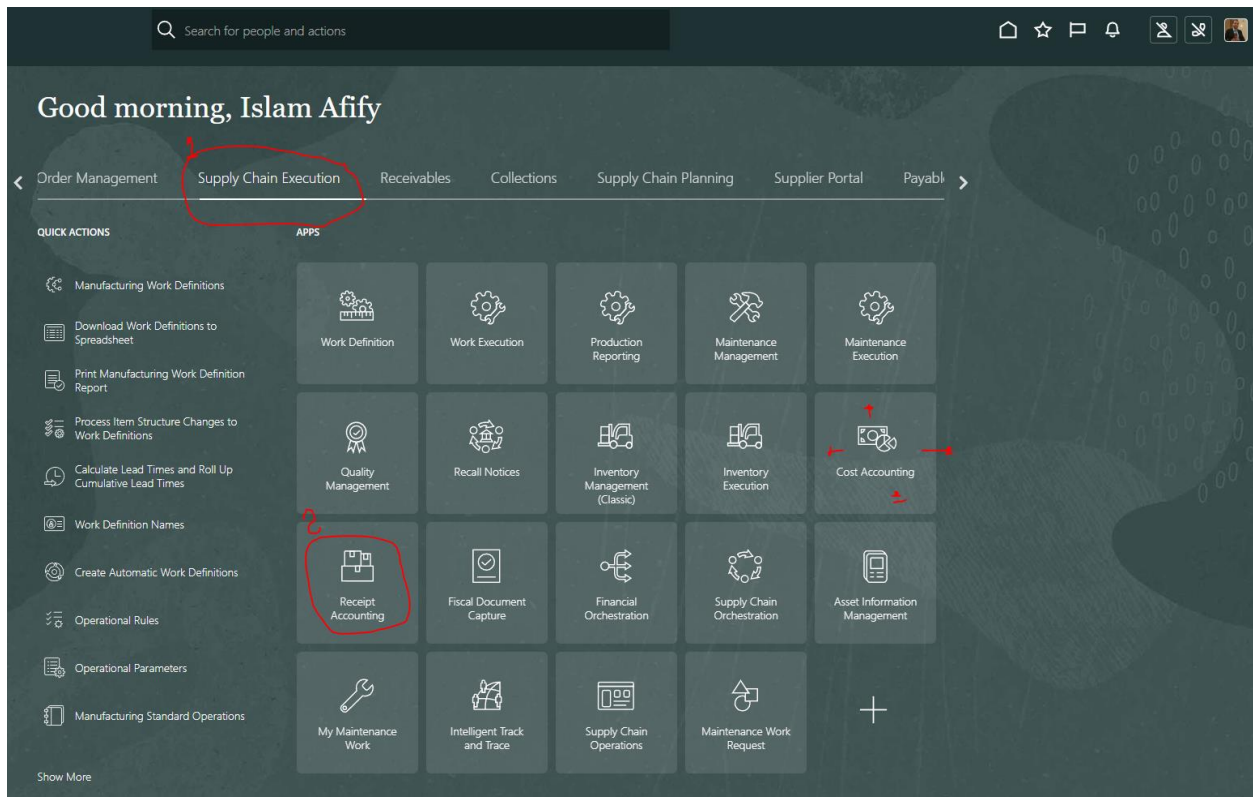
This is just a view from Oracle, but it's important and useful for large numbers. For example, here 500,000 (half a million). It says that when I run, if the Transactions I am transferring exceed half a million, it will Commit every half a million—that is, Save. Here, Commit = Save in the database.

Now, I have **Receiving** first, so I check the **Receiving** and complete it. After that, we go into **Inventory**.

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+2 01060903831

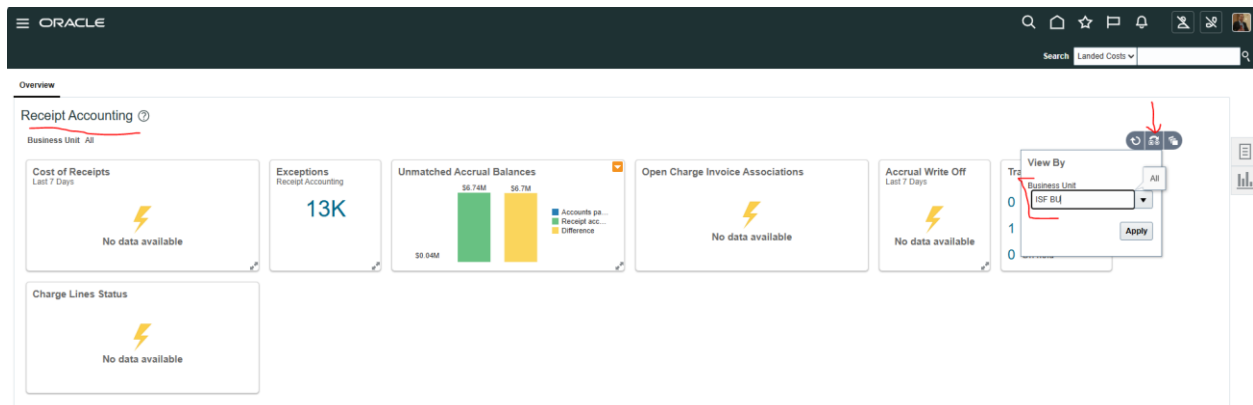
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So, why is the **Receipt Accounting** separated from the **Cost Accounting** here?

Because there is an Option available in Receipt Accounting that is not in Cost Accounting.

But which one is the primary? Cost Accounting, because it contains the Receipt Accounting. It's not the other way around. They are separated because some Options in Receipt Accounting are different from those in Cost Accounting.



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Oracle Receipt Accounting Overview

Business Unit: ISF BU

Cost of Receipts
Last 7 Days
No data available

Exceptions
Receipt Accounting
0

Unmatched Accrual Balances
No data available

Open Charge Invoice Associations
No data available

Accrual Write Off
Last 7 Days
No data available

Charge Lines Status
No data available

Sidebar Menu:

- Accrual Processing
 - Create Receipt Accounting Distributions
 - Create Uninvoiced Receipt Accruals
 - Record In-transit Inventory and Expense for External Receipts
 - Review Receipt Accounting Distributions
- Accrual Clearing
 - Clear Receipt Accrual Balances
 - Manage Accrual Clearing Rules
 - Adjust Receipt Accrual Balances
- Accrual Reconciliation
 - Match Receipt Accruals
 - Audit Receipt Accrual Clearing Balances
- Accounting
 - Create Accounting
 - Review Journal Entries
- Landed Costs
 - Trade Operations
 - Orders to Estimate
 - Charge Invoice Associations
 - Landed Cost Run Control
 - Landed Cost Process Errors
 - Trade Operation Templates
 - Reconcile Landed Cost Charges
 - Item Landed Costs
 - Landed Costs Summary
 - Capture Trade Operation Charges in Spreadsheet

We have transferred the transactions, so now I want to start **creating the Receipt Accounting Distribution**. Why is it called that?

Because I will take each transaction and start creating its Distribution so I can determine which type of accounting entry each transaction will post to.

It will open the **Schedule Process** for me.

Create Receipt Accounting Distributions

This process will be queued up for submission at position 1

Name: Create Receipt Accounting Distributions
Description: Creates distribution lines for purchase order l...
Schedule: As soon as possible

Basic Options

Parameters:

- Bill to Business Unit: ISF BU
- Commit Limit: 100000
- Number of Worker Processes: 10

Submission Notes:

Buttons: Process Options, Advanced, **Submit**, Cancel

Overview

Search: Name, Process ID, Status, Submission Time, Submission Notes, Submitted By

Search Results:

Name	Process ID	Status	Scheduled Time	Submission Time
Create Receipt Accounting Distributions	8937372	Paused	30/12/25 07:29 AM EET	30/12/25 07:29 AM EET
Import Transactions from Interface for Receipt Accounting	8937373	Succeeded	30/12/25 07:29 AM EET	30/12/25 07:29 AM EET
Create Receipt Accounting Distributions: Subprocess	8937387	Running	30/12/25 07:30 AM EET	30/12/25 07:30 AM EET

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Now, we will choose Receipt Accounting Distribution so I can review all the transactions that occurred and see the Distribution applied to them.

We select the Transaction and do View Details. All the details will appear, and we will also find the Distribution Details.

We will check the accounting entries for the transactions we are processing. We can select multiple ones and review them. There will be a small toolbar, like Next, and we can do an Export, but only the last 500.

Review Receipt Accounting Distributions

ViewFormatFreezeDetachWrap

Profit Center Business Unit	Bill to Business Unit	Inventory Organization	Source Document Type	Transaction Date	Transaction Type	Account Date	Transaction Status	Funds Reservation					Source Document Number	Source Document Line Number	Destination Type	Item
								Budgetary Control Enabled	En Ac	Fund Reservation Status	Liquidation Amount	Reservation Amount				
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000019	4	Inventory	PSF-Cst-C
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000019	3	Inventory	PSF-Cst-C
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000019	2	Inventory	PSF-Cst-C
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000019	1	Inventory	PSF-Cst-C
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000017	3	Inventory	PSF-LOT
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000017	1	Inventory	PSF-Cst-C
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000017	2	Inventory	PSF-Cst-C
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000013	2	Inventory	PSF-002
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000013	1	Inventory	PSF-001
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/2...	Receipt Into Receiv...	29/12/25	Distribution p...						AH-PO000013	3	Inventory	PSF-LOT

Columns Hidden 4Columns Frozen 9

AH-PO000017: Transaction Details and Distributions

Cost InformationDistributionsJournal Entries

ViewFormatFreezeDetachWrap

Accounting Line Type	Cost Source	Transactional Currency Amount (USD)		Ledger Amount (USD)	
		Debit	Credit	Debit	Credit
Receiving Inspection	Purchase order	3,000.00		3,000.00	
Accrual	Purchase order		3,000.00		3,000.00
Accrual	Transaction taxes-Taxes copied fro...		0.00		0.00
Receiving Inspection	Transaction taxes-Taxes copied fro...	0.00		0.00	
Accrual	Transaction taxes-Taxes copied fro...		0.00		0.00
Receiving Inspection	Transaction taxes-Taxes copied fro...	0.00		0.00	

On the Redwood screens, it looks a little different, but the details are the same.

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+2 01060903831

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ORACLE Receipts

Receipt Into Receiving Inspection, AH-PO000007-1-1-1, SH-001
1 of 5

Next

Transaction details

Item: SH-001
Description: يا منيهل
Ledge: US Primary Ledger

Bill to Business Unit: SH BU
Profit Center Business Unit: SH BU
Inventory Organization: SH Inventory2

Ship-to Location: SH 6th Of October
Supplier: SH Supplier 1
Supplier Site: Cairo

Destination Type: Inventory
Transaction Status: Distribution processed
Receipt Number: 202620002

Source Document Quantity: 100 Ea
Tax Exclusive Price: 15
Transaction Date: 27-12-2025

Accounting Date: 27-12-2025
Receipt Creation Date: 27-12-2025
[Journal Lines](#)

Cost Information

Cost Source	Transaction Unit Cost	Ledger Unit Cost	Source Document...	Tax Inclusive...	Inclusive Tax	Currency Conversion...	Currency Conversion...	Currency Conversion...
Transaction taxes	0.00 USD	0.00 USD	Ea					
Purchase order	15.00 USD	15.00 USD	Ea	15.00 USD	0.00 USD			

Distributions Details

Accounting Line Type	Cost Source	Transaction Amount(Debit)	Transaction Amount(Credit)	Ledger Amount(Debit)	Ledger Amount(Credit)

Now, let's go back to **Cost Accounting**.

We have more than one Cost Book here. It says that to run the Cost, I must specify which Cost Book I will work on and until what date. So, it cannot be like Receiving where I just click Run and it runs for all BUs. No, what must I do? I need to do something called:

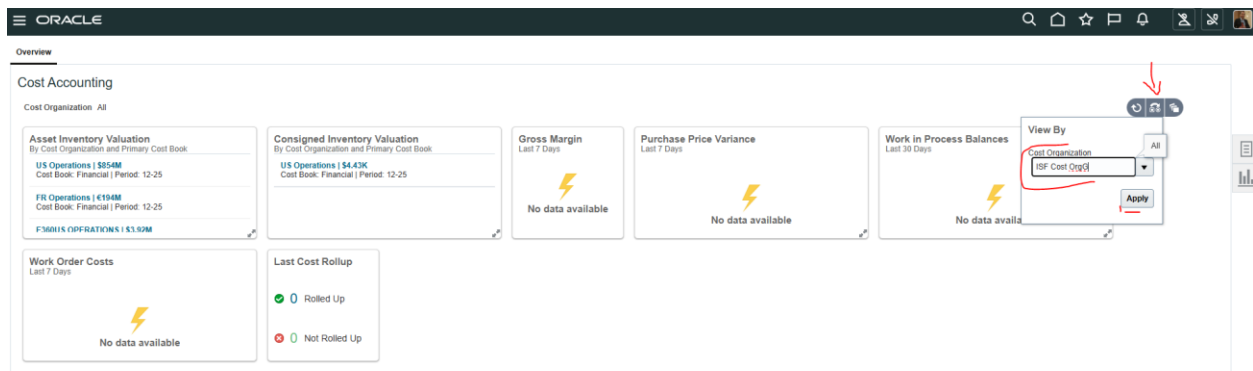
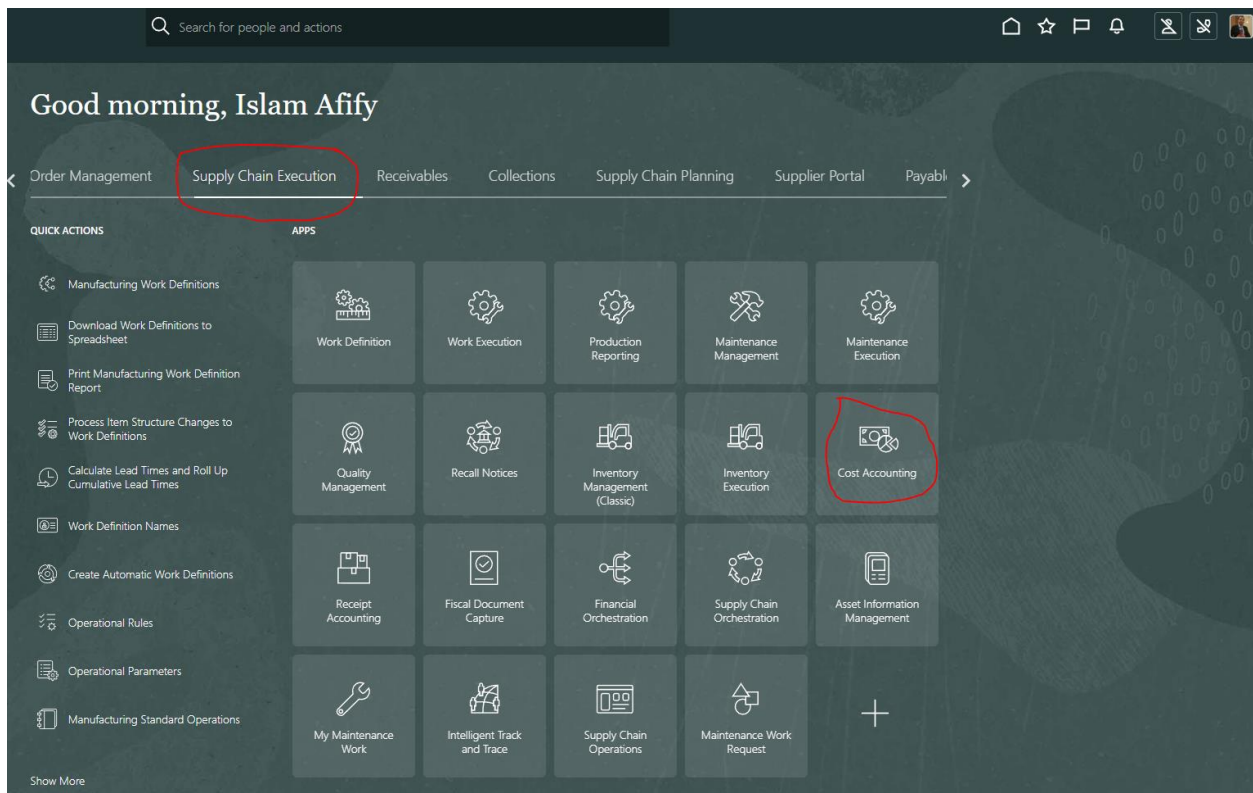
****Cost Processing Run Control**

Which tells the system what to Run, when, how, and until what date.

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+2 01060903831

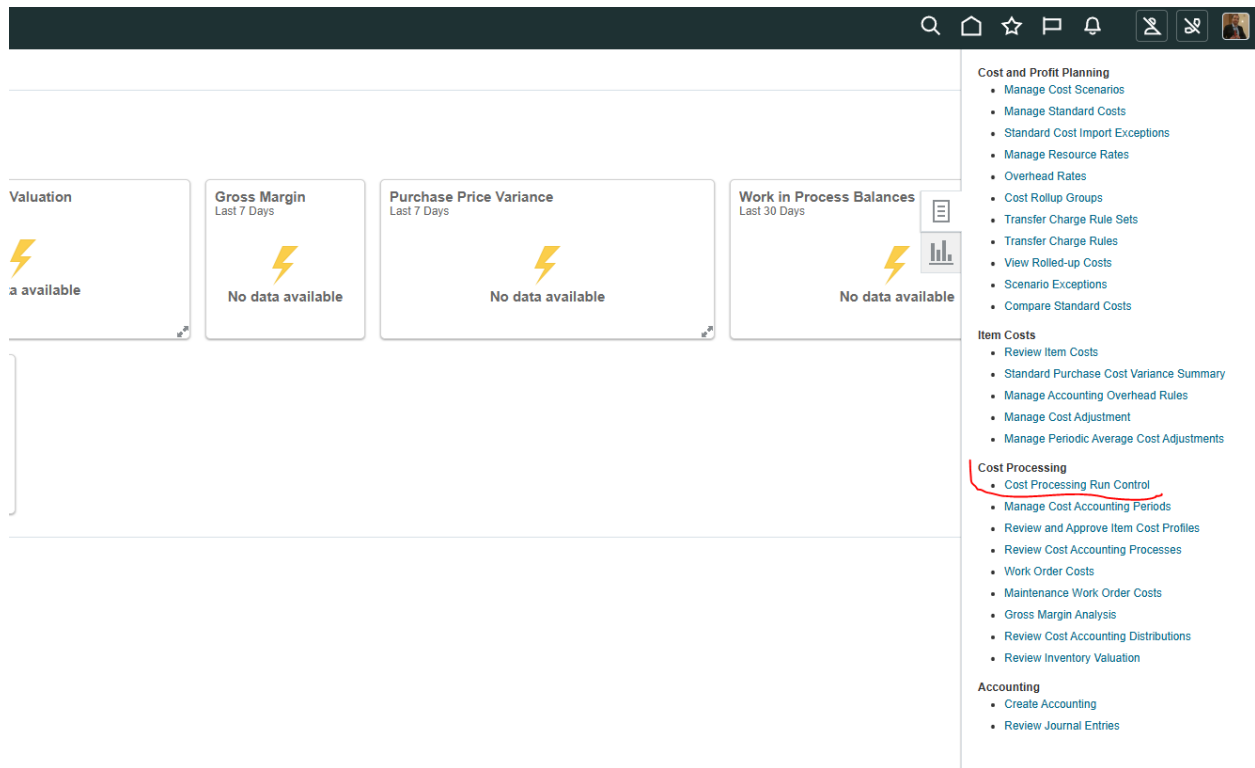
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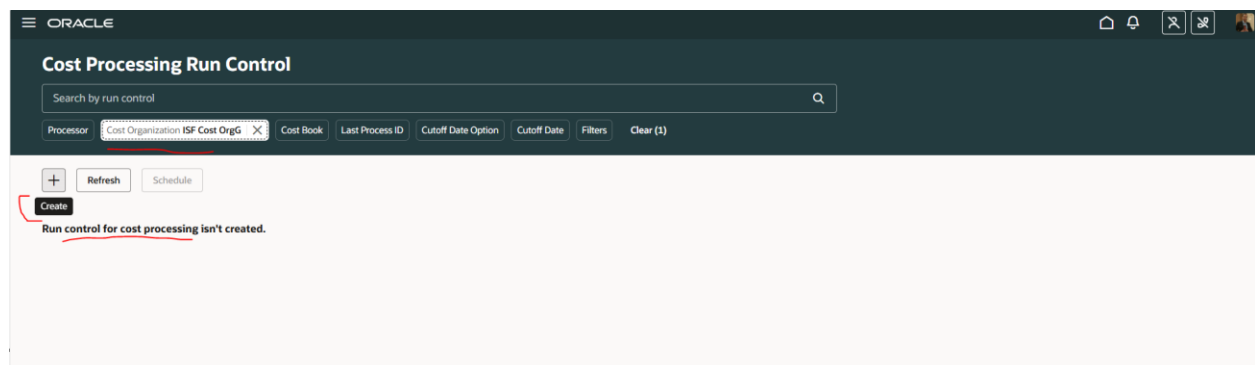
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+2 01060903831

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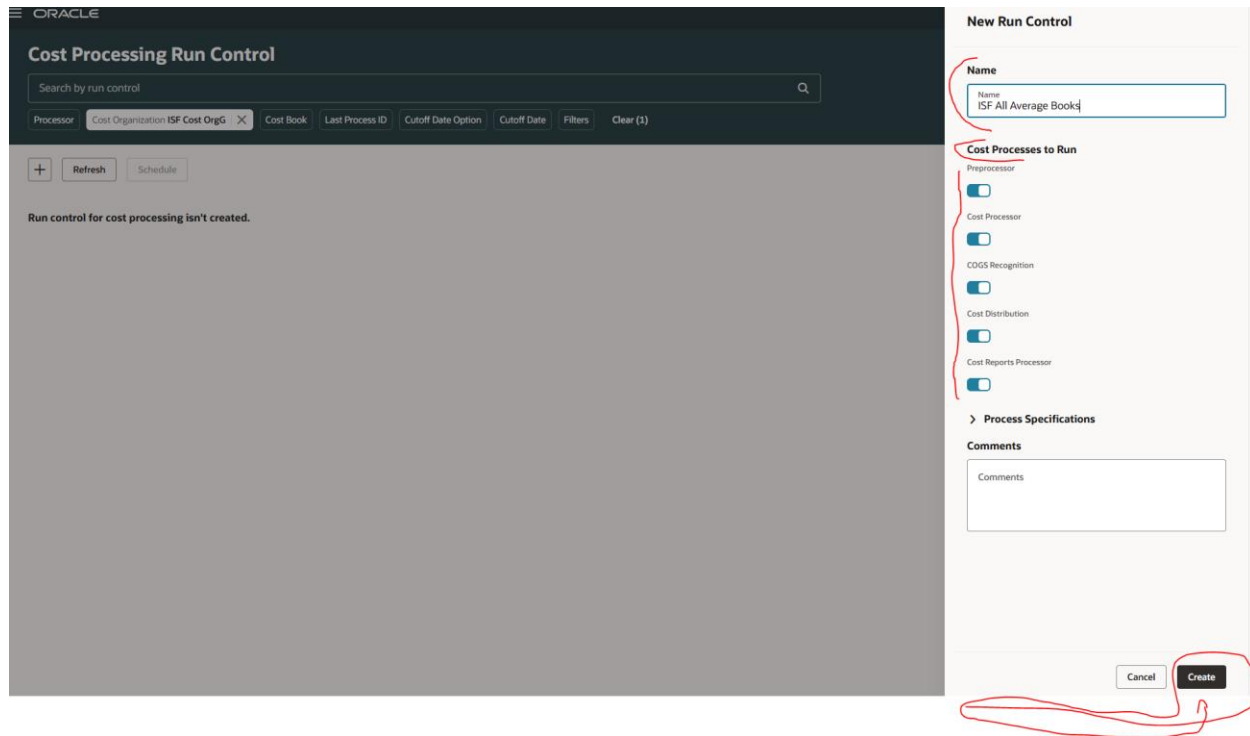
I will filter on my Cost Org. Of course, I won't find anything yet, so we create the Cost Process Run Control to tell it what to Run, when, on which Org, and until what date.



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+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271



At the Cost Process To Run

To understand them, we need a little more, but the point is that they are important. Of course, we will leave everything open like in the image because I want all my transactions to be costed. But if we close any of them, we lose something. Still, if I have millions of transactions, it's better to run each one separately to reduce server load. Since we have only a few transactions now, we will run everything together.

Again: Why are we running the Cost Process To Run?

Let's go back to our example. Eslam took the paperwork and gave it to the Costing person. This person, in order to organize the paperwork by dates and numbers and separate each item so they can record its costs, needs to do some work. Here, this is exactly what this person does—consider them the Cost Accountant. So, this is the Engine responsible for calculating all the cost transactions that occurred in inventory during this period.

After we do Create, we will do ADD and select the Cost Org, then choose the Primary Book.

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

As soon as we select, it will pull its data. The important question now is the Cutoff Date Option.

****There are two options: the first one is Auto. You can choose it, but it's better not to. Why? For example, if we are in December and move to January, and I want to stop this process so it only runs up to 31/12—what about the transactions on the 1st? I haven't closed December because I want to review and see what's happening. If I choose Auto, it will take the current date.**

User Defined is a safer solution because it's always controlled—you decide which transactions get costed. Why again? Sometimes the company tells me that if we run the whole month at once, it puts too much load. So, they agree with Finance and all relevant departments to run every 15 days or weekly. For example, they want to run from the start of the month up to the 15th because Finance still has invoices with Invoice Price Variance not yet resolved in inventory. So, I want to lock the date to the 15th.

This way, we tell our Engine to stop at that day. It's not just by day, but also by hour and minute. Here, we will set it to the last second of the month, as in the image.**

Oracle ISF All Average Books configuration page. The page shows various settings for cost processes, including Preprocessor, Cost Processor, COGS Recognition, and Cost Distribution, all set to 'Yes'. Under 'Process Specifications', the 'Cutoff Date Option' is set to 'User defined'. A table below shows the 'Cost organization books included' with columns for Ledger, Cutoff Date Option, Cutoff Date, and Periodic Average Book. A red box highlights the 'Add' button in the table. To the right, a sidebar titled 'Add Cost Organization Books' shows the configuration for the selected book, including 'Cost Organization' (ISF Cost OrgG), 'Cost Book' (ISF A-Cost Book C-O), 'Primary Cost Book' (Yes), 'Periodic Average Book' (No), and 'Cutoff Date Option' (User defined). The 'Cutoff Date' is set to '12/31/25, 11:59:59 PM'. At the bottom right, there are buttons for 'Save and Close', 'Save and Next', 'Cancel', and 'Save'.

So, the Cutoff Date

Created By: Islam Afify

+2 01060903831

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Again, if you choose Auto, it will cost the Transactions up to which date? The date you clicked Run on.

We will do the same again with the remaining examples, choose the Lot, also User Defined, the same date, and select the other Books.

The Periodic option will ask for the Period and will only show the Open Period. It won't ask for a date because it works automatically from the 1st to the last day of the month, 31st, and there's no way to tell it to calculate up to the 15th. Then we do Run Now.

< ISF All Average Books
Created by Islam.Afify on 30/12/2025

Last Process ID Last Run Date Status: Not started

Cost Processes to Run

Preprocessor	Cost Processor	COGS Recognition	Cost Distribution
Yes	Yes	Yes	Yes

> Process Specifications

Cost organization books included

Search by cost organization or cost book

Ledger Cutoff Date Option Cutoff Date Periodic Average Book

+ Edit Delete

	Cost Organization	Cost Book	Ledger	Cutoff Date Option	Cutoff Date
☐	ISF Cost OrgG	ISF A-Cost Book C-O	US Primary Ledger	User defined	12-25

Comments

Comments

Cost Organization: ISF Cost OrgG

Cost Book: ISF Periodic Average C-O

Primary Cost Book: No

Periodic Average Book: Yes

Cutoff Date Option: Auto

Period: 12-25

Period Status: Open

☒ Automatically Update Period on Run Control

Cancel Save

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

COST PROCESSING RUN CONTROL

Search by run control

Processor Cost Organization ISF Cost OrgG X Cost Book Last Process ID Cutoff Date Option Cutoff Date Filters Clear (1)

+ Refresh Schedule

Run Control	Description	Status	Last Process ID	Duration	Action
☒ ISF All Average Books All Processors	ISF Cost OrgG - ISF A-Cost Book C-O + 3 Cost organization books included	Not started	<u>Last Process ID:</u>	Duration :	Run Now

Then we will review the Process, and we will see the Duration displayed next to it.

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Overview

Search

Name: Submission Time: After 30/12/25 05:46 AM (UTC+02:00) Cairo - Egypt Time (ET)

Process ID: 8937889 Submission Notes: Contains

Status: Submitted By:

Search Results

View: ☐ Flat List ☒ Hierarchy

Actions: View

Name	Process ID	Status	Scheduled Time	Submission Time
Create Cost Accounting Distributions	8937889	Succeeded	30/12/25 09:15 AM EET	30/12/25 09:15 AM EET

Cost Processing Run Control

Search by run control

Processor: Cost Organization ISF Cost OrgG X Cost Book Last Process ID Cutoff Date Option Cutoff Date Filters Clear (1)

Process ID 8937889 submitted

+ Refresh Schedule

ISF All Average Books All Processors

ISF Cost OrgG - ISF A-Cost Book C-O + 3 Cost organization books included

Completed successfully Last Process ID: 8937889 30/12/25 09:15 AM

Duration : 00:02:50

Run Now

From the Duration column, we can review more details and see which one took more time.

Cost Processing Run Control

Search by run control

Processor: Cost Organization ISF Cost OrgG X Cost Book Last Process ID Cutoff Date Option Cutoff Date Filters

Process ID 8937889 submitted

+ Refresh Schedule

ISF All Average Books All Processors

ISF Cost OrgG - ISF A-Cost Book C-O + 3 Cost organization books included

ISF All Average Books Status

Process ID 8937889

View Detailed Timings Refresh

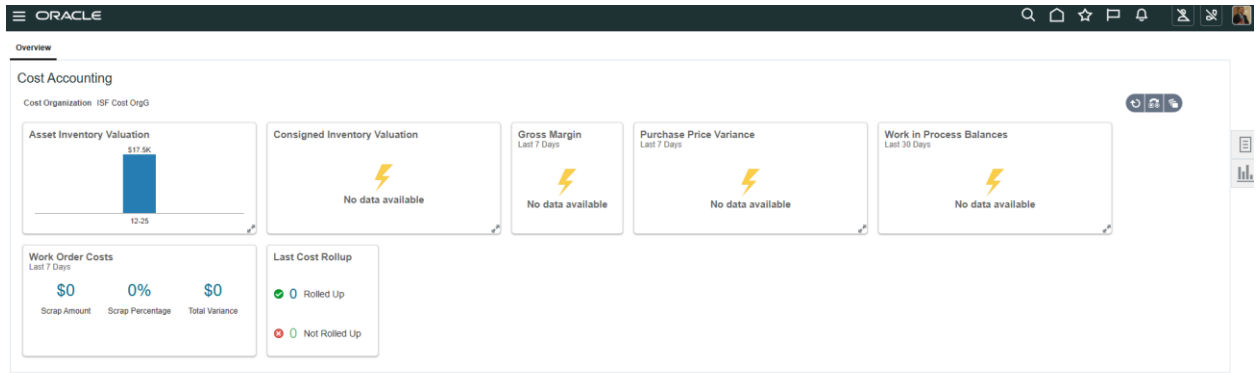
Status	Commit Limit...	Inner Loop	Ste	Start Time	End Time	Duration
Completed			1..	30/12/25 09:15 AM	30/12/25 09:15 AM	00:00:08
Completed			1..	30/12/25 09:15 AM	30/12/25 09:17 AM	00:01:27
Completed	1	1	2..	30/12/25 09:17 AM	30/12/25 09:17 AM	00:00:34
Completed	1		1..	30/12/25 09:17 AM	30/12/25 09:17 AM	00:00:03
Completed	1		1..	30/12/25 09:17 AM	30/12/25 09:18 AM	00:00:13
Completed			1..	30/12/25 09:18 AM	30/12/25 09:18 AM	00:00:07
Completed		1	2..	30/12/25 09:18 AM	30/12/25 09:18 AM	00:00:18

Now, let's go back, and we will find the inventory value displayed so I can see how my inventory value looks.

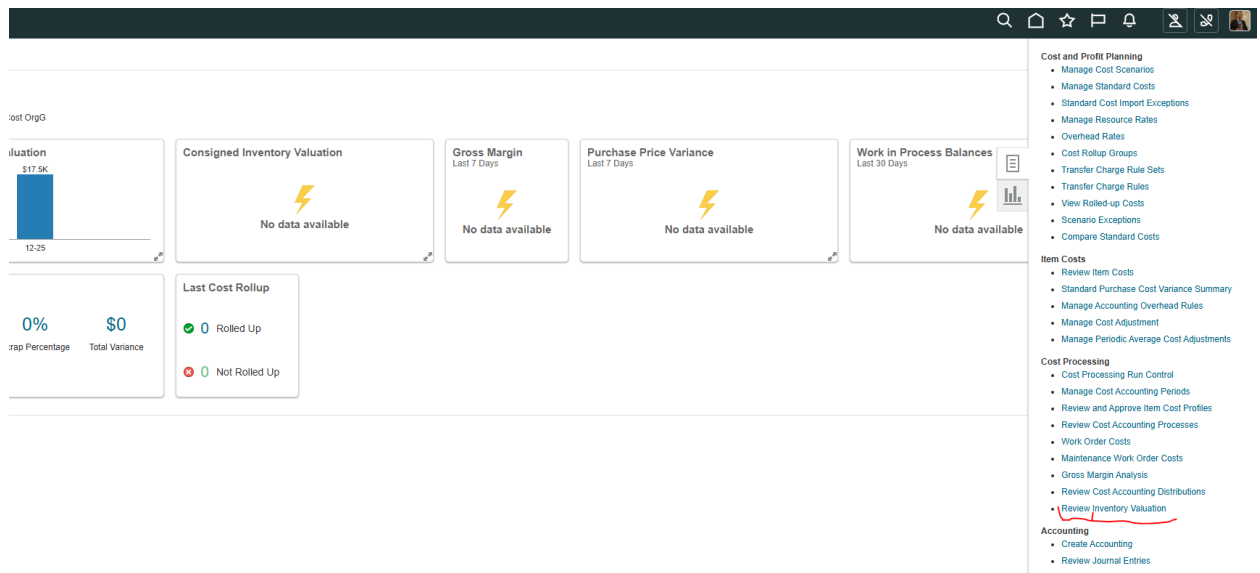
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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)



**Inventory Valuation



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+2 01060903831

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Search

Primary Book: Yes
 Cost Organization: ISF Cost Org
 Cost Book:
 Period Name: 12-25
 Valuation Structure Type: Asset

Search Results

Cost Organization	Cost Book	Valuation Structure Type	Currency	Inventory Value (12-25)	Prior Inventory Value	Period Activity	Period Costed Value	Period Accounted Value	Last Summarized Date	Last Cost Processor Run Date
ISF Cost Org	ISF A-Cost Boo...	ASSET	USD	17,500	0	17,500	17,500	17,500	30/12/25 09:18 AM	30/12/25 09:15 AM

Summary by Control Attribute

ISF Cost Org, ISF A-Cost Book C-O, ASSET

Inventory Organization	Inventory Value (12-25)	Prior Inventory Value	Item Details
ISF Inventory 1	12,500	0	
ISF Inventory 2	2,500	0	
ISF Inventory 3	2,500	0	

And we review the Primary Book. Since we set it as Both—Automatic and Manual—it will appear like this.

Didn't we say that the system will take the Transaction and check which Inv.Org it belongs to, then see which Cost.Org this Inv.Org is linked to and which Cost Book it is connected with? After that, it takes all this information and applies the Default Cost Profile that matches these Cost Orgs and Cost Books. It gave them all the Cost Books we worked on or the Cost Profile, so our Item now has a Cost Profile that calculates Average.

Oracle

Overview [Review Inventory Valuation](#)

Inventory Value by Item

ISF Cost Org, ISF A-Cost Book C-O, ISF Inventory 1, 12-25: Inventory Value

Item	Valuation Unit	Unit Cost	Prior Unit Cost	UOM Name	Quantity (12-25)	Prior Quantity	Inventory Value (12-25)	Prior Inventory Value
ISF-LOT2-001	ISF_Cost_Org-I...	30.00000		Ea	100.00000	0.00000	3,000.00	
ISF-Lot-001	ISF_Cost_Org-I...	25.00000		Ea	100.00000	0.00000	2,500.00	
ISF-002	ISF_Cost_Org-I...	20.00000		Ea	100.00000	0.00000	2,000.00	
ISF-001	ISF_Cost_Org-I...	15.00000		Ea	100.00000	0.00000	1,500.00	
ISF-Cst-0002	ISF_Cost_Org-I...	15.00000		Ea	100.00000	0.00000	1,500.00	
ISF-4401000...	ISF_Cost_Org-I...	10.00000		Ea	100.00000	0.00000	1,000.00	
ISF-Cst-001	ISF_Cost_Org-I...	10.00000		Ea	100.00000	0.00000	1,000.00	

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

And I start reviewing the inventory value at the level of the other Cost Books.

The screenshot shows the Oracle Review Inventory Valuation interface. At the top, there's a search bar and a 'Done' button. Below, a table lists inventory items with columns: Cost Organization, Cost Book, Valuation Structure Type, Currency, Inventory Value (12/25), Prior Inventory Value, Period Activity, Period Costed Value, Period Accounted Value, Last Summarized Date, and Last Cost Processor Run Date. Three rows are visible, all for ISF Cost OrgG, ISF A-Cost Book, ASSET, USD, with an inventory value of 17,500. Below the table, a 'Summary by Control Attribute' section shows a detailed view for 'ISF Cost OrgG, ISF A-Cost Book C-O-LOT, ASSET'. It includes a table with columns: Valuation Unit, Inventory Organization, Subinventory, Prior Inventory Value, Period Activity, Period Costed Value, Period Accounted Value, and Item Details. The table lists several subinventories (ISF1-100001 to ISF1-10005) with their respective values and activities. A red circle highlights the 'Item Details' column for the first row.

Cost Organization	Cost Book	Valuation Structure Type	Currency	Inventory Value (12/25)	Prior Inventory Value	Period Activity	Period Costed Value	Period Accounted Value	Last Summarized Date	Last Cost Processor Run Date
ISF Cost OrgG	ISF A-Cost Boo...	ASSET	USD	17,500	0	17,500	17,500	0	30/12/25 09:18 AM	30/12/25 09:15 AM
ISF Cost OrgG	ISF Periodic Ar...	ASSET	USD	17,500	0	17,500	17,500	0	30/12/25 09:18 AM	30/12/25 09:15 AM
ISF Cost OrgG	ISF A-Cost Boo...	ASSET	USD	17,500	0	17,500	17,500	0	30/12/25 09:18 AM	30/12/25 09:15 AM

Valuation Unit	Inventory Organization	Subinventory	Prior Inventory Value	Period Activity	Period Costed Value	Period Accounted Value	Item Details
ISF_Cost_Org-ISF1-			0	7,000	7,000	0	Details
ISF_Cost_Org-ISF1-100001			2,500	0	2,500	0	
ISF_Cost_Org-ISF1-10001			450	0	450	0	
ISF_Cost_Org-ISF1-10002			450	0	450	0	
ISF_Cost_Org-ISF1-10003			450	0	450	0	
ISF_Cost_Org-ISF1-10004			450	0	450	0	
ISF_Cost_Org-ISF1-10005			1,200	0	1,200	0	

We can review and do a Search in a different way—searching even if I want to see a specific Item Cost, a date, a Cost Book, and so on.

Now, we received another PO on ISF1 with our quantities, also in Lots. To get it to Costing, the Costing Manager, and Receipt Accounting, we need to run the Schedule Process on it—the same cycle we did before. First, Transfer Transactions from Inventory to Receiving, second, Transfer Transactions from Inventory to Costing, and after that, we will do the Cost Processing Run Control.

The screenshot shows the Oracle Cost Processing Run Control interface. At the top, there's a search bar and a 'Search by run control' button. Below, a table lists processes with columns: Processor, Cost Organization, Cost Book, Last Process ID, Cutoff Date Option, Cutoff Date, Filters, and Run Now. Two processes are visible: 'ISF All Average Books' and 'SH All Average Books'. Both are marked as 'Completed successfully' with their last process IDs and durations. A red circle highlights the 'Completed successfully' status for the first process.

Processor	Cost Organization	Cost Book	Last Process ID	Cutoff Date Option	Cutoff Date	Filters	Run Now
ISF All Average Books	ISF Cost OrgG - ISF A-Cost Book C-O + 3	Cost organization books included	Completed successfully Last Process ID: 8938823 30/12/25 11:54 AM			Duration : 00:01:39	Run Now
SH All Average Books	SH Cost Org - SH A-Cost Book C-O + 4	Cost organization books included	Completed successfully Last Process ID: 8916179 27/12/25 09:59 PM			Duration : 00:01:34	Run Now

Note

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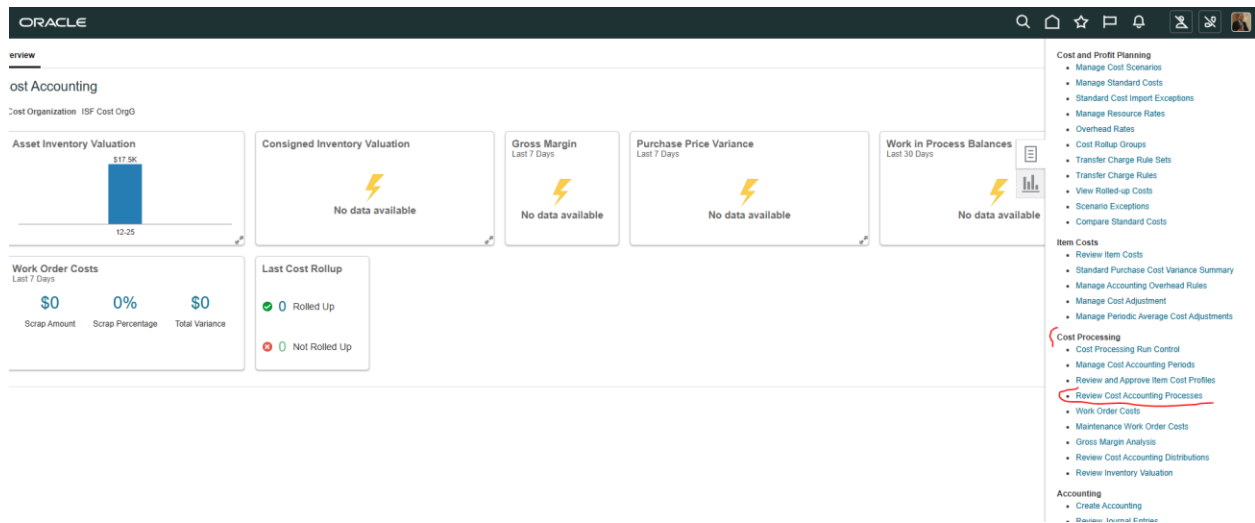
+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

In companies, it's not always Complete Successfully; there are usually issues. We have another screen called

Review Cost Control Run Process

I use it to see the results of what happened so I can identify where the Errors are.



The screenshot shows the "Review Cost Accounting Processes" search interface. The search criteria are as follows:

- Run Control:** Starts with "ISF All" (highlighted with a red circle).
- Process ID:** Equals (empty field).
- Processor:** Equals (empty field).
- Message Type:** Equals "All" (highlighted with a red circle).
- Message:** Equals (empty field).

The search results table is currently empty, showing "No search conducted". The table headers are:

Run Control	Process ID	Processor	Message Type	Cost Organization	Cost Book	Message	Record Count
-------------	------------	-----------	--------------	-------------------	-----------	---------	--------------

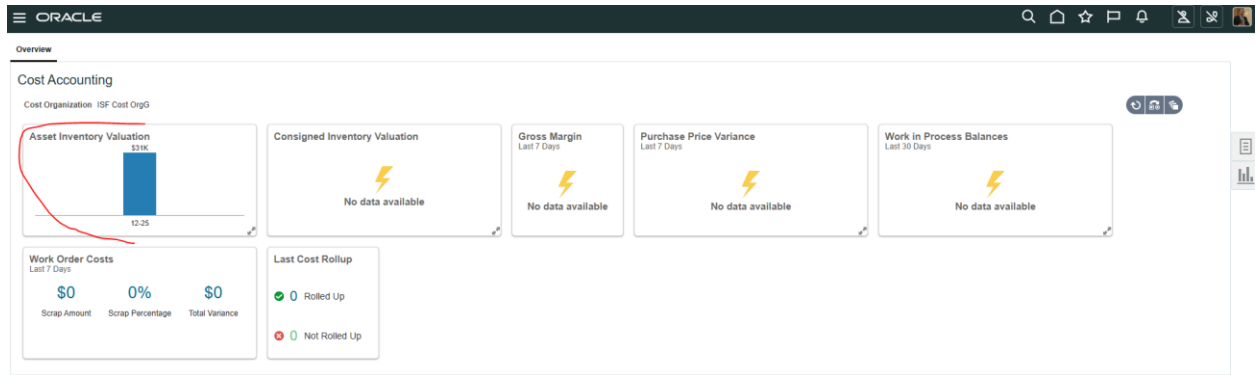
If there is no Error, what appears will be Just For Reporting because I did ALL and selected everything, not only Errors. But if there is an Error, it will tell me where it is and the reason.

We will go to Review Inventory Valuation and review it.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)



ORACLE

Overview Review Inventory Valuation x

Review Inventory Valuation

Search

Search Results

Cost Organization	Cost Book	Valuation Structure Type	Currency	Inventory Value (12-25)	Prior Inventory Value	Period Activity	Period Costed Value	Period Accounted Value	Last Summarized Date	Last Cost Processor Run Date
ISF Cost OrgG	ISF A-Cost Book C-O	ASSET	USD	31,000	0	31,000	31,000	0	30/12/25 11:55 AM	30/12/25 11:54 AM

Columns Hidden: 2

Summary by Control Attribute

ISF Cost OrgG, ISF A-Cost Book C-O, ASSET

Valuation Unit	Inventory Value (12-25)	Prior Inventory Value	Period Activity	Period Costed Value	Period Accounted Value	Item Details
ISF_Cost_Org-ISF1	26,000	0	26,000	26,000	0	
ISF_Cost_Org-ISF2	2,500	0	2,500	2,500	0	
ISF_Cost_Org-ISF3	2,500	0	2,500	2,500	0	

All amounts in USD

And also do **Review Item Cost**.

ORACLE

Overview

Cost Accounting

Cost Organization: ISF Cost OrgG

Asset Inventory Valuation
 \$31K
 12-25

Consigned Inventory Valuation
 No data available

Gross Margin
 Last 7 Days
 No data available

Purchase Price Variance
 Last 7 Days
 No data available

Work in Process Balances
 Last 30 Days
 No data available

Work Order Costs
 Last 7 Days
 \$0 Scrap Amount 0% Scrap Percentage \$0 Total Variance

Last Cost Rollup
 0 Rolled Up
 0 Not Rolled Up

Cost and Profit Planning

- Manage Cost Scenarios
- Manage Standard Costs
- Standard Cost Import Exceptions
- Manage Resource Rates
- Overhead Rates
- Cost Rollup Groups
- Transfer Charge Rule Sets
- Transfer Charge Rules
- View Rolled-up Costs
- Scenario Exceptions
- Compare Standard Costs

Item Costs

- Review Item Costs
- Standard Purchase Cost Variance Summary
- Manage Accounting Overhead Rules
- Manage Cost Adjustment
- Manage Periodic Average Cost Adjustments

Cost Processing

- Cost Processing Run Control
- Manage Cost Accounting Periods
- Review and Approve Item Cost Profiles
- Review Cost Accounting Processes
- Work Order Costs
- Maintenance Work Order Costs
- Gross Margin Analysis
- Review Cost Accounting Distributions
- Review Inventory Valuation

Accounting

- Create Accounting
- Review Journal Entries

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Overview Review Item Costs x

Review Item Costs

Search

Cost Organization: ISF Cost OrgG
 Cost Book: ISF A-Cost Book C-O
 Item: Starts with ISF
 Cost Method: Equals
 Valuation Unit: Equals
 Effective Cost Date: On or before 30/12/25 12:04 PM

Advanced Saved Search All Item Costs

Search Reset Save...

Search Results

View Format Freeze Detach Wrap Review Unit Cost Review Transaction Costs Compare (0)

Cost Organization	Cost Book	Item	Item Description	Valuation Unit	Compare	Total Unit Cost	Effective Cost Date	UOM Name	Cost Profile	Cost Change	Cost Method	Valuation Structure Code
ISF Cost OrgG	ISF A-Cost Book...	ISF-001	Laptop Dell	ISF_Cost_Org4...	---	15.00000 USD	29/12/25 02:19 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-002	ROCK PC	ISF_Cost_Org4...	---	20.00000 USD	29/12/25 02:19 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-44010100...	Raw	ISF_Cost_Org4...	---	10.00000 USD	19/12/25 09:51 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Cst-0002	Cost 2	ISF_Cost_Org4...	---	15.00000 USD	30/12/25 09:32 AM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Cst-0002	Cost 2	ISF_Cost_Org4...	---	15.00000 USD	29/12/25 11:05 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Cst-0002	Cost 2	ISF_Cost_Org4...	---	15.00000 USD	29/12/25 11:24 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Cst-001	Cost 1	ISF_Cost_Org4...	---	10.00000 USD	30/12/25 09:32 AM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Cst-001	Cost 1	ISF_Cost_Org4...	---	10.00000 USD	29/12/25 11:05 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Cst-001	Cost 1	ISF_Cost_Org4...	---	10.00000 USD	29/12/25 11:24 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-LOT2-001	LOT 2	ISF_Cost_Org4...	---	30.00000 USD	30/12/25 09:32 AM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Book...	ISF-Lot-001	Canon Camera	ISF_Cost_Org4...	---	25.00000 USD	29/12/25 02:19 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset

Columns Hidden 2 Columns Frozen 7

ORACLE

Overview Review Item Costs x

Review Perpetual Average Cost

Currency: USD

Cost Organization: ISF Cost OrgG
 Cost Book: ISF A-Cost Book C-O
 Item: ISF-Cst-001
 Valuation Unit: ISF_Cost_Org4-ISF1
 Effective Cost Date: 30/12/25 09:32 AM
 Total Unit Cost: 10.00000 USD
 UOM Name: Ea

Cost Details

View Detach Review Transaction Costs

Cost Elements

Cost Element	Unit Cost	Currency
MATERIAL	10.00000	USD
TAX-NR	0.00000	USD
Total Cost	10.00000	

Cost Breakdown

By Cost Elements

MATERIAL TAX-NR

MATERIAL: 100.00000%

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Review Transaction Costs Done

Currency = USD

Cost Organization: ISF Cost OrgG
 Cost Book: ISF A-Cost Book C-O
 Item: ISF-Cst-001
 Valuation Structure Code: Inv Org-Asset

Valuation Unit: ISF_Cost_Org-ISF1
 Cost Method: Perpetual average
 UOM Name: Ea

Cost Details

View: Format Freeze Detach Columns Frozen 3

Time Frame: Last 1 week Days

Cost Element	Unit cost	Compare	Source	Document Number	Reference Type	Reference Number	Transaction Date	Transaction Quantity	Quantity on Hand	Transaction Cost	Currency
30/12/25 09:32 AM	10.00000	☐	Purchase Order Receipt	202510005	PO	AH-PO000018	30/12/25 11:32 AM	150.00000	100.00000	10.00000	USD
29/12/25 10:59 PM	10.00000	☐	Purchase Order Receipt	202510004	PO	AH-PO000017	30/12/25 12:59 AM	40.00000	60.00000	10.00000	USD
29/12/25 10:56 PM	10.00000	☐	Purchase Order Receipt	202510004	PO	AH-PO000017	30/12/25 12:56 AM	30.00000	30.00000	10.00000	USD
29/12/25 10:44 PM	10.00000	☐	Purchase Order Receipt	202510004	PO	AH-PO000017	30/12/25 12:44 AM	30.00000	0.00000	10.00000	USD
Material	10.00000									10.00000	

Columns Frozen 3

29/12/25 10:44 PM: Details

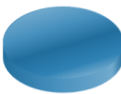
Cost Breakdown Cost History Depletion Cost Information

View By: All cost elements Show Table

By Cost Elements

MATERIAL 100.00000%

TAX-RR



Review Transaction Costs Done

Currency = USD

Cost Organization: ISF Cost OrgG
 Cost Book: ISF A-Cost Book C-O
 Item: ISF-Cst-001
 Valuation Structure Code: Inv Org-Asset

Valuation Unit: ISF_Cost_Org-ISF1
 Cost Method: Perpetual average
 UOM Name: Ea

Cost Details

View: Format Freeze Detach Columns Frozen 3

Time Frame: Last 1 week Days

Cost Element	Unit cost	Compare	Source	Document Number	Reference Type	Reference Number	Transaction Date	Transaction Quantity	Quantity on Hand	Transaction Cost	Currency
30/12/25 09:32 AM	10.00000	☐	Purchase Order Receipt	202510005	PO	AH-PO000018	30/12/25 11:32 AM	150.00000	100.00000	10.00000	USD
29/12/25 10:59 PM	10.00000	☐	Purchase Order Receipt	202510004	PO	AH-PO000017	30/12/25 12:59 AM	40.00000	60.00000	10.00000	USD
29/12/25 10:56 PM	10.00000	☐	Purchase Order Receipt	202510004	PO	AH-PO000017	30/12/25 12:56 AM	30.00000	30.00000	10.00000	USD
29/12/25 10:44 PM	10.00000	☐	Purchase Order Receipt	202510004	PO	AH-PO000017	30/12/25 12:44 AM	30.00000	0.00000	10.00000	USD
Material	10.00000									10.00000	

Columns Frozen 3

29/12/25 10:44 PM: Details

Cost Breakdown Cost History Depletion Cost Information

View: Detach

Reference Type	Reference Number	Transaction Type	Transaction Quantity	Cost As-of Date
No data to display.				

The components of the screen in the image above are very important:

Cost History

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It shows how this Item has been moving and how it reached the current price.

Depletion

Which are the issue transactions that haven't been processed yet.

Cost Info

If you want to know anything, like which PO number it came from, and so on.

We can also do a Comparison between 2 Valuation Units for the same Item.

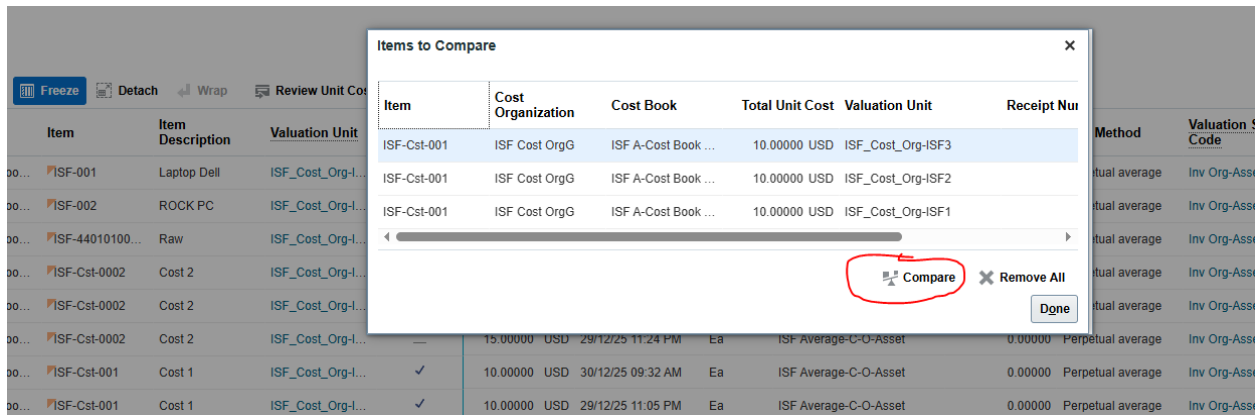
Cost Organization	Cost Book	Item	Item Description	Valuation Unit	Compare	Total Unit Cost	Effective Cost Date	UOM	Cost Profile	Cost Change	Cost Method	Valuation Structure Code
ISF Cost OrgG	ISF A-Cost Boo...	ISF-001	Laptop Dell	ISF_Cost_Org-I...	—	15.00000 USD	29/12/25 02:19 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-002	ROCK PC	ISF_Cost_Org-I...	—	20.00000 USD	29/12/25 02:19 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-44010100...	Raw	ISF_Cost_Org-I...	—	10.00000 USD	19/12/25 09:51 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Cst-0002	Cost 2	ISF_Cost_Org-I...	—	15.00000 USD	30/12/25 09:32 AM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Cst-0002	Cost 2	ISF_Cost_Org-I...	—	15.00000 USD	29/12/25 11:05 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Cst-0002	Cost 2	ISF_Cost_Org-I...	—	15.00000 USD	29/12/25 11:24 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Cst-001	Cost 1	ISF_Cost_Org-I...	✓	10.00000 USD	30/12/25 09:32 AM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Cst-001	Cost 1	ISF_Cost_Org-I...	✓	10.00000 USD	29/12/25 11:05 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Cst-001	Cost 1	ISF_Cost_Org-I...	☑	10.00000 USD	29/12/25 11:24 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-LOT2-001	LOT 2	ISF_Cost_Org-I...	—	30.00000 USD	30/12/25 09:32 AM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset
ISF Cost OrgG	ISF A-Cost Boo...	ISF-Lot-001	Canon Camera	ISF_Cost_Org-I...	—	25.00000 USD	29/12/25 02:19 PM	Ea	ISF Average-C-O-Asset	0.00000	Perpetual average	Inv Org-Asset

So here, I'm telling it to give me the Cost Break Down for this Item across three Valuation Units.

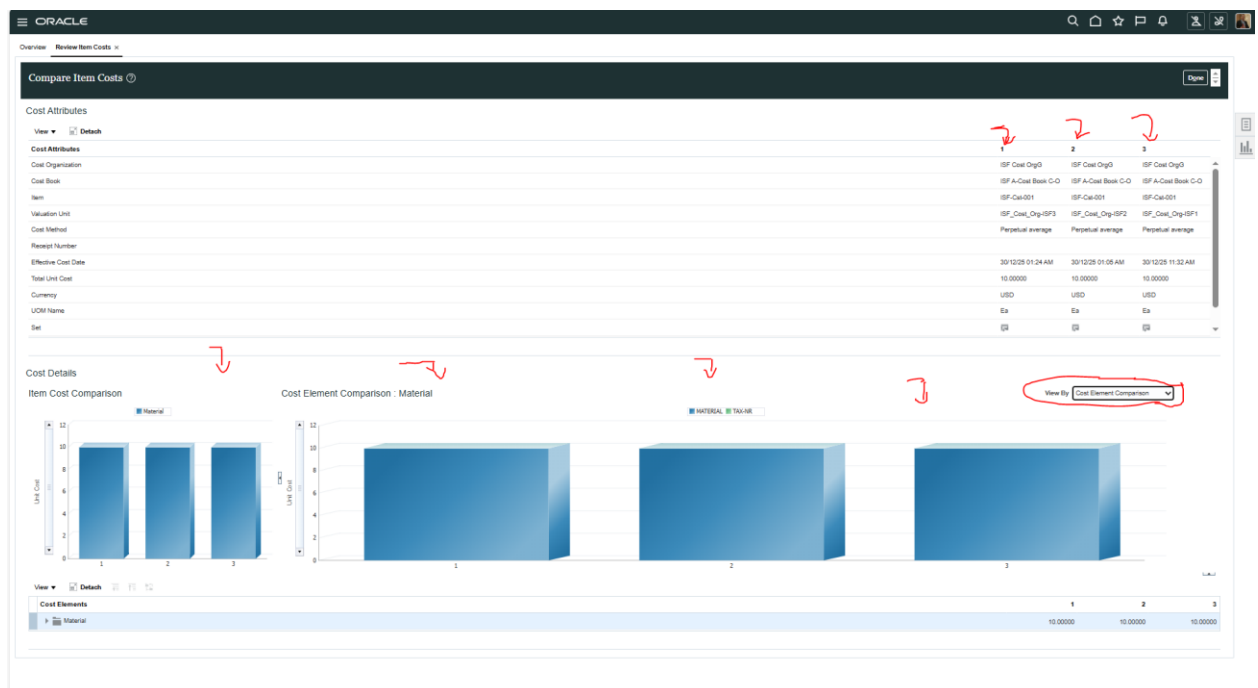
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It will start displaying comparisons for the Costing, showing details of multiple elements.



And we start reviewing at the LOT level.

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Oracle Review Item Costs

Search

Cost Organization: ISF Cost Org0
 Cost Book: ISF A-Cost Book C-O-LDT
 Item: ISF-Cat-001
 Cost Method: Equals
 Valuation Unit: Equals
 Effective Cost Date: On or before 30/12/25 12:04 PM

Search Results

Cost Organization	Cost Book	Item	Item Description	Valuation Unit	Compare	Total Unit Cost	Effective Cost Date	UOM Name	Cost Profile	Cost Change	Cost Method	Valuation Structure Code
ISF Cost Org0	ISF A-Cost Book...	ISF-Cat-001	Cost 1	ISF_Cost_Org1...		10.00000	USD 30/12/25 09:32 AM	Ea	ISF Average C-O-L-Asses	0.00000	Perpetual average	Inv Org - Lot
ISF Cost Org0	ISF A-Cost Book...	ISF-Cat-001	Cost 1	ISF_Cost_Org1...		10.00000	USD 29/12/25 11:05 PM	Ea	ISF Average C-O-L-Asses	0.00000	Perpetual average	Inv Org - Lot
ISF Cost Org0	ISF A-Cost Book...	ISF-Cat-001	Cost 1	ISF_Cost_Org1...		10.00000	USD 29/12/25 11:24 PM	Ea	ISF Average C-O-L-Asses	0.00000	Perpetual average	Inv Org - Lot

Oracle Review Perpetual Average Cost

Cost Organization: ISF Cost Org0
 Cost Book: ISF A-Cost Book C-O-LDT
 Item: ISF-Cat-001
 Valuation Unit: ISF_Cost_Org1-
 Effective Cost Date: 30/12/25 09:32 AM
 Total Unit Cost: 10.00000 USD
 UOM Name: Ea

Cost Details

Cost Elements	Unit Cost	Currency
MATERIAL	10.00000	USD
TAX-AIR	0.00000	USD
Total Cost	10.00000	

Cost Breakdown

By Cost Elements

MATERIAL 100.00000%

Note:

So, in this case, if I worked with Lot Number Control and at the same time worked with my Structure,

Cost.Org-Inv.Org-Lot.Number

I can preserve each shipment as it is with its cost in the system, and anytime I issue from it, it will follow its original cost.

Now, the transactions we performed: the first step was receiving goods in the Receiving Area. Every transaction that occurs, whether in inventory or in the system, has a financial impact, so it must have a Journal Entry, which consists of Debit and Credit, or in other words, one Debit account and one Credit account.

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So, what's the difference between them? To summarize it clearly: any increase resulting from receipt or goods being added will be recorded as a Debit, and the corresponding side will be a Credit, regardless of its eventual use.

For example, when goods arrive and are placed in the Receiving Area, the value of the Receiving Area increases because it now contains goods. Therefore, the account entry is a Debit. For instance, we recorded a Debit to the Receiving Inspection account for \$1,000, representing the value of the goods.

Who is the corresponding Credit? At this point, no Payable invoice has been created yet. The system needs to know whether the payment was made or not. Here, we record a Credit to the Inventory AP Accrual account, which represents inventory liability until invoices are created. This account is usually considered a clearing account, because it should be closed monthly and its balance should be zero if payments are made immediately, unless invoices have not yet been received from the supplier.

Why is this necessary? Sometimes, a supplier delivers goods continuously throughout the month and issues the invoice at the end of the month. Therefore, a control account is needed to track whether goods received in the Receiving Area have been invoiced or not. The Credit is recorded to monitor this.

Next, the Put Away process: moving goods from the Receiving Area to the warehouse. Inventory value increases by \$1,000, and the Receiving Area value also increased by \$1,000. Thus, the same amount is recorded once as Debit and once as Credit, because funds and goods are transferred from one location to another. Even if there's a reduction, it must be recorded.

If we offset the accounts: the Receiving account balance will be zero because the increase and decrease cancel each other out, while the Inventory AP Accrual account still holds the amount until the invoice is created. Inventory increased by \$1,000, so the Receiving Area is considered "closed" (meaning its balance is zero). The account opened as a Debit during receipt and closed as a Credit during inventory transfer.

Regarding AP Invoice: during the P2P Cycle, we cannot create an invoice without a PO number or without matching it to receipts. We take the PO number and match it with the receipts. This process closes the account.

For example, if we create an AP Invoice for PO #5, matched with receipts #2, 3, 4, the system calculates the amounts from these receipts and applies them to the Payable invoice. This

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account opens as a Credit, and when posting to Payable, we record a Debit in the AP Invoice against the Credit in Inventory AP Accrual. Thus, the \$1,000 Credit from Receipt – Inventory AP Accrual is cleared, along with the Debit for AP Invoice – Inventory AP Accrual.

Now, the goods that entered the warehouse for \$1,000 become a liability through a Payable invoice to the supplier for \$1,000. So, we have \$1,000 in inventory and an equal liability to the supplier through the AP Invoice.

When we make the payment, we take the Liability account Credit and close it with a Debit in AP Payment – AP Liability, transferring the cash from the treasury, bank, or cash on hand. This clears the AP Invoice – AP Liability account, showing a Debit of \$1,000.

In summary, we have \$1,000 Debit for inventory and \$1,000 paid, balancing the accounts, with both Debit and Credit equal.

So, here's a **quick summary** of everything that happened—the **Accounting Flow** again:

The first step: Receipt <<< Receiving Inspection. I record a Debit for the full value of the goods and a corresponding Credit to AP Accrual so I can track which funds have not yet been posted in the system as invoices.

Once the goods are received in inventory (Put Away or Delivered), the warehouse increases by \$1,000, and at the same time, the Receiving Inspection decreases by \$1,000, recorded as a Credit.

Next, when creating the Payable Invoice, I start matching it with the receipts. This match tells the system that \$1,000 exists in AP Invoice – AP Accrual, with a corresponding \$1,000 in Liability.

Once the \$1,000 in Liability is confirmed, the system asks if I'm making the payment. Once confirmed, I proceed to the transaction called AP Payment (or the Payment within Payable) and instruct the system to transfer the \$1,000 liability against Cash.

At the end, we have \$1,000 in inventory and \$1,000 in cash—these are the only amounts that are not repeated.

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 +2 01060903831

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Now, there's a case that occurs called **Invoice Price Variance (IPV)**.

I agreed with the supplier: I told him that we agreed in the PO that if there was a market fluctuation or an increase, I have the right to add a 10% increase to the invoice, which was originally \$1,000. He agreed and issued an invoice for \$1,100.

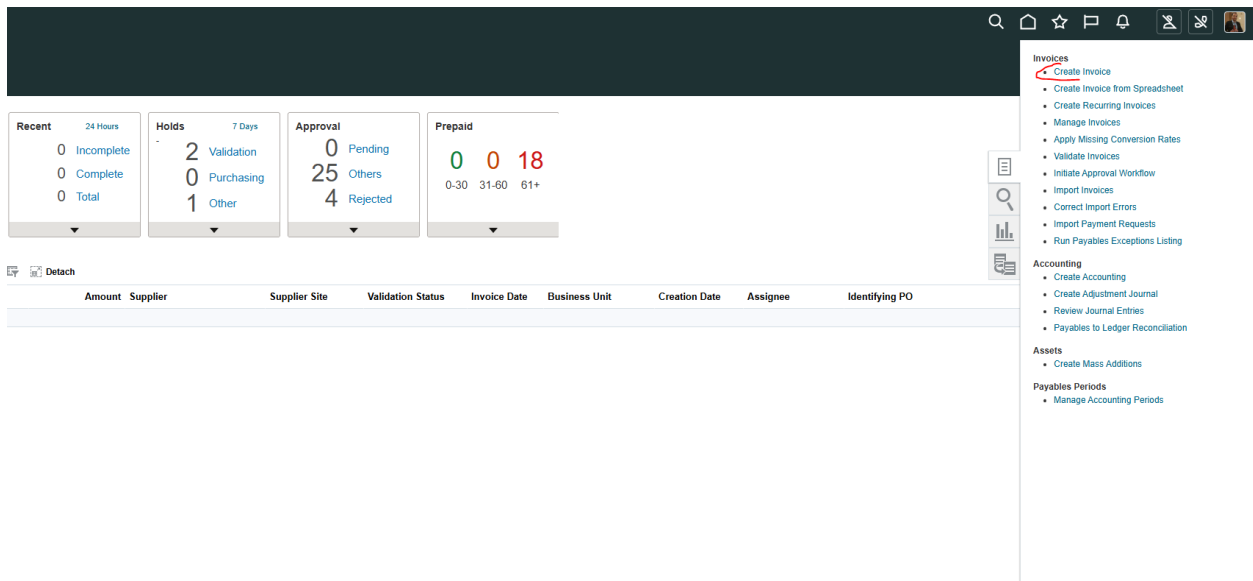
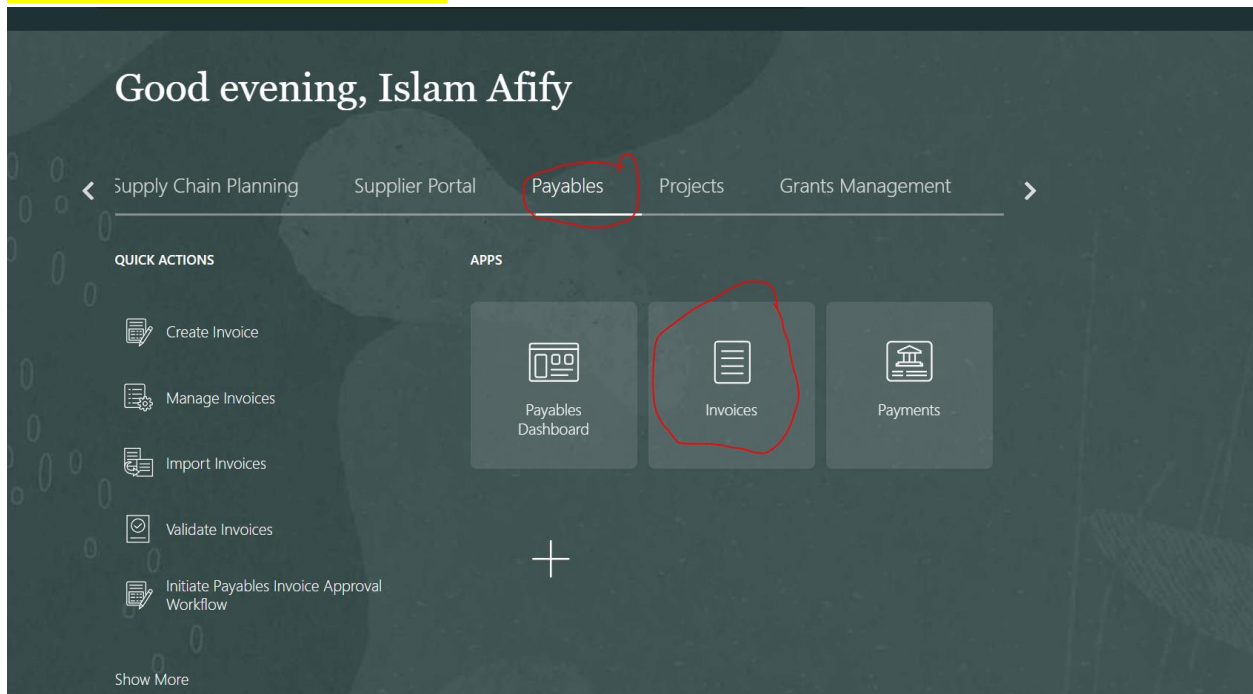
In our example, the Receipt and Put Away / Delivered steps were already completed. In the AP Invoice, the Invoice Price Variance (IPV) now shows an additional \$100, and the Liability becomes \$1,100. The \$100 increase is recorded under Invoice Price Variance itself, because the match with Inventory AP Accrual only brought in the original \$1,000; it does not include the extra \$100. So, the system records the Invoice Price Variance of \$100, and the total paid is \$1,100 as a liability.

Therefore, any increase in the invoice over the purchase order triggers an Invoice Price Variance entry. Now, the inventory must reflect this Invoice Price Variance, because although we received \$1,000 worth of goods, we actually paid \$1,100. The inventory value needs to be updated to \$1,100 so it reflects the actual cost.

Since Invoice Price Variance is part of the control accounts, the system automatically handles it when the transaction Transfer Cost To Cost runs. It recalculates the Invoice Price Variance and posts it back to inventory. New journal entries called Cost Association Adjustment are created for each adjustment, effectively creating an additional \$100 transaction.

Although it appears as a separate transaction, the system manages it to ensure that all expenses incurred on inventory are fully reflected in the stock. In summary, the Invoice Price Variance is transferred to inventory, and any impact from Accounts Payable on inventory requires running the Cost to Cost transfer so that the adjustments are properly applied.

Now, let's try creating an invoice.



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+2 01060903831

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Create Invoice: ?

Invoice Actions: Save and Create Next, Save, Save and Close, Cancel

Invoice Header

Identifying PO: AH-PO000018

Business Unit: ISF BU

Supplier: ISF Supplier 1

Supplier Number: 1507

Supplier Site: ISF HQ

Legal Entity: US1 Legal Entity

Invoice Group:

Number: AH-PO000018

Amount: USD - 100.00

Type: Standard

Description:

Date: 30/12/25

Payment Terms: Immediate

Terms Date: 30/12/25

Requester:

Attachments: None

Note:

Lines: Match Invoice Lines

Taxes:

Totals

Items	Freight	Miscellaneous	Tax	Included Prepayments	Total
0.00	0.00	0.00	0.00	0.00	0.00
		Retainage	Withholding	Applied Prepayments	Due
		0.00	0.00	0.00	100.00

We are **matching** against the receipts.

ORACLE

Create Invoice: ?

Invoice Actions: Save and Create Next, Save, Save and Close, Cancel

Invoice Header

Identifying PO: AH-PO000018

Business Unit: ISF BU

Supplier: ISF Supplier 1

Supplier Number: 1507

Supplier Site: ISF HQ

Legal Entity: US1 Legal Entity

Invoice Group:

Number: AH-PO000018

Amount: USD - 100.00

Type: Standard

Description:

Date: 30/12/25

Payment Terms: Immediate

Terms Date: 30/12/25

Requester:

Attachments: None

Note:

Lines: Match Invoice Lines

Taxes:

Totals

Match Invoice Lines

Search: Advanced, Saved Search, Match Invoice Lines

View: Match, Line, Purchase Order, Receipt, Ship-to Location, Need-by Date, Item Number

Match	Quantity	Unit Price	Amount	Item Description	Purchase Order Number	Line	Schedule Number	Receipt Line	Ship-to Location	Need-by Date	Item Number
☒	150	10.00	1,500.00	Cost 1	AH-PO...	1	1		ISF Sadat	29/12/25	ISF-Cst-001
☒	200	15.00	3,000.00	Cost 2	AH-PO...	2	1		ISF Sadat	29/12/25	ISF-Cst-0002
☒	300	30.00	9,000.00	LOT 2	AH-PO...	3	1		ISF Sadat	29/12/25	ISF-LOT2-001
			Total								
			13,500.00								

PO AH-PO000018, Line 1, Schedule 1: Details

Ordered	Received	UOM	Ea
150	150		
Available	Accepted	N/A	Match Basis
	Returned	N/A	Quantity
Billed	Consumed	N/A	Invoice Match Option
0			Order
Shipped	Return for Credit	0	Payment Terms
			Immediate
			Freight Terms

Apply, OK, Cancel

If the system tells me there's an increase—for example, \$2 increase on the first and second lines, and \$5 on the third line—this is a difference from what I actually received. All of this is a change in the invoice value, so now I have something called Invoice Price Variance.

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+2 01060903831

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ORACLE
Create Invoice: ⓘ

Invoice Header [Show More](#)

Identifying PO: AH-PO000018
Business Unit: ISF BU
Supplier: ISF Supplier
Supplier Number: 1507
Supplier Site: ISF HQ
Legal Entity: US1 Legal Entity
Invoice Group:

Match Invoice Lines

Search

Advanced Saved Search Match Invoice Lines

View ▾ [Match](#) [Details](#) [Allocate Distributions](#)

Match	Quantity	Unit Price	* Amount	Item Description	Purchase Order Number	Line	Schedule	Receipt Number	Line	Ship-to Location	Need by Date	Item Number
☒	150	12.00	1,800.00	Cost 1	AH-PO...	1	1			ISF Sadat	29/12/25	ISF-Cst-001
☒	200	17.00	3,400.00	Cost 2	AH-PO...	2	1			ISF Sadat	29/12/25	ISF-Cst-002
☒	300	35.00	10,500.00	LOT 2	AH-PO...	3	1			ISF Sadat	29/12/25	ISF-LOT2-001
			Total	15,700.00								

PO AH-PO000018, Line 3, Schedule 1: Details

Ordered	300	Received	300
Available	300	Accepted	N/A
Billed	0	Returned	N/A
Shipped	0	Consumed	N/A
		Return for Credit	0

UOM: Ea
Match Basis: Quantity
Invoice Match Option: Order
Payment Terms: Immediate
Freight Terms:

Apply OK Cancel

Payment Terms: Immediate
Terms Date: 30/12/25
Requester:
Attachments: None
Note:

Total Due 15,700.00

After clicking OK, look below at the invoice value and adjust it in the Amount field.

ORACLE
Create Invoice: ⓘ

Invoice Header [Show More](#)

Identifying PO: AH-PO000018
Business Unit: ISF BU
Supplier: ISF Supplier 1
Supplier Number: 1507
Supplier Site: ISF HQ
Legal Entity: US1 Legal Entity
Invoice Group:

* Number: AH-PO000018
* Amount: USD 15,700.00
Type: Standard
Description:

* Date: 30/12/25
Payment Terms: Immediate
Terms Date: 30/12/25
Requester:
Attachments: None
Note:

4 Lines ⓘ [Match Invoice Lines](#)

View ▾ [Match](#) [Details](#) [Allocate](#) [Cancel Line](#) [Distributions](#)

* Number	* Type	* Amount	Distribution Set	Distribution Combination	Accounting Date	Prorate Across All Item Lines	Description	Tax Classification	Ship-to Location	Purchase Order Number	Line	Schedule	Track as Asset	P	N
1	Item	1,800.00			30/12/25		Cost 1	ISF Sadat		AH-PO000018	1	1			
2	Item	3,400.00			30/12/25		Cost 2	ISF Sadat		AH-PO000018	2	1			
3	Item	10,500.00			30/12/25		LOT 2	ISF Sadat		AH-PO000018	3	1			
4	Item				30/12/25			ISF Sadat							
5	Item				30/12/25			ISF Sadat							

Taxes

Totals

Items	15,700.00	Freight	0.00	Miscellaneous	0.00	Tax	0.00	Included Prepayments	0.00
				Retainage	0.00	Withholding	0.00	Applied Prepayments	0.00
Total Due 15,700.00									

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+2 01060903831

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Not validated

Invoice Actions

Save and Create Next Save Save and Close Cancel

Last Saved 30/12/25 09:41 PM

Manage Installments

Calculate Tax Ctrl+Alt+X

Validate Ctrl+Alt+V

Apply or Unapply Prepayments

Manage Holds

Account Coding

Approval

View Approval and Notification History

Cancel Invoice

Delete Invoice

Pay in Full

Post to Ledger

Account in Draft

* Number AH-PO000018

* Amount USD 15,700.00

Type Standard

Description

Distribution			Reference	Tax	Purchase Order			Asset	P
Combination	Accounting Date	Prorate Across All Item Lines	Description	Tax Classification	Ship-to Location	Number	Line	Schedule	Track as Asset
	30/12/25	---	Cost 1	ISF Sadat		AH-PO000018	1	1	---
	30/12/25	---	Cost 2	ISF Sadat		AH-PO000018	2	1	---
	30/12/25	☐	LOT 2		ISF Sadat	AH-PO000018	3	1	☐

Miscellaneous 0.00

Retainage 0.00

Tax 0.00

Withholding 0.00

Included Prepayments 0.00

Applied Prepayments 0.00

Total 15,700.00

Due 15,700.00

From the **Invoice Action**, I will perform **Validate**, and once it's completed, I will then do **Post To Ledger**.

You must do Post To Ledger so that the system can create the accounting entries and transfer them to the Ledger. If the invoice is not posted to the Ledger, the system in inventory or costing will not see these amounts. This is because I need these amounts to ultimately reflect in the Receiving Area and, consequently, in inventory. If I don't do Post To Ledger, the system will not even recognize the Invoice Price Variance.

After that, a box will immediately appear from which we can do View Account.

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+2 01060903831

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And the **Invoice Variance** will appear.

The screenshot shows a software interface with a 'Confirmation' dialog box in the center. The dialog box contains the text 'The accounting has been completed.' and two buttons: 'View Accounting' (highlighted with a red circle) and 'OK'. In the background, there is a table with columns for 'Distribution Set', 'Distribution Combination', 'Accounting', 'Reference', 'Tax', and 'Purchase Order'. The table contains three rows of data. The top row shows '1,800.00' for 'Distribution Set', '30/12/25' for 'Distribution Combination', 'Cost 1' for 'Accounting', and 'ISF Sadat' for 'Reference'. The middle row shows '3,400.00' for 'Distribution Set', '30/12/25' for 'Distribution Combination', 'Cost 2' for 'Accounting', and 'ISF Sadat' for 'Reference'. The bottom row shows '10,500.00' for 'Distribution Set', '30/12/25' for 'Distribution Combination', 'LOT 2' for 'Accounting', and 'ISF Sadat' for 'Reference'.

The screenshot shows a software interface with a table titled 'Accounting Lines: Standard Invoice AH-PO000018'. The table has columns for 'Line', 'Event', 'Account', 'Class', and 'Accounted (USD)'. The 'Accounted (USD)' column is further divided into 'Debit' and 'Credit'. The table contains nine rows of data. The first three rows are 'Invoice Validated' with 'Accrual' class and debit amounts of 9,000.00, 3,000.00, and 1,500.00. The next three rows are 'Invoice Validated' with 'Invoice price variance' class and debit amounts of 1,500.00, 400.00, and 300.00. The last three rows are 'Invoice Validated' with 'Liability' class and credit amounts of 10,500.00, 3,400.00, and 1,800.00. A red bracket highlights the 'Invoice price variance' rows. The 'View T-Accounts' button is highlighted with a red circle.

Line	Event	Account	Class	Accounted (USD)	
				Debit	Credit
1	Invoice Validated	101.10.22190.000.000.000	Accrual	9,000.00	
2	Invoice Validated	101.10.22190.000.000.000	Accrual	3,000.00	
3	Invoice Validated	101.10.22190.000.000.000	Accrual	1,500.00	
4	Invoice Validated	101.10.52150.000.000.000	Invoice price variance	1,500.00	
5	Invoice Validated	101.10.52150.000.000.000	Invoice price variance	400.00	
6	Invoice Validated	101.10.52150.000.000.000	Invoice price variance	300.00	
7	Invoice Validated	101.10.22100.000.000.000	Liability		10,500.00
8	Invoice Validated	101.10.22100.000.000.000	Liability		3,400.00
9	Invoice Validated	101.10.22100.000.000.000	Liability		1,800.00

And it can be displayed in multiple ways, such as View T-Accounts.

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+2 01060903831

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Accounting Lines: Standard Invoice AH-PO000018

LedgerUS Primary Ledger

Date30/12/25

StatusFinal

T-Accounts : US Primary Ledger

Transaction NumberAH-PO000018

101.10.22100.000.000.000 (Accounts Payables)

Line		Entered	USD	Entered	USD
1	30/12/25	0.00 USD	0.00	1,800.00 USD	1,800.00
3	30/12/25	0.00 USD	0.00	3,400.00 USD	3,400.00
5	30/12/25	0.00 USD	0.00	10,500.00 USD	10,500.00
Net Activity			0.00	15,700.00USD	15,700.00

101.10.22190.000.000.000 (Accounts Payable Clearing)

Line		Entered	USD	Entered	USD
2	30/12/25	1,500.00 USD	1,500.00	0.00 USD	0.00
4	30/12/25	3,000.00 USD	3,000.00	0.00 USD	0.00
6	30/12/25	9,000.00 USD	9,000.00	0.00 USD	0.00
Net Activity		13,500.00USD	13,500.00		0.00

101.10.52150.000.000.000 (Invoice Price Variance)

Line		Entered	USD	Entered	USD
7	30/12/25	300.00 USD	300.00	0.00 USD	0.00
8	30/12/25	0.00 USD	0.00	0.00 USD	0.00
9	30/12/25	0.00 USD	0.00	0.00 USD	0.00

Done

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+2 01060903831

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View

Line

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7

8

9

T-Accounts : US Primary Ledger

Net Activity

0.00

15,700.00USD

15,700.00

101.10.22190.000.000.000 (Accounts Payable Clearing)

Line

Entered

USD

Entered

USD

2

30/12/25

1,500.00 USD

1,500.00

0.00 USD

0.00

4

30/12/25

3,000.00 USD

3,000.00

0.00 USD

0.00

6

30/12/25

9,000.00 USD

9,000.00

0.00 USD

0.00

Net Activity

13,500.00USD

13,500.00

0.00

101.10.52150.000.000.000 (Invoice Price Variance)

Line

Entered

USD

Entered

USD

7

30/12/25

300.00 USD

300.00

0.00 USD

0.00

8

30/12/25

400.00 USD

400.00

0.00 USD

0.00

9

30/12/25

1,500.00 USD

1,500.00

0.00 USD

0.00

Net Activity

2,200.00USD

2,200.00

0.00

Entry Total

15,700.00

15,700.00

Done

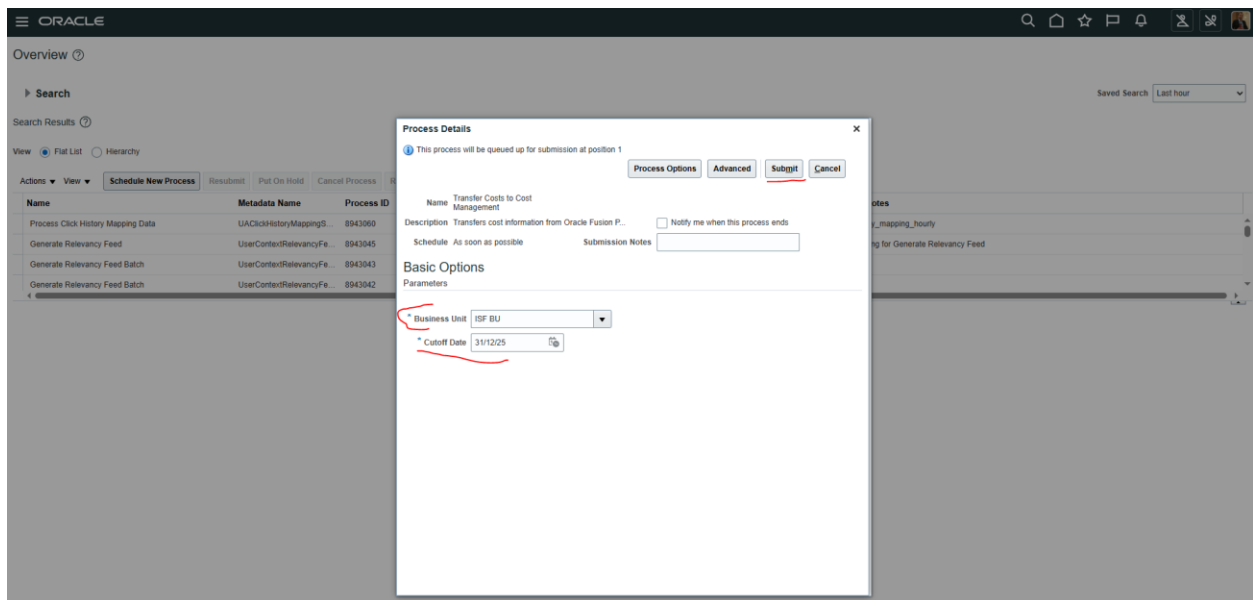
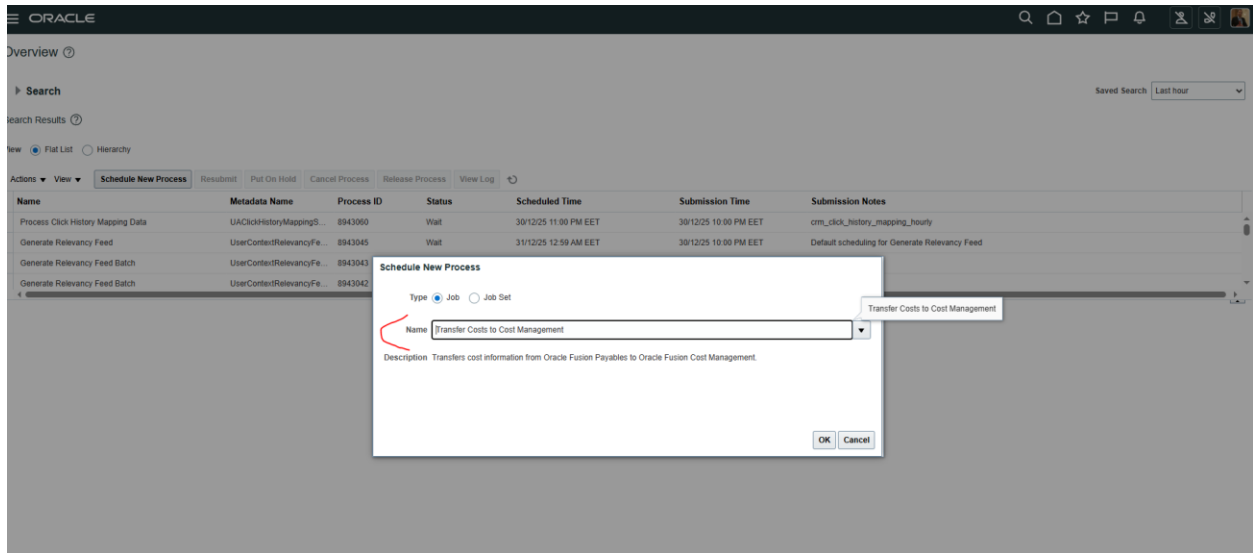
Applied Pre

Now, let's go back to our process. I want this amount to start reflecting in inventory, so I will run the Transfer Cost To Cost, to ensure that what is posted to Payable and Create Accounting will also be transferred to Cost Management or the Receipt Account first.

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+2 01060903831

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Now our request will pick up this amount and transfer it to the **Receipt Account**.

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+2 01060903831

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SS

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3092

Schedule New Process

Type ☒ Job ☐ Job Set

Name ▼

Description Posts transaction details from receiving to costing.

Transfe

OK Cancel

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+2 01060903831

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Submission Time: After 30/12/25 09:04 PM UTC+03:00 Cria... FrontTime (ET)

Process Details

This process will be queued up for submission at position 1

Process Options **Advanced** **Submit** **Cancel**

Name Transfer Transactions from Receiving to Costing

Description Posts transaction details from receiving to cos... ☐ Notify me when this process ends

Schedule As soon as possible **Submission Notes**

Enter information to help identify the submission

Basic Options

Notes

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cess
oces
43102

Schedule New Process

Type ☒ Job ☐ Job Set

Name ▼

Description Transfers inventory transactions from inventory to costing for processing.

Transfer

OK Cancel

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☎ +2 01060903831

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Submission Time: After 20/12/25 09:01 PM (UTC+03:00) Cairo, Egypt Time (ET)

Process Details

This process will be queued up for submission at position 1

Process Options **Advanced** **Submit** **Cancel**

Name Transfer Transactions from Inventory to Costing

Description Transfers inventory transactions from inventory... ☐ Notify me when this process ends

Schedule As soon as possible **Submission Notes**

Basic Options

Parameters

Cost Organization ISF Cost OrgG ▼

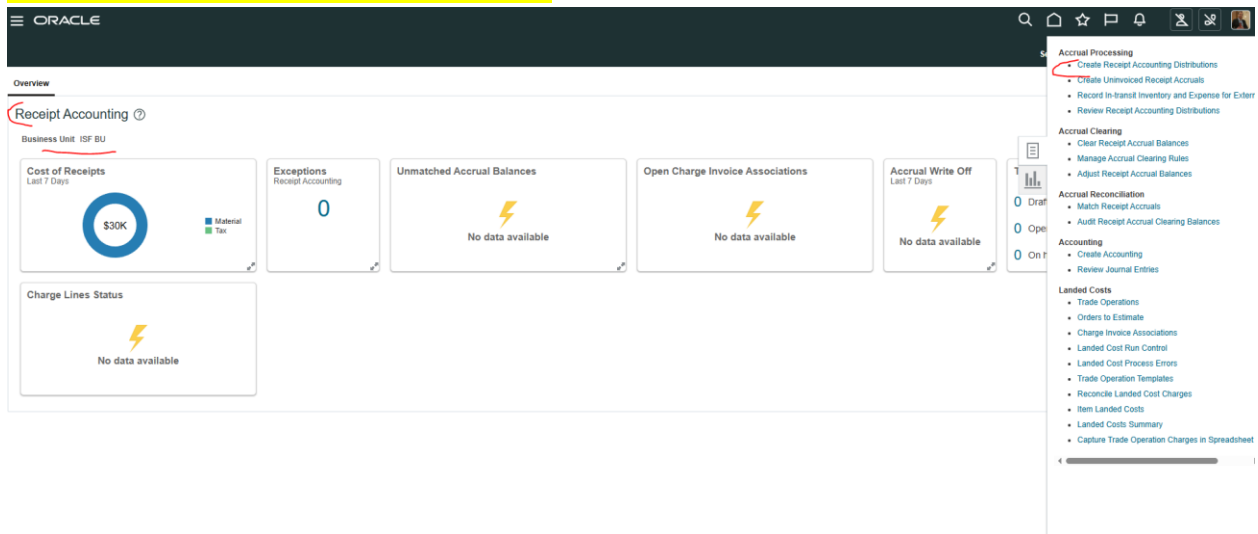
Commit Limit

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+2 01060903831

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Now, let's go back to Receipt Accounting.

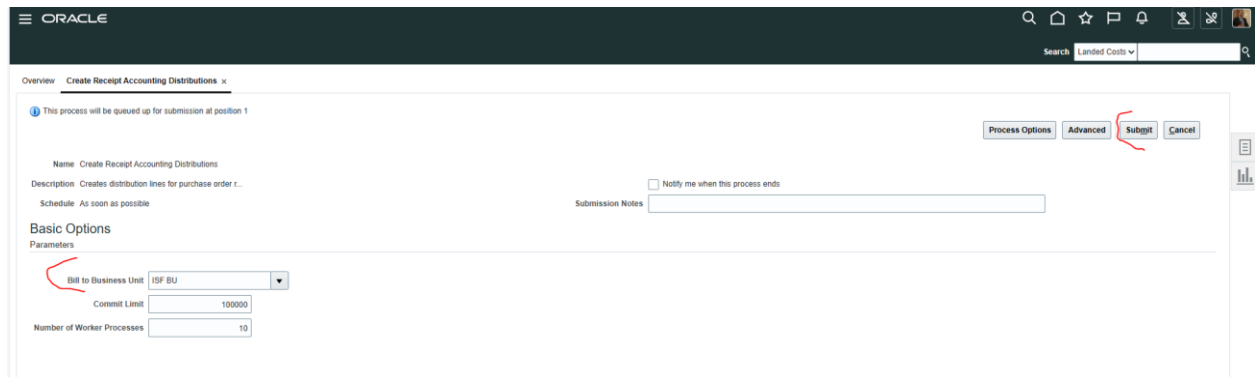


The screenshot shows the Oracle Receipt Accounting Overview dashboard. The top navigation bar includes the Oracle logo and a search bar. The main content area is titled "Receipt Accounting" and displays several key metrics and status indicators:

- Cost of Receipts:** Last 7 Days, showing a total of \$30K. A legend indicates "Material" (blue) and "Tax" (green).
- Exceptions:** Receipt Accounting, showing 0 exceptions.
- Unmatched Accrual Balances:** No data available.
- Open Charge Invoice Associations:** No data available.
- Accrual Write Off:** Last 7 Days, showing No data available.
- Charge Lines Status:** No data available.

A sidebar on the right contains a list of tasks and reports, including:

- Accrual Processing
 - Create Receipt Accounting Distributions
 - Offset Uninvoiced Receipt Accruals
 - Record In-transit Inventory and Expense for External
 - Review Receipt Accounting Distributions
- Accrual Clearing
 - Clear Receipt Accrual Balances
 - Manage Accrual Clearing Rules
 - Adjust Receipt Accrual Balances
- Accrual Reconciliation
 - Match Receipt Accruals
 - Audit Receipt Accrual Clearing Balances
- Accounting
 - Create Accounting
 - Review Journal Entries
- Landed Costs
 - Trade Operations
 - Orders to Estimate
 - Charge Invoice Associations
 - Landed Cost Run Control
 - Landed Cost Process Errors
 - Trade Operation Templates
 - Reconcile Landed Cost Charges
 - Item Landed Costs
 - Landed Costs Summary
 - Capture Trade Operation Charges in Spreadsheet



The screenshot shows the Oracle "Create Receipt Accounting Distributions" form. The top navigation bar includes the Oracle logo and a search bar. The main content area is titled "Create Receipt Accounting Distributions" and includes a warning message: "This process will be queued up for submission at position 1".

The form includes the following sections:

- Name:** Create Receipt Accounting Distributions
- Description:** Creates distribution lines for purchase order r...
- Schedule:** As soon as possible
- Submission Notes:** A text area for notes.
- Basic Options:** A section for configuring the process.
- Parameters:** A section for setting specific parameters.

The "Parameters" section includes the following fields:

- Bill to Business Unit:** ISF BU (selected from a dropdown menu).
- Commit Limit:** 100000
- Number of Worker Processes:** 10

The "Basic Options" section includes the following fields:

- Process Options:** A button to view process options.
- Advanced:** A button to view advanced options.
- Submit:** A button to submit the process.
- Cancel:** A button to cancel the process.

Now, we will do a Review of Receipt Accounting.

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

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Search Landed Costs

Overview Review Receipt Accounting Distributions

Review Receipt Accounting Distributions

Search

Advanced Saved Search Receipt Accounting Transactions from Last Week

Search Results: Receipt Accounting Transactions

View Format Freeze Detach Wrap

Profit Center Business Unit	Bill to Business Unit	Inventory Organization	Source Document Type	Transaction Date	Transaction Type	Account Number	Document Number	Source Document Line Number	Destination Type	Item	Description	Supplier	Receipt Number	Receipt Creation Date
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Invoice Price Adjustment	3...D	PO0000018	1	Inventory	ISF-Cst-001	Cost 1	ISF Supplier 1		30/12/25
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Invoice Price Adjustment	3...D	PO0000018	2	Inventory	ISF-Cst-002	Cost 2	ISF Supplier 1		30/12/25
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Receipt Info Receiving Inspection	3...D	PO0000018	3	Inventory	ISF-LOT2-001	LOT 2	ISF Supplier 1	202510005	30/12/25
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Receipt Info Receiving Inspection	3...D	PO0000018	2	Inventory	ISF-Cst-002	Cost 2	ISF Supplier 1	202510005	30/12/25
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Receipt Info Receiving Inspection	3...D	PO0000018	1	Inventory	ISF-Cst-001	Cost 1	ISF Supplier 1	202510005	30/12/25
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Invoice Price Adjustment	3...D	PO0000018	3	Inventory	ISF-LOT2-001	LOT 2	ISF Supplier 1		30/12/25

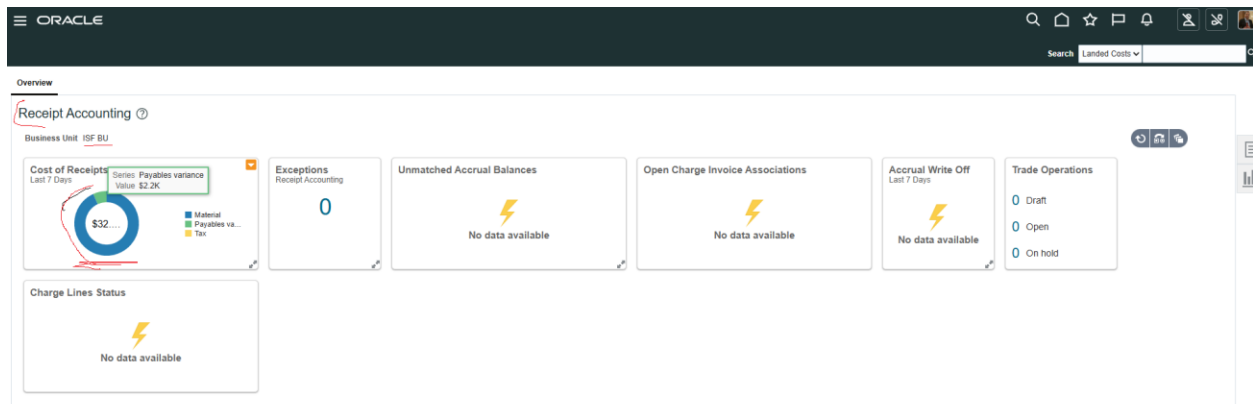
Columns Hidden 4 Columns Frozen 9

AH-PO000018: Transaction Details and Distributions

Cost Information Distributions Journal Entries

View Format Freeze Detach Wrap

Cost Source	Ledger Unit Cost(USD)	Transaction Unit Cost	Source Document UOM	Currency Code
Invoice variances	300.00	300.00	Ea	USD

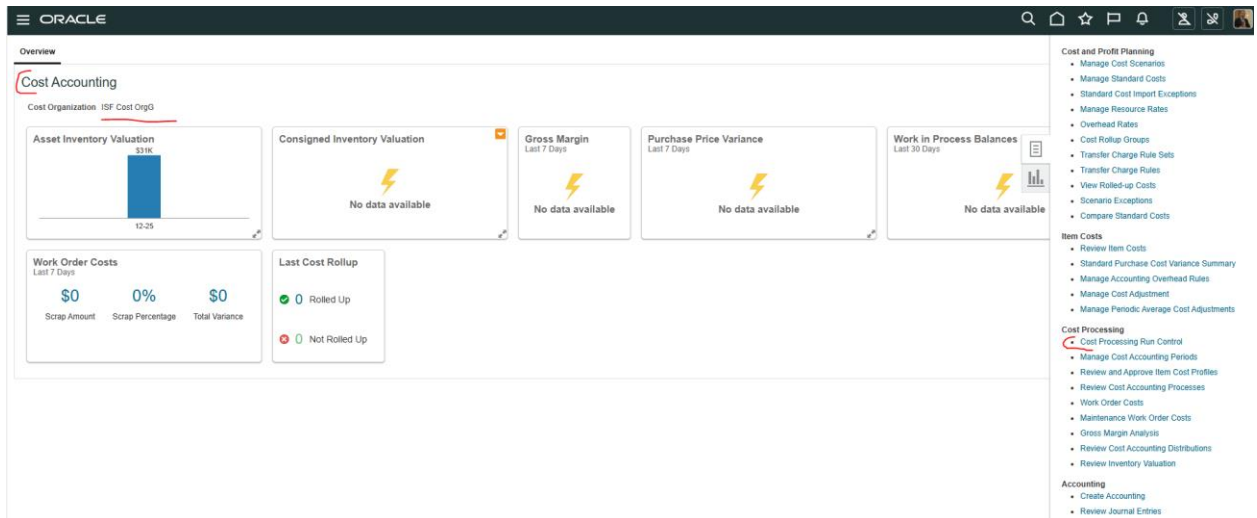


And then we go to Cost Accounting.

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+2 01060903831

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Cost Processing Run Control					
Search by run control					
Processor	Cost Organization	Cost Book	Last Process ID	Cutoff Date Option	Cutoff Date
Process ID 8943409 submitted					
+ Refresh Schedule					
☐	akm_primary All Processors	AKM_COST_ORG - AKM A-Cost Book C-O Cost organization books included	Completed successfully Last Process ID: 8941136 30/12/25 05:40 PM	Duration : 00:01:29	Run Now
☐	IM-Cost Run all All Processors	IM-Cost-org - IM-Cost_Book-AV + 3 Cost organization books included	Completed with warnings Last Process ID: 8940055 30/12/25 02:51 PM	Duration : 00:01:01	Run Now
☒	ISF All Average Books All Processors	ISF Cost OrgG - ISF A-Cost Book C-O + 3 Cost organization books included	Completed successfully Last Process ID: 8938823 30/12/25 11:54 AM	Duration : 00:01:39	Run Now
☐	SH All Average Books All Processors	SH Cost Org - SH A-Cost Book C-O + 4 Cost organization books included	Completed successfully Last Process ID: 8916179 27/12/25 09:59 PM	Duration : 00:01:34	Run Now
☐	shehab_run_cost_process All Processors	shehab_cost_org - shehab A-Cost Book C-O Cost organization books included	Completed successfully Last Process ID: 8871752 22/12/25 07:28 PM	Duration : 00:02:02	Run Now
☐	AXX_REPORTS All Processors	AXX_COST_ORG - AXX A-Cost Book C-O-LOT + 2 Cost organization books included	Completed successfully Last Process ID: 8864352 21/12/25 05:23 PM	Duration : 00:00:50	Run Now

And we follow it from the Schedule Process.

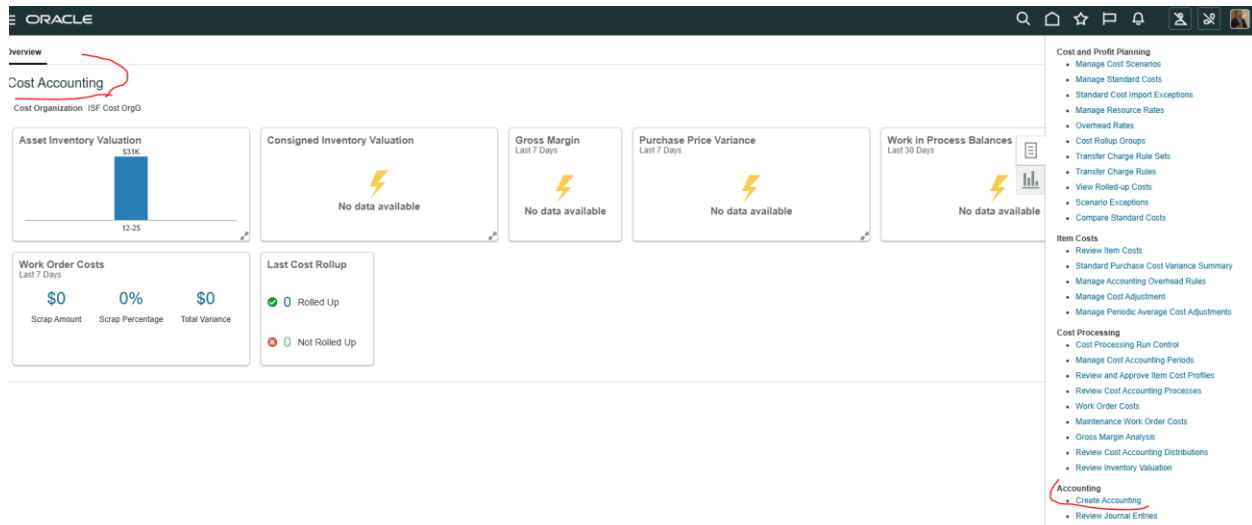
Create Account

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+2 01060903831

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What is Create Accounting? We performed the transaction and did its distribution, but so far the GL doesn't see any entry or amount because I haven't told it to create the accounting entries for the transactions that occurred. So now, I will execute Create Accounting.



The screenshot displays the Oracle Create Accounting process configuration page. The page shows various parameters for the Create Accounting process, including Subledger Application (Receipt Accounting), Ledger (US Primary Ledger), Process Category, End Date (30/12/25), Accounting Mode (Final), Process Events (Draft), Report Style (Summary), Transfer to General Ledger (Yes), Post in General Ledger (Yes), Journal Batch, and Include User Transaction Identifiers (No). The 'Draft' option under Process Events is highlighted with a red circle.

In Accounting Mode, I have two options. The first is Draft—this is used when I am not yet sure about my accounting and don't know which accounts the entries will hit. Instead of creating the entries and posting them only to find problems later, we always run our entries

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

first in Draft to review and check if they are correct or incorrect. After that, we choose the second option, which is Final.

In our example, we will select Final.

After that, there is **Report Style**, which contains several options.

The first option, Summary, will tell me, for example, that we processed 50 transactions: 10 successful, 3 stopped with Errors, and so on.

The second option, Details, does the same thing but returns the information in detail, showing which transactions succeeded and which stopped. The first time, don't run Detail—imagine there are 2 million transactions being processed in Create Accounting. If you select Details immediately, it's not really a useful report. First, run Summary; if it shows everything is fine or only 3–4 Errors, you can then run Detail to see the Errors clearly.

The third option is No Report. That's it for all three.

After that, we have **Transfer to Ledger**, which means that once these accounting entries are created, should they be posted to the Ledger? This transfers the accounting entries from the Sub-Module, which is the Receipt Account, to the General Ledger (G.L). I have options Yes and No. If No, then I will need to run another process afterward to perform this transfer.

Post In G.L**

After creating and transferring, should I do the Post, or leave it for the G.L person to review and post? Either way, it will be posted eventually. Why? Because this is an accounting entry coming from the Sub Ledger, so you don't have the authority to modify it.

Include User Transaction Identifiers

The first time, leave it as No. Why? Because if you select Yes, it greatly increases the report size, as it retrieves every entry with its transaction, the PO number, the Receipt number, everything. If the number of transactions is large, it becomes difficult to handle. The first time, use No; but if there are Errors, then I select Yes so I can track exactly where the problem is.

Journal Batch

Created By: Islam Afify



+2 01060903831



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This is if I want to set something so that this batch starts with it in the G.L.

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Overview Create Accounting x

This process will be queued up for submission at position 1

Process Options Advanced **Submit** Cancel

Name Create Accounting

Description Creates subledger journal entries

Schedule As soon as possible

Submission Notes ☐ Notify me when this process ends

Basic Options

Parameters

* Subledger Application Receipt Accounting

* Ledger US Primary Ledger

Process Category

* End Date 31/12/25

* Accounting Mode Final

* Process Events All

* Report Style Summary

* Transfer to General Ledger Yes

* Post in General Ledger Yes

Journal Batch Affy

* Include User Transaction Identifiers No

I open it again for Cost Management.

Overview **Create Accounting** x

This process will be queued up for submission at position 4

Process Options Advanced **Submit** Cancel

Name Create Accounting

Description Creates subledger journal entries

Schedule As soon as possible

Submission Notes ☐ Notify me when this process ends

Basic Options

Parameters

* Subledger Application **Cost Management**

* Ledger US Primary Ledger

Process Category

* End Date 31/12/25

* Accounting Mode Final

* Process Events All

* Report Style Summary

* Transfer to General Ledger Yes

* Post in General Ledger Yes

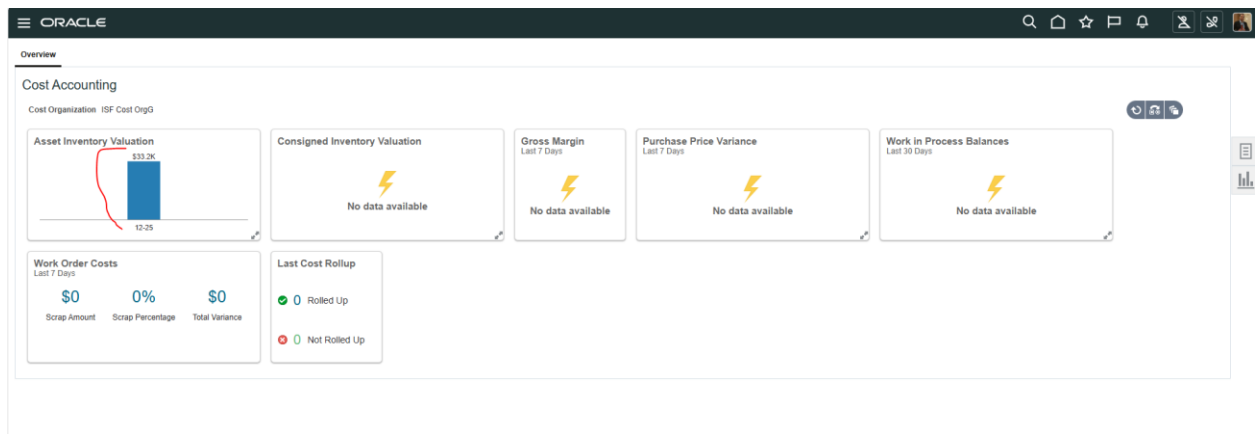
Journal Batch

* Include User Transaction Identifiers No

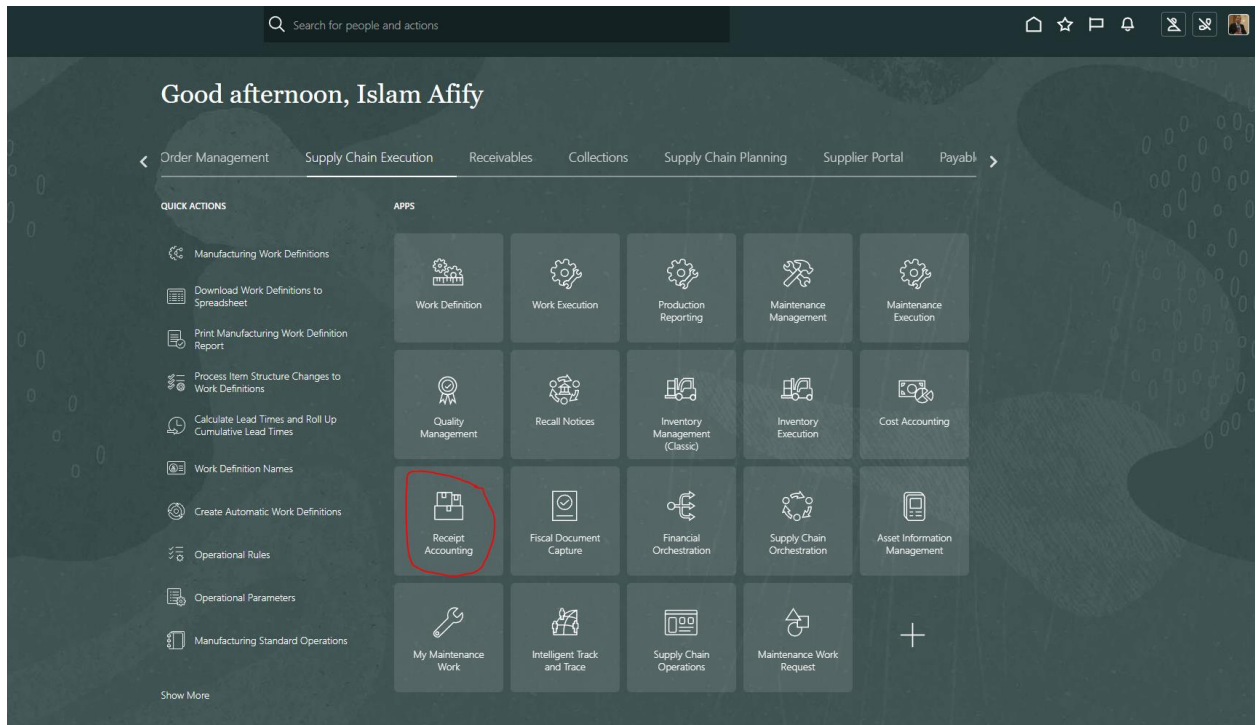
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+2 01060903831

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For now, we won't make any changes to the Cost Account Map Set. We will only use it for tracing, so that when Errors appear from Create Accounting, we can identify whether a specific Map Set is causing the issue and resolve it.



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Review Receipt Accounting Distributions

Search Results: Receipt Accounting Transactions

Profit Center Business Unit	Bill to Business Unit	Inventory Organization	Source Document Type	Transaction Date	Transaction Type	Ac Da	Transaction Status	Funds Reservation					Source Document Number	Source Document Line Number	Destination Type	Item
								Budgetary Control Enabled	En Ac En	Fund Reservation Status	Liquidation Amount	Reservation Amount				
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/...	Invoice Price Adjustment	3...	Error						AH-PO000018	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	3	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	4	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	1	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000017	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000017	3	Inventory	ISF-LC
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000013	3	Inventory	ISF-Lc
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000013	2	Inventory	ISF-00
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000013	1	Inventory	ISF-00

Columns Hidden 4 Columns Frozen 9

AH-PO000018: Transaction Details and Distributions

Cost Information Distributions Journal Entries

Cost Source	Ledger Unit Cost(USD)	Transaction Unit Cost	Source Document UOM	Currency Code
Invoice variances	300.00	300.00	Ea	USD

So, why do all these transactions have Errors, and how can I check them?

When we scroll down to Distributions, we see that it's marked as Done, but there are no account numbers—only amounts.

Review Receipt Accounting Distributions

Search Results: Receipt Accounting Transactions

Profit Center Business Unit	Bill to Business Unit	Inventory Organization	Source Document Type	Transaction Date	Transaction Type	Ac Da	Transaction Status	Funds Reservation					Source Document Number	Source Document Line Number	Destination Type	Item
								Budgetary Control Enabled	En Ac En	Fund Reservation Status	Liquidation Amount	Reservation Amount				
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/...	Invoice Price Adjustment	3...	Error						AH-PO000018	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	3	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	4	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000019	1	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000017	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000017	3	Inventory	ISF-LC
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000013	3	Inventory	ISF-Lc
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000013	2	Inventory	ISF-00
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/...	Receipt Into Receiving Inspection	2...	Error						AH-PO000013	1	Inventory	ISF-00

Columns Hidden 4 Columns Frozen 9

AH-PO000018: Transaction Details and Distributions

Cost Information **Distributions** Journal Entries

Accounting Line Type	Cost Source	Transactional Currency Amount (USD)		Ledger Amount (USD)	
		Debit	Credit	Debit	Credit
Receiving Inspection	Invoice variances	300.00		300.00	
Invoice Price Adjustment	Invoice variances		300.00		300.00

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

When we go to **Journal Entries**, the status will show Error. There will be a message explaining the issue. By reading this message, I can identify the reason, and most likely it will be related to the Mapping Set. It will also show the name of the Mapping Set, which I can copy and then check to see which record is missing.

Review Receipt Accounting Distributions Done

ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000019	4	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000019	4	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000019	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000019	1	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000017	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000017	3	Inventory	ISF-LC
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000013	3	Inventory	ISF-Lc
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000013	2	Inventory	ISF-00
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	29/12/2025	Receipt into Receiving Inspection	2... Error	AH-PO000013	1	Inventory	ISF-00

Columns Hidden: 4 Columns Frozen: 9

AH-PO000017: Transaction Details and Distributions

Cost Information Distributions **Journal Entries**

Ledger: US Primary Ledger Date: 29/12/25 Status: Invalid

View View T-Accounts View Errors Detach

Line	Event	Account	Class	Accounted (USD)
1	Receipt into Inspection		Accrual	0...
Message: 1. The input source values don't map to any output value defined in mapping set Accrual.				
2	Receipt into Inspection		Accrual	0...
Message: 1. The input source values don't map to any output value defined in mapping set Accrual.				
3	Receipt into Inspection		Accrual	3,000.00
Message: 1. The input source values don't map to any output value defined in mapping set Accrual.				

ORACLE Setup: Manufacturing and Supply Chain Materials Management Actions

Functional Areas Change Feature Opt In

- Catalogue Shared
- Inventory Management Shared
- Advanced Inventory Management Shared
- Receiving Shared
- Shipping Shared
- Receipt Accounting** Shared
- Cost Accounting Shared
- Cost and Profit Planning Shared
- Landed Cost Management Shared
- Intrastat Reporting Shared
- Manufacturing Master Data Shared
- Structures Shared
- Supply Chain Collaboration Shared
- Supply Chain Orchestration Shared
- Maintenance Management Shared

Receipt Accounting

View Format Freeze Detach Wrap Show All Tasks

Task	Scope	Actions
Manage Sources		+
Manage User-Defined Formulas		+
Manage Accounting Attributes		+
Manage Journal Line Rules		+
Manage Description Rules		+
Manage Mapping Sets		+
Manage Account Rules		+
Manage Supporting References		+
Manage Subledger Journal Entry Rule Sets		+

Columns Hidden: 3

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

ORACLE

Manage Mapping Sets: Receipt Accounting

Search

Search Results

Actions View

Name	Description	Status	Created By
Accrual	Mapping set created for account rule: Accrual	Active	Oracle
Asset In-Transit Valuation_RA	New Mapping Set Created for RA: Mapping set created for account rule: Asset In-Transit Valuation	Active	SCM_IMPL
Asset In-Transit Valuation	Mapping set created for account rule: Asset In-Transit Valuation	Active	Oracle
Clearing	Mapping set created for account rule: Clearing	Active	Oracle
Consigned Accrual	Mapping set created for account rule: Consigned Accrual	Active	Oracle
Consigned Clearing	Mapping set created for account rule: Consigned Clearing	Active	Oracle
Consigned Clearing_RA	New Mapping Set created for RA: Mapping set created for account rule: Consigned Clearing	Active	SCM_IMPL
Consigned In-Transit	Mapping set created for account rule: Consigned In-Transit	Active	Oracle
Consigned In-Transit_RA	New mapping Set created for RA: Mapping set created for account rule: Consigned In-Transit	Active	SCM_IMPL
Consigned Inspection	Mapping set created for account rule: Consigned Inspection	Active	Oracle

After I do Edit, I can perform an Insert either at the Instance level and set it as Default, or I can add only my own Inventory Organization. The most important thing is to make sure that I am working on the US Chart of Accounts.

Edit Mapping Set

Short Name: CMR_ACCRUAL
Description: Mapping set created for account rule: Accrual
Output Type: Account combination

Status: Active
Created By: Oracle

Input Sources

Number	Input Source	Value Set	Lookup Type	Segment
1	Inventory Organization Code			
2	Inventory Category Identifier	ORA_CST_XLA_IN		
3	Item Number			

Chart of Accounts

US Chart of Accounts

US Chart of Accounts: Mappings

When entering input values, enter a value, an asterisk to represent any value, or leave blank for no value.

Default	Inventory Organization	Inventory Category	Item Number	Output	Effective Start Date	Effective End Date
	001	*	*	101.10.22210.000.000.000		
	ISF1	*	*	101.10.22210.000.000.000		
	ISF2	*	*	101.10.22210.000.000.000		
	ISF3	*	*	101.10.22210.000.000.000		
	002	*	*	101.10.22210.000.000.000		

Then we go back and run **Create** Accounting again.

Created By: Islam Afify



+2 01060903831



LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

Oracle

Overview Create Accounting x

This process will be queued up for submission at position 1

Name Create Accounting

Description Creates subledger journal entries.

Schedule As soon as possible

Submission Notes ☐ Notify me when this process ends

Process Options Advanced Submit Cancel

Basic Options

Parameters

* Subledger Application Receipt Accounting

* Ledger US Primary Ledger

Process Category Receipt Accounting

* End Date 31/12/25

* Accounting Mode Final

* Process Events All

* Report Style Summary

* Transfer to General Ledger Yes

* Post in General Ledger Yes

Journal Batch

* Include User Transaction Identifiers Yes

After that, we go into the Process, and once it finishes, we will find a report called **Create Accounting Report**.

I can download it, and it gives me a Summary showing how many Errors there are and how many are Done. This helps me focus on the Errors and start working on them, then try again and select Details. At that point, I'm confident because the large volume has already been processed successfully, and the main concern is just the 10 Errors that remain. That's why I

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

choose Details without worrying about any issues.

ORACLE

Overview

Search

Name

Process ID

Status

Submission Time

Submission Notes

Submitted By

After

Contains

31/12/25 04:17 PM

(UTC+02:00) Cairo - Egypt Time (ET)

Search

Reset

Download Results

Search Results

View

Flat List

Hierarchy

Actions

View

Schedule New Process

Resubmit

Put On Hold

Cancel Process

Release Process

View Log

Name	Metadata Name	Process ID	Status	Scheduled Time	Submission Time	Submission Notes
Create Accounting Execution Report	XLAFSNAPRPT	8954331	Succeeded	31/12/25 05:54 PM EET	31/12/25 05:54 PM EET	XLAFSNAPRPT
Post Subledger Journal Entries: Subprocess	XLAGLTRNW	8954329	Succeeded	31/12/25 05:54 PM EET	31/12/25 05:54 PM EET	XLAGLTRNW
Post Subledger Journal Entries	XLAGLTRN	8954327	Succeeded	31/12/25 05:54 PM EET	31/12/25 05:54 PM EET	XLAGLTRN
Create Accounting: Subprocess	XLAFSNAPENG	8954326	Succeeded	31/12/25 05:54 PM EET	31/12/25 05:54 PM EET	XLAFSNAPENG

Process Details

Status Details

Create Accounting Execution Report, 8954331

Status

Succeeded

Schedule Start

31/12/25 05:54 PM EET

External Job Type

BIP Job

External Job Status

NA

Log

Attachment

E9S_I_8954331

Output

Output & Delivery

XML Data

Diagnostic Log

Republish

Status

All

Output Name

Template

Format

Locale

Time Zone

Calendar

Status

Send

Default Document

Create Accounting Report

PDF

English (Egypt)

(UTC+02:00) Cairo - Egypt Time (ET)

✓

P_ACCOUNTING_REQUEST_ID

8954323

P_REPORT_STYLE

S

P_INCLUDE_ZERO_AMOUNT_LINES

N

P_INCLUDE_USER_TRX_ID_FLAG

Y

P_LEDGER_PARAM

Apply

Create Accounting Report...

1

of 159

ORACLE

US Primary Ledger

Create Accounting Execution Report

Report Date

31/12/25 06:27 PM

Report Parameters
Subledger Application
Process Category
End Date
Accounting Mode
Process Events
Transfer to General Ledger
Post in General Ledger
Journal Batch
Report Style
Include User Transaction Identifiers
Accounting Program Request ID

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

P_ACCOUNTING_REQUEST_ID 0054323		P_REPORT_STYLE S	
P_INCLUDE_ZERO_AMOUNT_LINES N		P_INCLUDE_USER_TRX_ID_FLAG Y	
P_LEDGER_PARAM		Apply	

ORACLE US Primary Ledger		Create Accounting Execution Report		Report Date 31/12/25 06:27 PM Page 1 of 158	
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Accounting Event Summary				
Event Class	Total Number of Events	Number of Events Processed without Warning	Number of Events with Warning	Number of Events in Error
Invoice Price Adjustment	21	0	0	21
Receiving	25	0	0	25

Subledger Journal Entries Summary				
Ledger	Final Journal Entries	Draft Journal Entries	Invalid Journal Entries	Incomplete Journal Entries
US Primary Ledger	0	0	46	0
US IFRS Secondary Ledger	0	0	46	0
US RC SLA EUR	0	0	46	0

Journal Entry Errors and Warnings						
Event Class	Event Type	Ledger	Transaction Number	Journal Entry Status	Journal Line Number	Error and Warning Message
Invoice Price Adjustment	Invoice Price Adjustment	US IFRS Secondary Ledger	162130	Invalid	1	Subledger accounting couldn't retrieve a value for the accounting flexfield account rule. Details: The GL account can't be derived by account rule. Review the account rule definition and the extract source values, if applicable, for the event and ensure that a valid GL account can be derived for the subledger journal entry.
Invoice Price Adjustment	Invoice Price Adjustment	US IFRS Secondary Ledger	162130	Invalid		The accounting date 01-DEC-23 isn't in an open or a future enterable period. Details: You must open the accounting period or modify the journal entry rule set or the source value to use a different accounting date.
Invoice Price Adjustment	Invoice Price Adjustment	US IFRS Secondary Ledger	162130	Invalid	1	Subledger accounting couldn't retrieve a value for the accounting flexfield account rule. Details: The GL account can't be derived by account rule. Review the account rule definition and the extract source values, if applicable, for the event and ensure that a valid GL account can be derived for the subledger journal entry.
Invoice Price Adjustment	Invoice Price Adjustment	US IFRS Secondary Ledger	162130	Invalid		The accounting date 01-DEC-23 isn't in an open or a future enterable period. Details: You must open the accounting period or modify the journal entry rule set or the source value to use a different accounting date.
Invoice Price Adjustment	Invoice Price Adjustment	US IFRS Secondary Ledger	162130	Invalid	1	Subledger accounting couldn't retrieve a value for the accounting flexfield account rule. Details: The GL account can't be derived by account rule. Review the account rule definition and the extract source values, if applicable, for the event and ensure that a valid GL account can be derived for the subledger journal entry.

Then we go back to **Review Receipt Account Distribution**, identify the other Map Set that has an issue, and follow the same steps.

Review Receipt Accounting Distributions

Done

Search Results: Receipt Accounting Transactions

ViewFormatFilterFreezeDetachWrap

Profit Center Business Unit	Bill to Business Unit	Inventory Organization	Source Document Type	Transaction Date	Transaction Type	Ac De	Transaction Status	Funds Reservation							
								Bu Co En Ac En Status	Fund Ac En Status	Liquidation Amount	Reservation Amount	Source Document Number	Source Document Line Number	Destination Type	Item
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	3...	Final accounted					AH-PO000018	1	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	3...	Final accounted					AH-PO000018	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Invoice Price Adjustment	3...	Error					AH-PO000018	3	Inventory	ISF-LC
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Invoice Price Adjustment	3...	Error					AH-PO000018	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	2...	Final accounted					AH-PO000019	3	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 3	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	2...	Final accounted					AH-PO000019	4	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	2...	Final accounted					AH-PO000019	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 2	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	2...	Final accounted					AH-PO000019	1	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	2...	Final accounted					AH-PO000017	2	Inventory	ISF-Cs
ISF BU	ISF BU	ISF Inventory 1	Purchase Order	30/12/2...	Receipt Info Receiving Inspection	2...	Final accounted					AH-PO000017	3	Inventory	ISF-LC

Columns Hidden 4Columns Frozen 9

AH-PO000018: Transaction Details and Distributions

Cost InformationDistributionsJournal Entries

LedgerUS Primary LedgerDate30/12/25StatusInvalid

ViewView T-AccountsViewErrorsDetach

Line	Event	Account	Class	Accounted (USD)	
				Del	Credit
01	Invoice Price Adjustment		Invoice price adjustment		1,500.00

Message1. The input source values don't map to any output value defined in mapping set Invoice Price Adjustment.

NOTE:

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

Why, for example, are there so many Adjustments, and why did it throw such a large number of Errors? This could be because each Adjustment goes through Cost with all the Elements, and each Cost Element has its own Distribution. For instance, if I have 21 Errors, these 21 might not be transactions—they could be individual journal entries. Then we go back and run the same steps again.

Now, we will open the Cost Account.

Review Cost Account Distribution

Review Cost Accounting Distributions

Search By: Classic Search

Search for all transactions

Search: Cost Transactions

Advanced Saved Search All Cost Transactions

Cost Organization Equals Transaction Type Equals

Cost Book Equals Item Equals

Primary Book Equals Transaction Date On or after 22-12-2025

Search Results: Cost Transactions

View Format Freeze Detach Wrap View Details

Cost Organization	Cost Book	Subinventory	Costing Status	Accounting Status	Item	Item Description	Resource	Type	Number	Date	Quantity
-------------------	-----------	--------------	----------------	-------------------	------	------------------	----------	------	--------	------	----------

Columns Hidden: 12 Columns Frozen: 6

Of course, before entering here, I should specify my Cost Organization. After opening the screen like the image above, I may not select a Book, because if I set Primary to Yes, it will automatically choose the Primary without me specifying it. Then I perform a Search.

**Account Status

This is very important. We then do View Details, and we will find an Error because I didn't input my Organization.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Wrap View Details

Costing Status	Accounting Status	It
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS
Fully costed	Error	PS

Cost Information Cost Distributions Transaction Errors <u>Journal Entries</u>					
Ledger US Primary Ledger		Date 27-12-2025		Status Invalid	
View View T-Accounts View Errors Detach					
Line	Event	Account	Class	Accounted (USD)	
				Debit	Credit
1	PO Delivery into I...		Inventory valu...	7,540.00	
Message 1. The input source values don't map to any output value defined in mapping set Inventory Valuation.					
2	PO Delivery into I...		Receiving ins...		2,250.00
Message 1. The input source values don't map to any output value defined in mapping set Receiving Inspection.					

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Edit Mapping Set Actions Save Save and Close Save and Create Another Cancel

Number	Input Source	Value Set	Lookup Type	Segment
1	Inventory Organization Code			
2	Inventory Category Identifier	ORA_CST_XLA_IN		
3	Item Number			

Chart of Accounts

View + - ✕ 🔍

Chart of Accounts

US Chart of Accounts

EU Chart of Accounts

DE Chart of Accounts

SE Chart of Accounts

IN Chart of Accounts

US Chart of Accounts: Mappings

When entering input values, enter a value, an asterisk to represent any value, or leave blank for no value.

View + - ✕ 🔍 Export Import Set Default Detach

Default	Inventory Organi	Inventory Catego	Item Number	Output	Effective Start Date	Effective End Date
				101.10.14500.000.000.000		
	ISF1	*	*	101.10.14500.000.000.000	ddmmyy	ddmmyy
1		*	*	101.10.14500.000.000.000		
2		*	*	101.10.14500.000.000.000		
3		*	*	101.10.14500.000.000.000		

All that remains is to switch to the Cost Account, get its Mapping Set, and start entering its data.

Now we can trace why the Cost Accounting or Create Accounting encountered an Error.

VISION Setup: Manufacturing and Supply Chain Materials Management Actions

Functional Areas Change Feature Opt In Search Tasks

- Advanced Inventory Management
- Receiving
- Shipping
- Receipt Accounting
- Cost Accounting**
- Cost and Profit Planning
- Landed Cost Management
- Intrastat Reporting
- Manufacturing Master Data
- Structures
- Supply Chain Collaboration
- Supply Chain Orchestration
- Maintenance Management
- Supply Chain Financial Flows

Cost Accounting View Format Freeze Detach Wrap Show All Tasks

Task	Scope	Actions
Manage Mapping Sets	Select...	
Manage Account Rules	Select...	
Manage Supporting References	Select...	
Manage Subledger Journal Entry Rule Sets	Select...	
Manage Accounting Methods	Select...	
Activate Subledger Journal Entry Rule Set Assignments		
Import Supporting Reference Initial Balances		
Manage Subledger Accounting Options	Select...	
Manage Accounting Class Usages	Select...	
Manage Subledger Accounting Lookups	Select...	

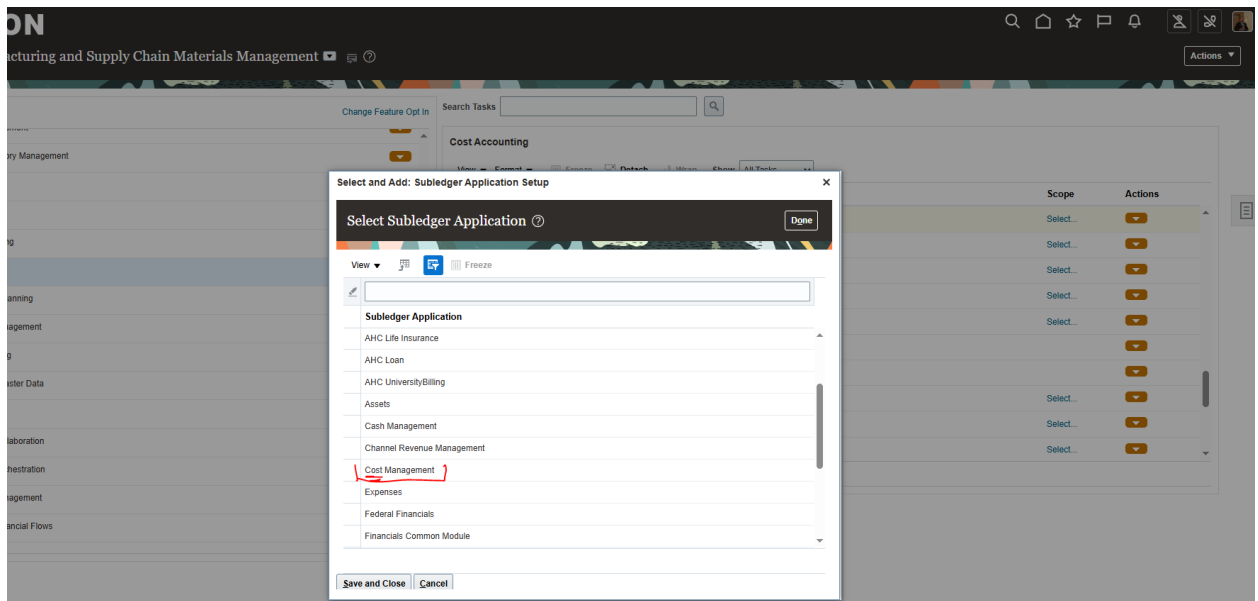
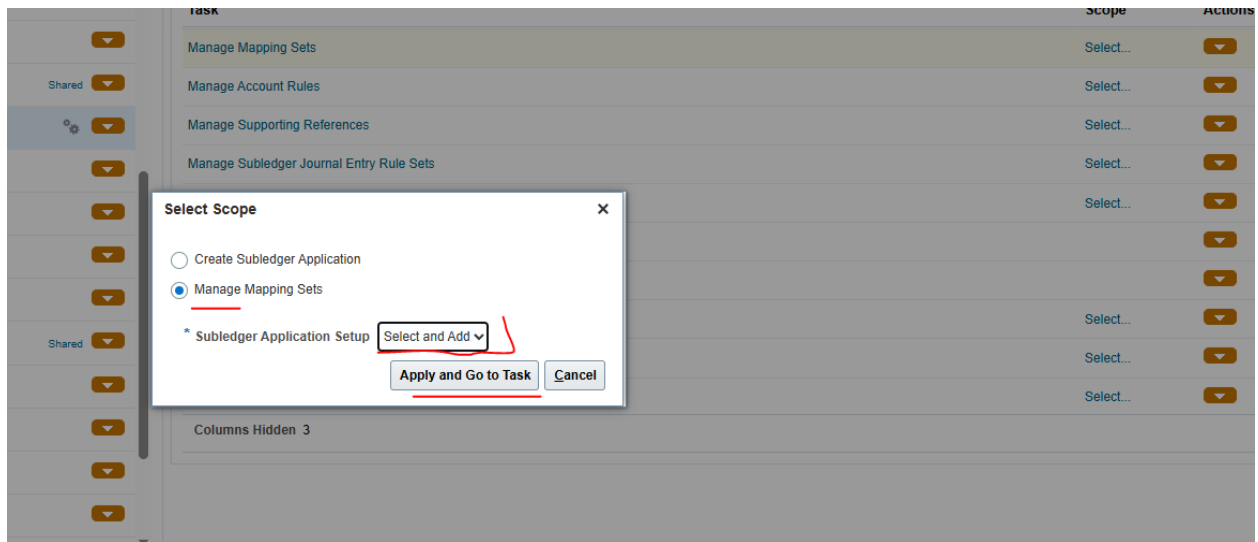
Columns Hidden: 3

Here, we will find that the Scope is not directly linked to the Receipt, because from here I can work with the Mapping Set related to Payable or Receivable—anything related to AP.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)



Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Number	Input Source	Value Set	Lookup Type	Segment
1	Inventory Organization Code	-	-	-
2	Subinventory Code	-	-	-
3	Costing Category Identifier	ORA_CST_XLA_C1	-	-
4	Item Number	-	-	-

Chart of Accounts

View

Chart of Accounts

- US Chart of Accounts
- FR Chart of Accounts
- UK Chart of Accounts
- CN Chart of Accounts
- EU Chart of Accounts

US Chart of Accounts: Mappings

When entering input values, enter a value, an asterisk to represent any value, or leave blank for no value.

View Export Import >> Detach

Default	Input	Output	Effective Start Date	Effective End Date
Inventory Organi	Subinventory Co	Costing Category	Item Number	US Chart of Accounts
*	*	*	*	101 10 14600 000 000 000
ISF1	*	*	*	101 10 14600 000 000 000
001	*	*	*	101 10 50600 120 000 000
002	*	*	*	101 10 50600 120 000 000
003	*	*	*	101 10 50600 120 000 000

I add the rest of the Organizations as shown in the image, making sure that I enter the same account number I used in Receiving and don't enter any other number. I can also set it as Default so it applies to all, without adding a specific Organization.

After that, we also perform the Inventory Valuation.

VISION

Manage Mapping Sets: Cost Management

Search

Advanced Saved Search All Mapping Sets

Search Results

Actions View

Name	Description	Status	Created By
Inventory Valuation	Mapping set created for account rule: Inventory Valuation	Active	Oracle

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Edit Mapping Set

Actions
Save
Save and Close
Save and Create Another
Cancel

Number	Input Source	Value Set	Lookup Type	Segment
1	Inventory Organization Code	-	-	
2	Subinventory Code	-	-	
3	Costing Category Identifier	ORA_CST_XLA_C	-	
4	Item Number	-	-	

Chart of Accounts
View
+
-
x

Chart of Accounts
US Chart of Accounts
FR Chart of Accounts
UK Chart of Accounts
EU Chart of Accounts
DE Chart of Accounts

US Chart of Accounts: Mappings
When entering Input values, enter a value, an asterisk to represent any value, or leave blank for no value.
View
+
-
x
Export
Import
Set Default
Detach

Default	Inventory Organi	Subinventory Co	Costing Category	Item Number	US Chart of Accounts	Effective Start Date	Effective End Date
	*	*	*	*	101.10.14100.000.000.000		
	001	*	*	*	101.10.14100.000.000.000		
	002	*	*	*	101.10.14100.000.000.000		
	003	*	*	*	101.10.14100.000.000.000		
	004	*	*	*	101.10.14100.000.000.000		

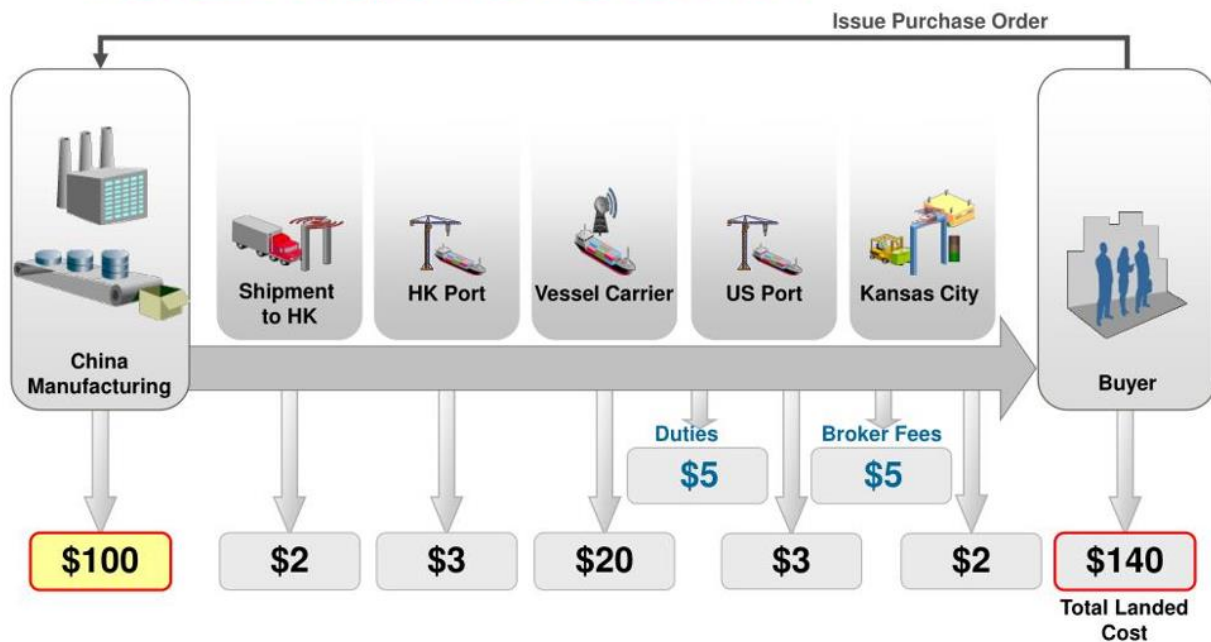
Now, if we run Create Accounting again, we won't find any Errors. Even if a different Error appears, we can check it and resolve it using the same method.

.....

Landed Cost Management

Landed Cost Calculations

Inbound Shipment Transaction



An additional 40% is added on to the purchase price

ORACLE 6

For example, I purchased goods for \$100—the PO price is \$100. For these goods to reach us from China, Italy, or any other country to our factory, how much did it actually cost? There are many additional expenses such as shipment, port fees, and so on. At each stage the goods go through, there are costs incurred. I want to start monitoring these costs and allocate them to the value of the goods, which could reach up to 40% of the item's cost.

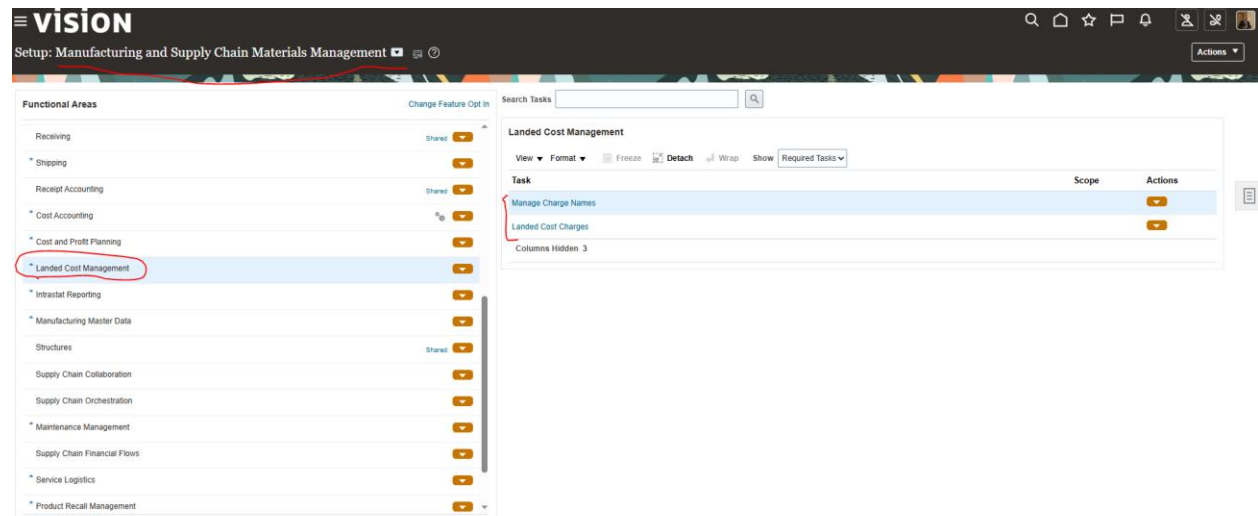
So, if I want to allocate the \$40 in this example to the inventory value, I will know the actual cost when I consume it. When I do a Cost Breakdown for the item, it will tell me, for example, the item consists of \$100 Materials, \$2 for something else, \$3 for something else, and \$20 for something else. That way, if someone asks me about shipping costs, I can say that this particular shipment has the item costing \$120. If they ask how this differs from the PO to the supplier, which was \$100 and the previous shipment price hasn't changed, I can explain that the extra \$20 is for these additional costs. Without this breakdown, I wouldn't be able to answer.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

So, the purpose of Landed Cost Management is to allocate all types of expenses to the items, so that I can do a Cost Breakdown. For example, the \$40—where did it go? In the end, it will be distributed according to the Cost Elements that I define and according to the expenses the company specifies, like these particular charges. By monitoring the expenses, we track them and let the system handle them. Then, we define our Cost Elements and create the Mapping, telling the system that these expenses should be allocated to the respective Cost Elements.



Procurement BU Set	Code	Name	Description	Default Allocation Basis
Common Set	ISF Shipping and Legalization	ISF Shipping and Legalization	م شحن وتوثيق	Item Value
Common Set	ISF Bank Charges	ISF Bank Charges	مصروفات بنكية	Item Value
Common Set	ISF Customs Fees	ISF Customs Fees	رسوم جمركية	Item Value
Common Set	ISF Freight Expenses	ISF Freight Expenses	مصروفات نقل	Quantity
Common Set	ISF Miscellaneous	ISF Miscellaneous	The miscellaneous charges incurred on movement of goods.	Item Value
Common Set	ISF_IMPORT_CUSTOMS_CLEARANCE	ISF Import Customs Clearance Services	خدمات التخليص الجمركي للاستيراد	Item Value
Common Set	ISF_BROKER_FEES	ISF Broker Fees	رسوم الوسيط	Item Value
Common Set	ISF_LANDED_AND_DEMERAGUES	ISF Landed And Demurrage	أرضيات وغرامات التأخير	Item Value
Common Set	ISF_OFFICIAL_CUSTOMS_FEES	ISF Official Customs Fees	الرسوم الجمركية	Item Value

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Common Set	ISF_FINANCE_COST	ISF Finance Cost	مصاريف مالية	Item Value
------------	------------------	------------------	--------------	------------

VISION
Manage Charge Names

Search

Code Starts with: Procurement BU Set: Equals:
Name Starts with: Description Starts with:

Search Results

View:

* Procurement BU Set	* Code	* Name	Description	Track Missing Invoices	Default Allocation Basis	Tax Applicable	Enable automatic tax calculation
Common Set	ISF Miscellaneous	ISF Miscellaneous	The miscellaneous d	☐	Item value	Yes	☒
Common Set	ISF Freight Expenses	ISF Freight Expenses	مصاريف شحن	---	Quantity	Yes	☒
Common Set	ISF Customs Fees	ISF Customs Fees	رسوم جمركية	---	Item value	Yes	☒
Common Set	ISF Bank Charges	ISF Bank Charges	مصاريف بنكية	---	Item value	Yes	☒
Common Set	ISF Shipping and Legalization	ISF Shipping and Legalization	مصاريف شحن وتوثيق	---	Item value	Yes	☒

Columns Hidden: 2

ISF Miscellaneous: Details
No data to display.

Expense names, for example, a Container can contain the same Item multiple times: an Item costing \$1, an Item costing \$100, an Item costing \$500, and so on. The same Container might ship iron coils, gold, and sponge. Here, the sponge takes up a large volume, but its weight is very light, so anyone could carry it. When calculating shipping, the Container capacity matters: a 20-foot container can hold 20 tons as long as the weight limit isn't exceeded, and a 40-foot container can hold 40 tons.

So, if the Container I bring contains these three items—heavy iron, light gold, and large-volume sponge—and I have shipping costs, should I allocate the expenses equally among the three? One of these items might not even reach \$10 per cubic meter, while gold might cost millions, and the iron weighing 5–10 tons still doesn't account for a large amount. Therefore, I can also allocate the expenses based on ... whatever method you specify.

Now, if you have an insurance expense: if you insure a container that includes gold, sponge, and iron, will it be the same as insuring a container filled only with sponge? Of course not. Why? Because the presence of precious metals, iron, or electronics increases the risk and value involved.

Therefore, some expenses need to be allocated based on the item value. Why? Because a cost element might be very small, and if you assign a large expense to it, that will obviously create a problem. For example, purchasing an item for \$1 and loading it with \$10 in transportation cost does not make sense.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

If you have an Insurance cost, will insuring a container that includes gold, sponge, and steel be the same as a container that includes only sponge? Of course not.

Why? Because there are high-value and high-risk materials involved, such as precious metals, steel, or electronics.

That's why some costs need to be allocated based on the item value, not equally.

Otherwise, you may end up with an item that costs one dollar but is loaded with ten dollars of transportation cost, which would be a serious issue in the Cost Element.

For example, the container includes items with different quantities but the same value per item, so the expense is allocated based on the quantity of each Item inside the container.

All of this is possible.

Where is this defined in the system? It is defined in the **Charge Name**.

****Charge Name As a Default >> Default Allocation Basis**

How will the charge be allocated? Based on whatever you choose... say what you want, and you will find available options; nothing is outside this scope, everything is handled within the system.

While creating the charge itself, I specify the Allocation Basis as such, and I will allocate the amount in this way.

This is how the **Charge Name** is defined.

* Procurement BU Set	* Code	* Name	Description	Track Missing Invoices	Default Allocation Basis	Tax Applicable	Enable automatic tax calculation
Common Set	ISF Miscellaneous	ISF Miscellaneous	The miscellaneous ch	☐	Item value	Yes	☒
Common Set	ISF Freight Expenses	ISF Freight Expenses	مصارفات نقل	—	Equally	Yes	☒
Common Set	ISF Customs Fees	ISF Customs Fees	رسوم جمركية	—	Item value	Yes	☒
Common Set	ISF Bank Charges	ISF Bank Charges	مصارفات بنكية	—	Manual allocation factor	Yes	☒
Common Set	ISF Shipping and Legalization	ISF Shipping and Legalization	م شحن وتوثيق	—	Quantity	Yes	☒
					Volume	Yes	☒
					Weight	Yes	☒

Columns Hidden: 2

ISF Miscellaneous: Details

No data to display.

We start creating the Cost Element.

Cost Element	Cost Element Set	Cost Element Type	Description

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

ISF Import Customs Clearance Services	Common Set	Material overhead	Import customs clearance services
ISF Broker Fees	Common Set	Material overhead	Brokerage fees
ISF Landed And Demurrage	Common Set	Material overhead	Storage and late fines
ISF Finance Cost	Common Set	Material overhead	Financial expenses
ISF Shipping and Legalization	Common Set	Material overhead	Shipping and documentation
ISF Bank Charges	Common Set	Material overhead	Bank charges
ISF Customs Fees	Common Set	Material overhead	Customs duties
ISF Freight Expenses	Common Set	Material overhead	Transportation expenses
ISF Miscellaneous	Common Set	Material overhead	The miscellaneous charges incurred on movement of goods.

vision

Setup: Manufacturing and Supply Chain Materials Management

Search

Home

Star

Flag

Alert

Share

Print

User

Actions

Functional Areas

Change Feature Opt In

Search Tasks

Carriers and Transit Times

Shared

Opt In

Catalogs

Shared

Opt In

Inventory Management

Opt In

Advanced Inventory Management

Opt In

Receiving

Shared

Opt In

Shipping

Opt In

Receipt Accounting

Shared

Opt In

Cost Accounting

Opt In

Cost and Profit Planning

Opt In

Landed Cost Management

Opt In

Intrastat Reporting

Opt In

Manufacturing Master Data

Opt In

Structures

Shared

Opt In

Supply Chain Collaboration

Opt In

Supply Chain Orchestration

Opt In

Cost Accounting

View

Format

Freeze

Detach

Wrap

Show

Required Tasks

Task

Scope

Actions

Valuation Structures

Cost Elements

Cost Component Mappings

Cost Profiles

Default Cost Profiles

Valuation Units

Manage Valuation Structures

Manage Cost Elements

Manage Cost Component Mappings

Manage Cost Profiles

Columns Hidden: 3

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

VISION
Manage Cost Elements

Search
Cost Element Starts with: [] Description Starts with: []
Advanced Saved Search All Cost Elements

Search Results

Cost Element	Cost Element Set	Cost Element Type	Description	Inventory Organization	Attachments
ISF Miscellaneous	Common Set	Material overhead	The miscellaneous charges incurred or		None
ISF Freight Expenses	Common Set	Material overhead	مصاريف نقل		None
ISF Customs Fees	Common Set	Material overhead	رسوم جمركية		None
ISF Bank Charges	Common Set	Material overhead	مصاريف بنكية		None
ISF Shipping and Le...	Common Set	Material overhead	مصاريف شحن		None
ISF Finance Cost	Common Set	Material overhead	مصاريف مالية		None

ISF Miscellaneous: Analysis Groups

Analysis Group	Analysis Code
No data to display.	

And I start linking all of this together; we will do the Mapping, specifying, for example, which of the four each of the 20 will be linked to.

Manage Cost Component Mapping

Functional Areas

- Initial Users
- Enterprise Profile
- Legal Structures
- Financial Reporting Structures
- Organization Structures
- Customers
- Suppliers
- Facilities
- Users and Security
- Items
- Carriers and Transit Times
- Catalogs
- Inventory Management
- Advanced Inventory Management
- Receiving

Change Feature Opt In

Search Tasks

Cost Accounting

View Format Freeze Detach Wrap Show Required Tasks

Task	Scope	Actions
Cost Component Mappings		
Cost Profiles		
Default Cost Profiles		
Valuation Units		
Manage Valuation Structures		
Manage Cost Elements		
Manage Cost Component Mappings		
Manage Cost Profiles		
Manage Default Cost Profiles		
Manage Valuation Units		
Columns Hidden: 3		

Now I am doing the Mapping between the Cost Element and the Charge Name. Who tells me the Type? The Cost Control.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

VISION

Manage Cost Component Mappings

Save

Save and Close

Cancel

Search: Component Groups

Code Equals

Description Equals

Name Equals

Set Name Equals

Search

Reset

Save...

Add Fields

Reorder

Search Results: Component Groups

Actions

View

Format

Detach

Wrap

* Code	Name	* Set Name	Description	Attachments
Common Component Group	Common Component Gro	Common Set		None
Default Component Mapping	Default Component Mapp...	Enterprise Set	Default Mapping of Cost Components to Cost Elements	None
Enterprise Component Group	Enterprise Component Gr...	Enterprise Set		None

Common Component Group: Mappings

Cost Component Codes

Cost Elements

Actions

View

Format

Clear

Freeze

Wrap

Cost Components					Destination Cost Elements		
* Cost Component Source	* Set Name	* Cost Component Code	Cost Component Type	* Cost Element Set	* Cost Element	Cost Element Type	Include in Inventory
Landed cost	Common Set	ISF Freight Expens		Common Set	ISF Freight Expens	Material overh...	✓
Landed cost	Common Set	ISF Shipping and Legalizatio		Common Set	ISF Shipping and Legalizatio	Material overhead	✓
Landed cost	Common Set	ISF Bank Charges		Common Set	ISF Bank Charges	Material overhead	✓
Landed cost	Common Set	ISF Customs Fees		Common Set	ISF Customs Fees	Material overhead	✓
Landed cost	Common Set	ISF Miscellaneous		Common Set	ISF Miscellaneous	Material overhead	✓

This is where I specify that when this expense is applied to this shipment, the Item should be assigned to the Cost Element named so-and-so.

The Cost Element represents the cost components of items within the facility or warehouse. Each Cost Element has a Cost Type, and there are five fixed Types, but under each Type, I can create up to 600 Cost Elements.

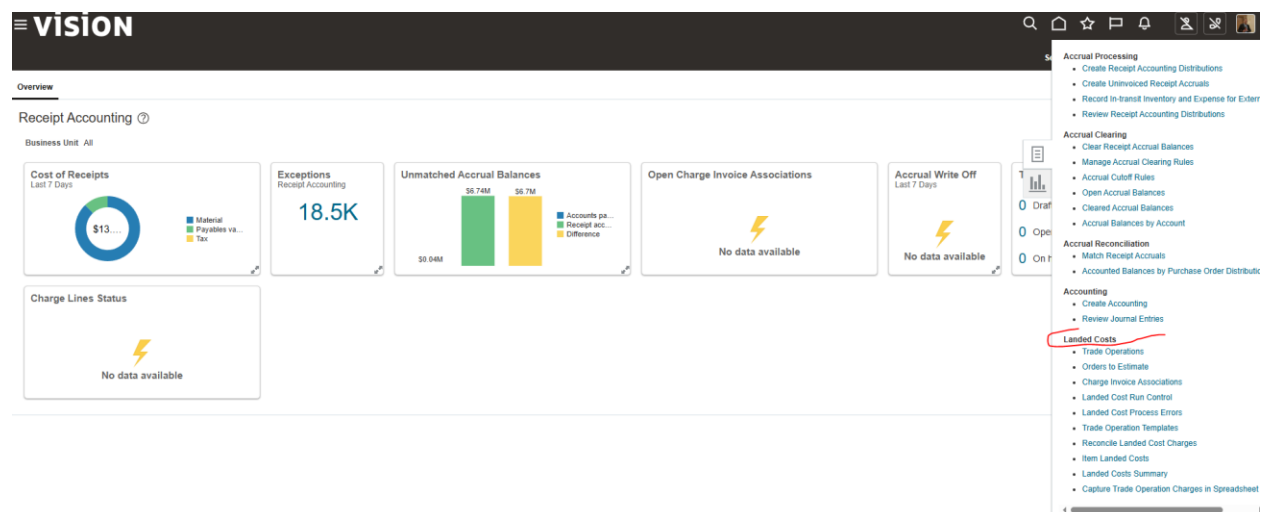
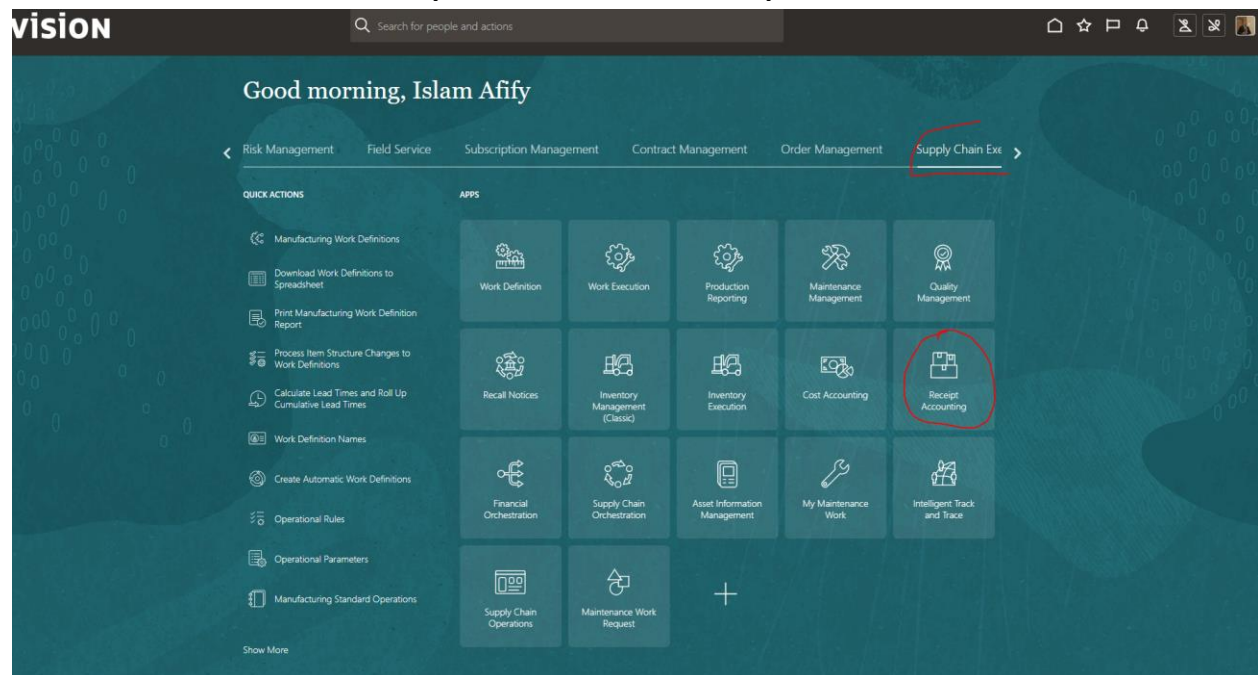
As we mentioned before, the Cost Account contains the parent of the Receipt Account. The Receipt Account, in turn, contains the parent of the Land Cost.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Thus, the Land Cost will be independent within the Receipt Account.



If a shipment comes, for example, from Cairo, it definitely won't be just one.

The person tells me that all the items coming from Suez to Cairo have these and these costs, and the items coming from Port Sokhna have these costs along with additional items.

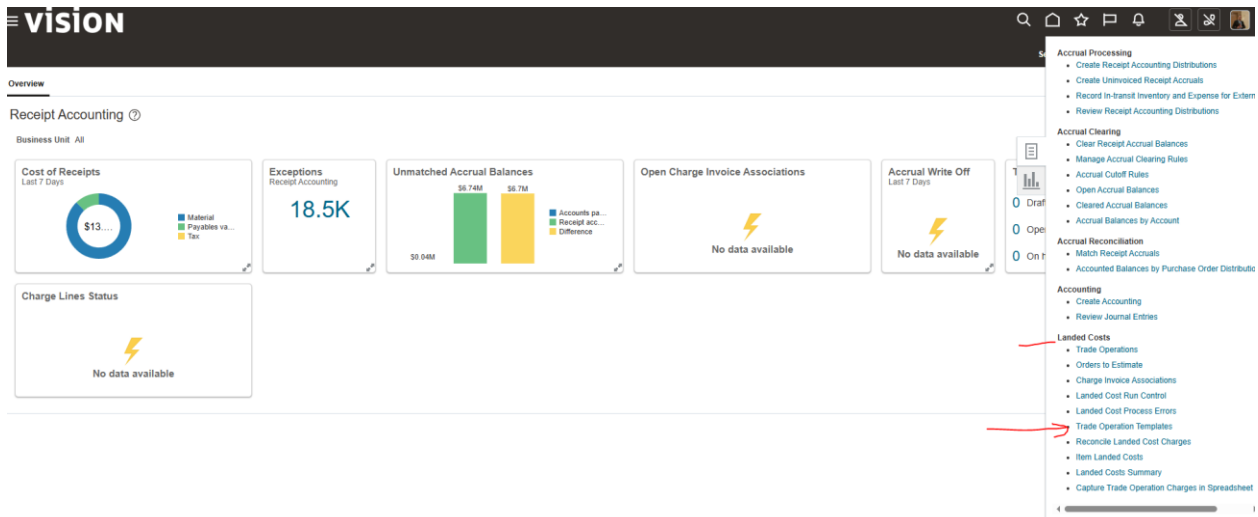
Do I need to set up all this work every time? No. I want something that I can set up once, modify if needed, and then reuse.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

This is what the Template is: once you create it, you can use it afterward and assign the data.



VISION

Trade Operation Templates

Search by template name or description

1 Create Template

Name	Description	Procurement BU	Route	Effective End Date	Review Status	Next Review Date
Basic Charges	Basic Charges Template	US1 Business Unit				

2 Name: ISF All

3 Description: ALL LCM

4 Procurement BU: ISF BU

5 Document Currency: USD

6 Currency Conversion Rate Type: Corporate

7 Route

8 Effective Start Date: 02/01/26

Effective End Date

Cancel Create

Route

Route التي هي إسكندرية القاهرة غزو امير المصاريف يتاح التي
Route التي هي الشحنة ماثيه في التي سكة

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

< **New Trade Operation Template**

General Information

Name
ISF All

Description
ALL LCM

Procurement BU
ISF BU

Document Currency
USD

Currency Conversion Rate Type
Corporate

Effective Start Date
02/01/26

Effective End Date
02/01/26

Creation Date
02/01/26

Last Update Date
02/01/26

☐ Enable template review

Additional Details

Review Cycle

Review Status

Last Review Date

Next Review Date

Charges

+ Add

Charge Line

Charge Name

Charge Basis

Allocation Basis

Total Amount in Charge Currency

Rate

Tax Determinants

Actions

No records to display yet.
Click the add button to define a charge.

New Charge Cancel Save and Add Next Save and Close

Charge Name
ISF Customs Fees

Charge BU
ISF BU

Charge Basis
Aggregate

☐ Service PO

Supplier
ISF Supplier

Supplier Site
Sadat

Currency
USD

Amount

Nonrecoverable Tax

Total
0.00

☒ Allow override

Charge Line Details

Description
رسوم الجمركية

Currency Conversion Rate Type
Corporate

Allocation Basis
Item value

☐ Track missing invoices

Charge References

+

Name

Description

Predefined

Value

Automatically Associate on Match

Action

☐ Miscellaneous Miscellaneous Reference ☐ ☐

Tax Attributes

☒ Tax applicable

☒ Enable automatic tax calculation

Charge Basis

Aggregate It means if it's active, just amounts like \$500, \$1000, then we choose Aggregate.

Per Unit The item will be priced at...

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Percentage Of item Price Depending on the Item Price, I will calculate 2% of it for this expense.

Most of the work is... **Aggregate**

Supplier

Here it will be like a customs broker or the Customs Authority, considered a supplier because in the end they will provide me with an invoice.

This is the name of the Supplier that the invoice will come from if known, and I set it in the Template, like the Stamps Authority, Customs, etc.

But if the items are variable, you can leave it blank.

Currency

We set it to USD from outside, but we can change it here.

Amount

If you want to enter a specific amount, that's fine; if you don't know, leave it blank.

But if you enter, for example, 100, mark it as...

Allow Override

It allows me, while creating the Template, to enter the Amount.

Allocation Basis

It takes the value from the Charge Name, but I can change it, for example to Equally.

For instance, in our example, I will allocate the cost of steel, gold, and sponge equally.

Even if there are 3 or 4 Items, or just one of the Item, it will be divided by 4.

But sometimes an Item carries more than its share, so it's not suitable.

If I choose Quantity based on the amount, I must also select a UOM, and there must be a Conversion between the UOM I enter here and the Primary UOM of the Item.

Charge Reference

This is very important: what I use to link the Trade Operation Charge Name with the Payable invoice.

Created By: Islam Afify



+2 01060903831



LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

People working in LCM often make mistakes in this part, which is data organization. The names and references should be properly prepared to avoid any confusion.

Name: Miscellaneous

Value We will leave it blank because I can enter it for each PO.

And we do the rest using the same steps.

< New Trade Operation Template

General Information

Name

ISF All

Description

ALL LCM

Procurement BU

ISF BU

Document Currency

USD

Currency Conversion Rate Type

Corporate

Effective Start Date

02/01/26

Effective End Date

02/01/26

Creation Date

02/01/26

Last Update Date

02/01/26

Enable template review

☐

Additional Details

Review Cycle

Review Status

Last Review Date

Next Review Date

Charges

+ Add

Charge Line

Charge Name

Charge Basis

Allocation Basis

Total Amount in Charge Currency

Rate

Tax Determinants

Actions

1	ISF Customs Fees	Aggregate	Item value	0.00			
2	ISF Miscellaneous	Aggregate	Item value	0.00			
3	ISF Bank Charges	Aggregate	Item value	0.00			

After that, we enter the Trade Operation.

VISION

Overview

Receipt Accounting ②

Business Unit: All

Cost of Receipts

Last 7 Days

\$13,000

Material

Payables va...

Tax

Exceptions

Receipt Accounting

18.5K

Unmatched Accrual Balances

\$0.04M

\$0.74M

\$0.78M

Accounts pa...

Receipt acc...

Difference

Open Charge Invoice Associations

No data available

Accrual Write Off

Last 7 Days

No data available

Charge Lines Status

No data available

Accrual Processing

Create Receipt Accounting Distributions

Create Uninvoiced Receipt Accruals

Record In-transit Inventory and Expense for Extern

Review Receipt Accounting Distributions

Accrual Clearing

Clear Receipt Accrual Balances

Manage Accrual Clearing Rules

Accrual Cutoff Rules

Open Accrual Balances

Cleared Accrual Balances

Accrual Balances by Account

Accrual Reconciliation

Match Receipt Accruals

Accounted Balances by Purchase Order Distribut

Accounting

Create Accounting

Review Journal Entries

Landed Costs

Trade Operations

Orders to Estimate

Charge Invoice Associations

Landed Cost Run Control

Landed Cost Process Errors

Trade Operation Templates

Reconcile Landed Cost Charges

Item Landed Costs

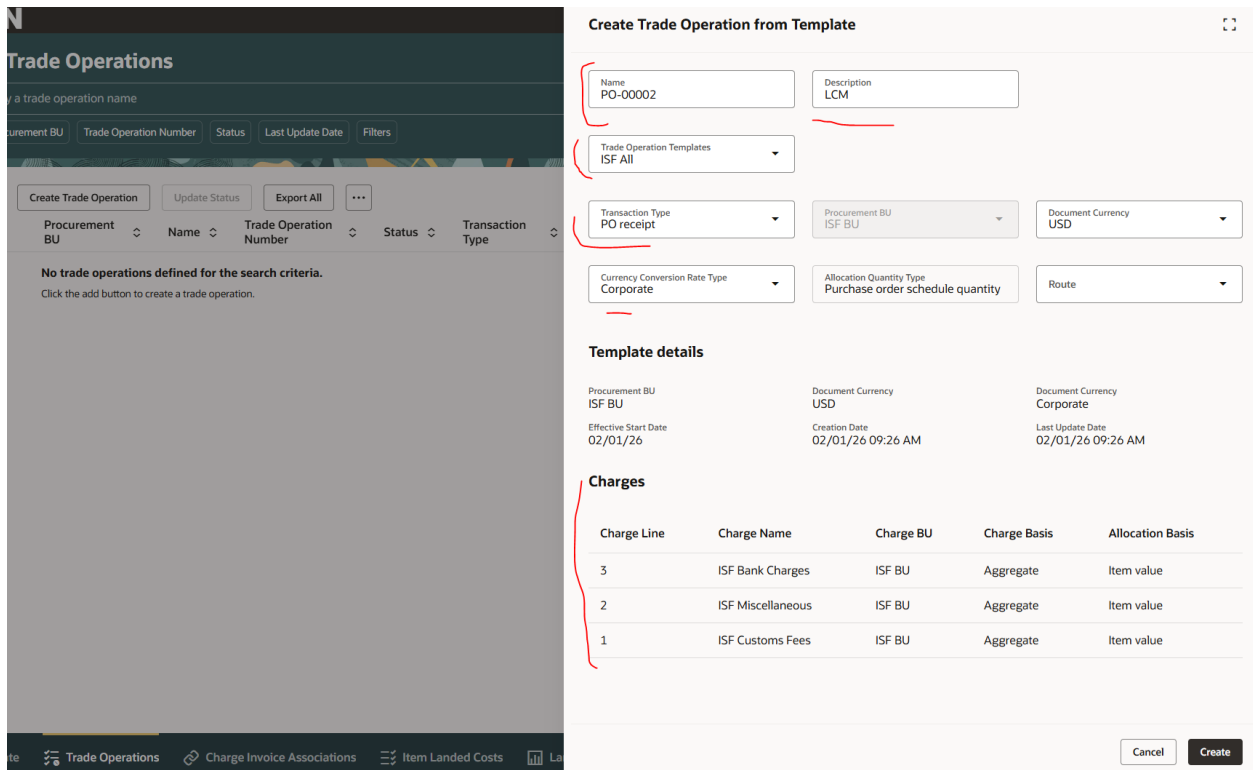
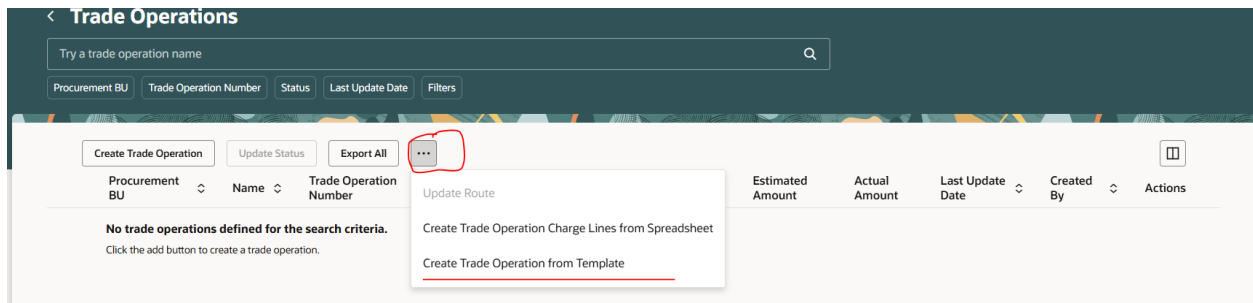
Landed Costs Summary

Capture Trade Operation Charges in Spreadsheet

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271



Now I have named the shipment with the PO number.

So now I have taken everything I defined in the Template, created a new Trade Operation, and applied all the data I was working on earlier.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Everything I did is now preserved as it is.

> General Information

Purchase Order Schedules **Charges** Estimates and Actuals

Search by charge name, status, or supplier

+ Allocate Charge Add References Add PO Schedules Quick Add Charges ...

Select	Charge Line	Charge Line Status	Charge Name	Associated To	Charge Reference	Invoice	Tax Determinants	Actual Total in Document...	Estimated Total in Charge...	Estimated Total in Document...	Actions
☐	1	Incomplete	ISF Customs Fees								  
☐	2	Incomplete	ISF Miscellaneous								  
☐	3	Incomplete	ISF Bank Charges								  

Each of these Charges has a Line Status; if any of them is Pending Association...

☐ 2 Pending association

It waits for the PO to be created until all the Charge data is complete.

So now we do Edit and enter the Amount.

Edit Charge Line Line 2 Cancel Save Save and Close

▲ The charge line will be in the Incomplete status until you specify the values for the attributes: Amount

Charge Name: ISF Miscellaneous Charge BU: ISF BU Charge Basis: Aggregate ☐ Service PO

Supplier: ISF Supplier Supplier Site: Sadat Charge Currency: USD Amount: 200.00

Nonrecoverable Tax: Total: 200.00 Charge Line Status: Incomplete ☐ Tentative

▼ Charge Line Details

Currency Conversion Rate Type: Corporate Currency Conversion Date: 02/01/26 Allocation Basis: Item value ☐ Track missing invoices

▼ Charge References

Charge Reference	Description	Predefined	Value	Automatically Associate on Match	Attachments	Action
☐	Miscellaneous	Miscellaneous Reference	☐	PO-0002-2	☐	

▼ Tax Attributes

☒ Tax applicable ☒ Enable automatic tax calculation Line Type: Services Document Type: Charge Estimates

Charge Reference Miscellaneous

Value The PO number, and we put a dash – next to it the Line number, for example, like in the picture: PO-0002-2.

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+2 01060903831

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Auto Associate on match

This is the final step: the Payable invoice I created must appear here, and I must ensure it belongs to this Charge to avoid any confusion.

If I use Auto, the system will handle it, but most companies don't work that way.

We will see that the Status has changed to **Pending Associate**.

And we do the rest in the same way.

All of this is me preparing the shipment data, and I can delete or add if there's something new.

The screenshot displays a software interface for a 'Trade Operation: PO-00002' in 'Draft' status. At the top, a header bar includes the operation name, creation date, and a 'Draft' button. Below this, a breadcrumb trail shows 'Procurement BU' > 'ISF BU' > 'Number 1' > 'Transaction Type PO receipt' > 'Allocation Quantity Type Purchase order schedule quantity'. A dropdown menu is open, showing 'Allocate Charges', 'Update Status', and 'Calculate Tax'. The main section is titled 'General Information' and has tabs for 'Purchase Order Schedules', 'Charges' (selected), and 'Estimates and Actuals'. A search bar is present with the placeholder 'Search by charge name, status, or supplier'. Below the search bar are buttons for '+', 'Allocate Charge', 'Add References', 'Add PO Schedules', 'Quick Add Charges', and a three-dot menu. The central part of the interface is a table with the following columns: 'Select', 'Charge Line', 'Charge Line Status', 'Charge Name', 'Associated To', 'Charge Reference', 'Invoice', 'Tax Determinants', 'Actual Total in Document...', 'Estimated Total in Charge...', 'Estimated Total in Document...', and 'Actions'. The table contains three rows of data, all with a status of 'Pending association':

Select	Charge Line	Charge Line Status	Charge Name	Associated To	Charge Reference	Invoice	Tax Determinants	Actual Total in Document...	Estimated Total in Charge...	Estimated Total in Document...	Actions
☐	1	Pending association	ISF Customs Fees						100.00 USD		
☐	2	Pending association	ISF Miscellaneous						200.00 USD		
☐	3	Pending association	ISF Bank Charges						300.00 USD		

A red bracket highlights the 'Pending association' status in the 'Charge Line Status' column for all three rows. The 'Actions' column for each row contains three icons: a pencil (edit), a trash can (delete), and a document (copy).

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+2 01060903831

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It's still Draft. We start by doing Update Status so I can begin applying the purchase orders to it.

VISION

< Trade Operation: PO-00002 Draft

Created On 02/01/26 08:35 AM

Procurement BU ISF BU Number 1 Transaction Type PO receipt Allocation Quantity Type Purchase order schedule quantity

> General Information

Purchase Order Schedules Charges Estimates and Actuals

Search by charge name, status, or supplier

+ Allocate Charge Add References Add PO Schedules Quick Add Charges ...

Select	Charge Line	Charge Line Status	Charge Name	Associated To	Charge Reference	Invoice	Tax Determinants	Actual Total in Document...	Estimated in Charge...
☐	1	Pending association	ISF Customs Fees						100
☐	2	Pending association	ISF Miscellaneous						200
☐	3	Pending association	ISF Bank Charges						300

Update Status

Status Open

Reason

Cancel Update

< Trade Operation: PO-00002 Open

Created On 02/01/26 08:35 AM

Procurement BU ISF BU Number 1 Transaction Type PO receipt Allocation Quantity Type Purchase order schedule quantity

> General Information

Purchase Order Schedules Charges Estimates and Actuals

Search by purchase order, item, requisitioning business unit, or profit center business unit

Purchase Order Requisitioning Business Unit Profit Center Business Unit Filters

+ Delete Export All

Requisitioning Business Unit Profit Center Business Unit Purchase Order Details Purchase Order Line Number Schedule Number Ordered Quantity UOM Item

No purchase order schedules defined for the search criteria.
Click the add button to add purchase order schedules.

I won't find any PO. Why?

There is a Process we must run so it starts pulling all the data from Purchases and from Account Payable, and gathers all the data for LCM to work.

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

And we can do Add, try it, and enter the PO number.

Associate purchase order schedules

PO-00002

Associated Charges No | Purchase Order | Need-by Date | Ship-to Location | Approval Date 26/12/25 - 02/01/26 | Filters | Clear (2)

Purchase Order Details	Item	Supplier	Supplier Site	Ship-to Location	Need-by Date	Ordered Quantity	UOM	Associated Charges	Requisitioning Business Unit	Delivered-to Inventory...
PO-00002-1-1	ISF-Cst-001	ISF Supplier	Sadat	ISF Sadat	01/01/26	300	Ea		ISF BU	ISF1

Cancel Add

So now I tell it to take this, and I will work on it in the Trade Operation.

This is what I will apply the expense to.

Trade Operation: PO-00002 Open

Created On 02/01/26 08:35 AM

Procurement BU ISF BU Number 1 Transaction Type PO receipt Allocation Quantity Type Purchase order schedule quantity

Allocate Charges

Last updated 10 minutes ago

General Information

Purchase Order Schedules | Charges | Estimates and Actuals

Search by purchase order, item, requisitioning business unit, or profit center business unit

Purchase Order | Requisitioning Business Unit | Profit Center Business Unit | Filters

+ | Delete | Export All

Requisitioning Business Unit	Profit Center Business Unit	Purchase Order Details	Purchase Order	Line Number	Schedule Number	Ordered Quantity	UOM	Item
ISF BU	ISF BU	PO-00002-1-1	PO-00002	1	1	300	Ea	ISF-Cst-001

Allocate Charge

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+2 01060903831

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Start running the Engine now, and the system will begin calculating.

< Trade Operation: PO-00002 Open

Created On 02/01/26 08:35 AM

Procurement BU ISF BU Number 1 Transaction Type PO receipt Allocation Quantity Type Purchase order schedule quantity

...

Allocate Charges

Last updated 1 minute ago

> General Information

Purchase Order SchedulesChargesEstimates and Actuals

Search by charge name, status, or supplier

+ Allocate ChargeAdd ReferencesAdd PO SchedulesQuick Add Charges...

Download

Print

Select	Charge Line	Charge Line Status	Charge Name	Associated To	Charge Reference	Invoice	Tax Determinants	Actual Total in Document...	Estimated Total in Charge...	Estimated Total in Document...	Actions
☐	1	Successfully allocated	ISF Customs Fees						100.00 USD	100.00 USD	
☐	2	Successfully allocated	ISF Miscellaneous						200.00 USD	200.00 USD	
☐	3	Successfully allocated	ISF Bank Charges						350.00 USD	350.00 USD	

< Trade Operation: PO-00002 Open

Created On 02/01/26 08:35 AM

Procurement BU ISF BU Number 1 Transaction Type PO receipt Allocation Quantity Type Purchase order schedule quantity

...

Allocate Charges

Last updated 1 minute ago

> General Information

Purchase Order SchedulesChargesEstimates and Actuals

Search by item, supplier, or purchase order

Charge NamePurchase OrderSupplierItemFilters

Export All

PO Details	Item	UOM Name	Ordered Quantity	Supplier	Charge Name	Charge Basis	Charge Line	Item Price	Estimated Amount ...	Estimated Nonrecoverab...	Actual Amount ...	Actual Nonrecoverab...
PO-00002-1-1	ISF-Cst-001	Ea	300	ISF Supplier	ISF Customs Fees	Aggregate	1	25.00000 USD	62.50 USD	0.00 USD		
PO-00002-1-1	ISF-Cst-001	Ea	300	ISF Supplier	ISF Miscellaneous	Aggregate	2	25.00000 USD	125.00 USD	0.00 USD		
PO-00002-1-1	ISF-Cst-001	Ea	300	ISF Supplier	ISF Bank Charges	Aggregate	3	25.00000 USD	218.75 USD	0.00 USD		
PO-00003-1-1	ISF-Cst-001	Ea	150	ISF Supplier	ISF Customs Fees	Aggregate	1	30.00000 USD	37.50 USD	0.00 USD		
PO-00003-1-1	ISF-Cst-001	Ea	150	ISF Supplier	ISF Miscellaneous	Aggregate	2	30.00000 USD	75.00 USD	0.00 USD		
PO-00003-1-1	ISF-Cst-001	Ea	150	ISF Supplier	ISF Bank Charges	Aggregate	3	30.00000 USD	131.25 USD	0.00 USD		

Estimates And Actuals

All this work is just an Estimate. I haven't issued invoices yet.

I might have paid the PO and created an invoice for it, but here I'm talking, for example, about \$100 or \$200 shipping.

So now the Trade Operation is finished, waiting for the goods to arrive or for me to have already received them.

It's waiting for the Actual from Account Payable.

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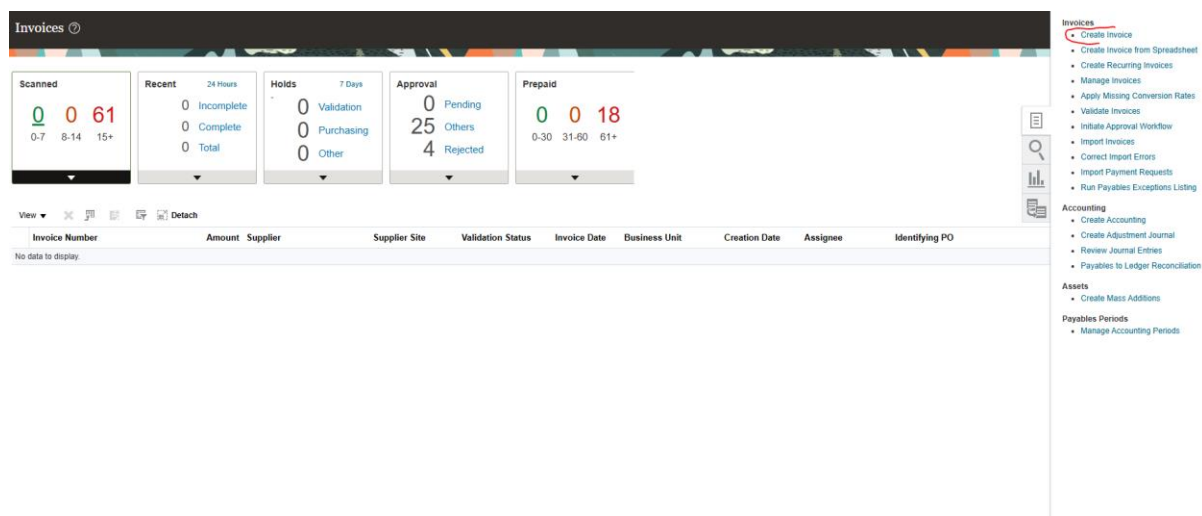
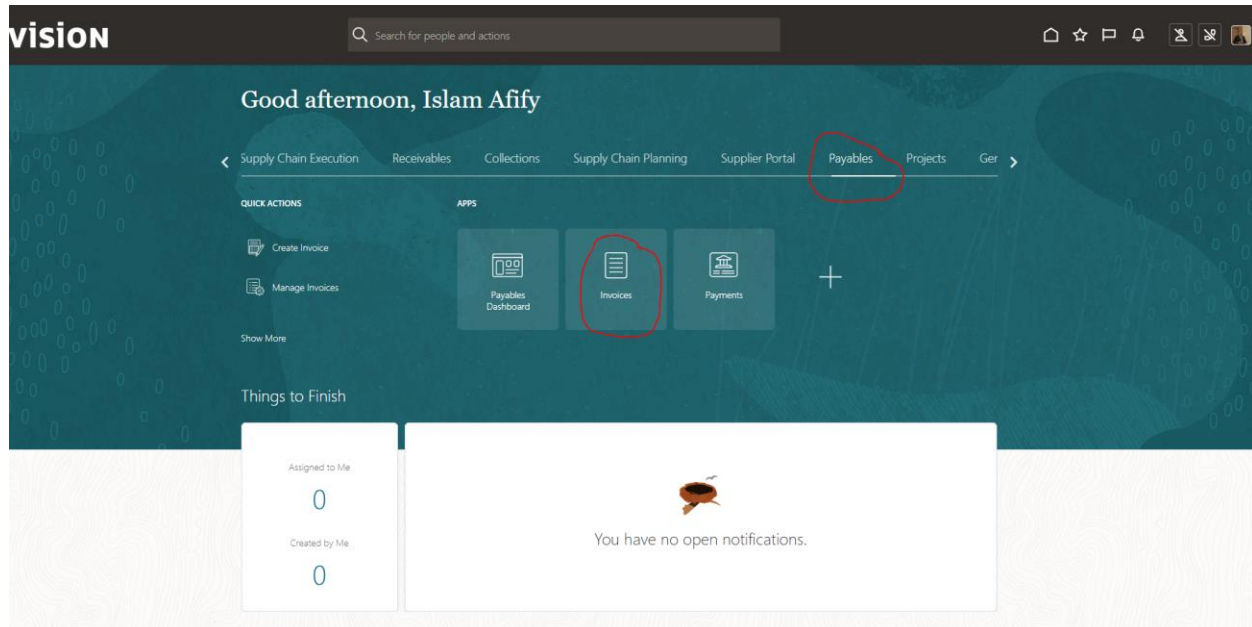
+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

It will stay waiting, listening to the Estimate, or when the invoices arrive, it will start pulling this data from Payable and record it here again as Actual.

.....

I will create the expense invoice.



I won't put anything in the Identifying PO unless we activated the Service P.O cycle, which is, for example:

That you already have a Service PO issued by your customs broker, which generates an expense each time.

We will enter the PO number in the Number field, like in the picture below.

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And we open the Line because I will Create the invoice, not do a Match on the Receipt, like in the picture below.

VISION
Create Invoice: ?

Invoice Actions: Save and Create Next, Save, Save and Close, Cancel

Invoice Header Show More

Identifying PO:

* Business Unit: ISF BU

* Supplier: ISF Supplier

Supplier Number: 1492

* Supplier Site: Sadat

* Legal Entity: US1 Legal Entity

Invoice Group:

* Number: PO-0002-LCM

* Amount: USD - 700.00

* Type: Standard

Description:

* Date: 02/01/26

* Payment Terms: Immediate

* Terms Date: 02/01/26

Requester:

Attachments: None

Note:

Lines Match Invoice Lines

View: +, -, X, ? Detach Allocate Cancel Line Distributions

* Number	* Type	* Amount	Distribution Set	Distribution Combination	Accounting Date	Prorate Across All Item Lines	Description	Tax Classification	Ship-to Location	Number	Line	Schedule	Track as Asset	P N
1	Item				02/01/26				ISF Sadat					
2	Item				02/01/26				ISF Sadat					
3	Item				02/01/26				ISF Sadat					
4	Item				02/01/26				ISF Sadat					
5	Item				02/01/26				ISF Sadat					

Taxes

Totals

Items	Freight	Miscellaneous	Retainage	Tax	Included Prepayments	Applied Prepayments	Total
0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
							Due 700.00

VISION
Create Invoice: ?

Invoice Actions: Save and Create Next, Save, Save and Close, Cancel

Invoice Header Show More

Identifying PO:

* Business Unit: ISF BU

* Supplier: ISF Supplier

Supplier Number: 1492

* Supplier Site: Sadat

* Legal Entity: US1 Legal Entity

Invoice Group:

* Number: PO-0002-LCM

* Amount: USD - 700.00

* Type: Standard

Description:

* Date: 02/01/26

* Payment Terms: Immediate

* Terms Date: 02/01/26

Requester:

Attachments: None

Note:

Lines Match Invoice Lines

View: +, -, X, ? Detach Allocate Cancel Line Distributions

About This Record

Columns: Show All

Unfreeze

Detach

Sort

Reorder Columns...

Query By Example

4 Item

5 Item

Taxes

Totals

Distribution Set	Distribution Combination	Accounting Date	Prorate Across All Item Lines	Description	Tax Classification	Ship-to Location	Number	Line	Schedule	Track as Asset
		02/01/26				ISF Sadat				
		02/01/26				ISF Sadat				
		02/01/26				ISF Sadat				
		02/01/26				ISF Sadat				

Landed Cost

Enable

References

Freight	Miscellaneous	Retainage	Tax	Included Prepayments	Applied Prepayments	Total
0.00	0.00	0.00	0.00	0.00	0.00	0.00
						Due 700.00

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Invoice Header

Show More

Identifying PO

Business Unit

Supplier

Supplier Number

Supplier Site

Legal Entity

Invoice Group

Number

Amount

Type

Description

Date

Payment Terms

Terms Date

Requester

Attachments

Note

Lines

Match Invoice Lines

View

Allocate

Cancel Line

Distributions

Distribution

Reference

Tax

Purchase Order

Asset

Project

Number	Type	Amount	Tax	Ship to Location	Number	Line	Schedule	Enable	References	Track as Asset	Project Number	Task Number	Expenditure Item Date	Expenditure Type	Expenditure Organization	Contract Number	Funding Source	Data
1	Item	120.00	ISF Sadat										02/01/26					
2	Item		ISF Sadat										02/01/26					
3	Item		ISF Sadat										02/01/26					
4	Item		ISF Sadat										02/01/26					
5	Item		ISF Sadat										02/01/26					

Taxes

Totals

Items

Freight

Miscellaneous

Retainage

Tax

Withholding

Included Prepayments

Applied Prepayments

Totals

Charge References : Number 2

Charge Name: ISF Customs Fees

Actions View Format + X Wrap View Charge Estimates

* Reference Type Name	Description	Predefined Value	Comments
Miscellaneous	Miscellaneous Reference	PO-00002-1	

Landed Cost Estimates

Trade Operation Number	Name	Charge Line	Charge Name	Charge Amount	Details
1	PO-00002	1	ISF Customs Fees	100.00 USD	

OK Cancel

Charge References : Number 2

Charge Name: ISF Customs Fees

Actions View

* Reference Name: Miscellaneous

Association Details

Basis of Association

Association Attributes	Charge Line	Invoice Line	Match Status
Supplier site	Sadat	Sadat	✓
Supplier	ISF Supplier	ISF Supplier	✓
Charge name	ISF Customs Fees	ISF Customs Fees	✓
Reference Type: Miscella...	PO-00002-1	PO-00002-1	✓

OK

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+2 01060903831

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And we do the rest in the same way.

VISION
Create Invoice: PO-00002-LCM

Validated Invoice Actions Save and Create Next Save Save and Close Cancel
Last Saved 02/01/26 02:54 PM

Invoice Header Show More

Identifying PO
Business Unit ISF BU
Supplier ISF Supplier
Supplier Number 1492
Supplier Site Sadat
Legal Entity US1 Legal Entity
Invoice Group

* Number PO-00002-LCM
* Amount USD 710.00
Type Standard
Description

* Date 02/01/26
* Payment Terms Immediate
* Terms Date 02/01/26
Requester
Attachments None
Note

Lines Match Invoice Lines
View + - Match Invoice Lines Allocate Cancel Line Distributions

Distribution	Reference	Tax	Purchase Order	Landed Cost	Asset	Project										
* Number	* Type	* Amount	Tax Classification	Ship-to Location	Number	Line	Schedule	Enable	References	Track as Asset	Project Number	Task Number	Expenditure Item Date	Expenditure Type	Expenditure Organization	Cont Num
2	Item	120.00		ISF Sadat												
4	Item	370.00		ISF Sadat												
5	Item	220.00		ISF Sadat												

Taxes

Totals

Items	Freight	Miscellaneous	Tax	Included Prepayments	Applied Prepayments	Total
710.00	0.00	0.00	0.00	0.00	0.00	710.00

Validated Invoice Actions Save and Create Next Save Save and Close Cancel
Last Saved 02/01/26 02:54 PM

Manage Installments
Calculate Tax Ctrl+Alt+X
Validate Ctrl+Alt+V
Apply or Unapply Prepayments
Manage Holds
Account Coding
Approval
View Approval and Notification History
Cancel Invoice
Delete Invoice
Pay in Full
Post to Ledger
Account in Draft

* Number PO-00002-LCM
* Amount USD 710.00
Type Standard
Description

Purchase Order	Landed Cost	Asset	Project

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+2 01060903831

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Supplier Site: Sadat
 Legal Entity: US1 Legal Entity
 Invoice Group: [Match Invoice Lines] [Allocate] [Cancel Line]

Accounting Lines: Standard Invoice PO-00002-LCM
 Ledger: US Primary Ledger Date: 02/01/26 Status: Final

View: [View T-Accounts] [Detach] [Override Account]

Line	Event	Account	Class	Accounted (USD)	
				Debit	Credit
1	Invoice Validated	101.10.60540.000.000.000	Item expense	710.00	
2	Invoice Validated	101.10.22100.000.000.000	Liability		710.00

Items: 710.00 Freight: 0.00 Miscellaneous: 0.00 Tax: 0.00 Included Prepayments: 0.00
 Retainage: 0.00 Withholding: 0.00 Applied Prepayments: 0.00

We will run the **Schedule**, which is **Transfer** Cost to Cost.

ateDocumentsWhose... 8875218 Succeeded 02/01/26 03:26 PM EET 02/01/26 03:26 PM EET oracle.apps.crmCommon.elasticSearch.ess.program.UpdateDocum

ateDocumentsWhose... 8875217 mon.elasticSearch.ess.program.UpdateDocum

ateDocumentsWhose... 8875216 mon.elasticSearch.ess.program.UpdateDocum

Schedule New Process

Type: ☒ Job ☐ Job Set

Name: Transfer Costs to Cost Management

Description: Transfers cost information from Oracle Fusion Payables to Oracle Fusion Cost Management.

OK Cancel

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+2 01060903831

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Cancel Process

R

Process ID

ModelVer... 8875219

sWhose... 8875218

sWhose... 8875217

sWhose... 8875216

Process Details

X

This process will be queued up for submission at position 1

Process Options

Advanced

Submit

Cancel

Name

Transfer Costs to Cost Management

Description

Transfers cost information from Oracle Fusion P...

Notify me when this process ends

Schedule

As soon as possible

Submission Notes

Basic Options

Parameters

* Business Unit

ISF BU

* Cutoff Date

02/01/26

Good afternoon, Islam Afify

<

Supply Chain Execution

Receivables

Collections

Supply Chain Planning

Supplier Portal

Payables

Projects

Ger

>

QUICK ACTIONS

APPS

Manufacturing Work Definitions

Download Work Definitions to Spreadsheet

Print Manufacturing Work Definition Report

Process Item Structure Changes to Work Definitions

Calculate Lead Times and Roll Up Cumulative Lead Times

Work Definition Names

Create Automatic Work Definitions

Operational Rules

Operational Parameters

Manufacturing Standard Operations

Work Definition

Work Execution

Production Reporting

Maintenance Management

Quality Management

Recall Notices

Inventory Management (Classic)

Inventory Execution

Cost Accounting

Receipt Accounting

Financial Orchestration

Supply Chain Orchestration

Asset Information Management

My Maintenance Work

Intelligent Track and Trace

Supply Chain Operations

Maintenance Work Request

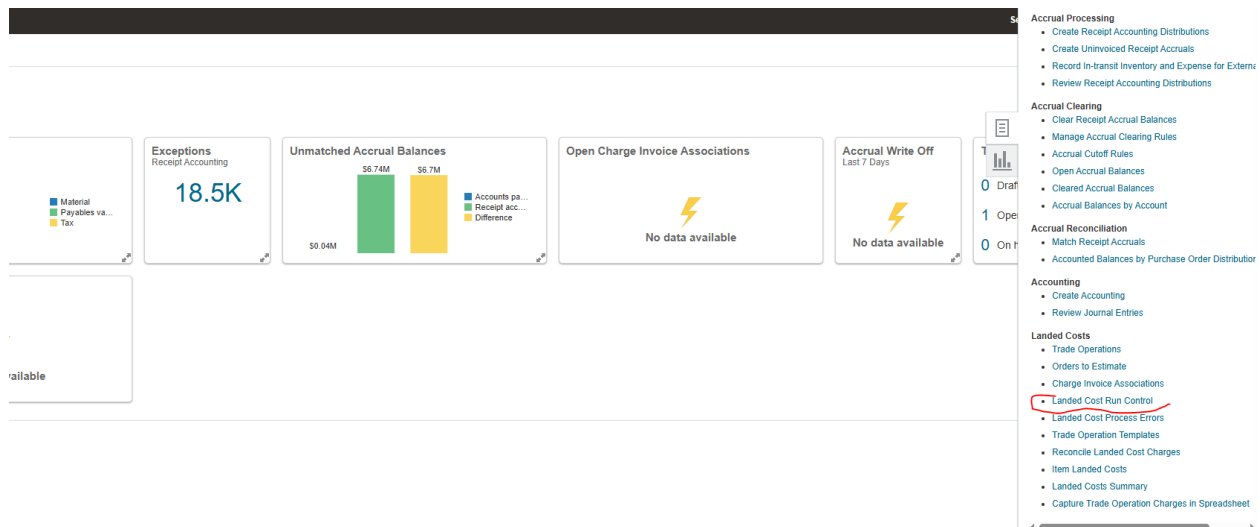
+

Show More

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)



This acts like another **Engine** responsible for all the Landed Cost, loading its transactions and pulling the data from Payable and Procurement.

The 'Landed Cost Run Control' screen includes the following fields and sections:

- Search Criteria:** Try a run control name or description. Fields for Procurement BU, Last Process ID, Last Run Date Range, and Status.
- Buttons:** + (Add), Schedule, Refresh.
- Message:** No run control defined for the search criteria. Click the add button to create a run control.
- Configuration Fields:**
 - Name: ISF All LCM
 - Description
 - Commit Limit: 15,000
- Configure Processes:**
 - Prepare Material Purchase Order Data: ☒ (Comments field)
 - Prepare Invoice Data: ☒ (Comments field)
 - Associate Invoices to Trade Operation Charges: ☒ (Comments field)
 - Allocate Landed Cost Charges: ☒ (Comments field)
- Footer:** Landed Cost Run Control, Landed Cost Process Errors, Cancel, Save and Continue.

Configure Process

Prepare Materials Purchas Order Data

I tell it to go and fetch the data from Purchases and Receipts.

Prepare Invoice Data

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

Bring me all the invoices that have a Reference in the Land Cost.

Associate Invoices To Trade Operations Charges

If I had checked Charge Auto, when it finds the Matched one, I created, it would do the Match automatically.

We wouldn't see the next step.

But I don't want that; I want to review it.

Allocate Landed Cost Charge

I already have Estimated allocated, and now that Actual has arrived, I tell the Land Cost Charge to Allocate it using the Actual.

After that, we do it like in the picture.

Review Auto

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+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

If Automatic Associate happens, by marking it like this, I tell it no—I will review or adjust it.
So even if Auto is enabled and it finds this, it will still wait for my confirmation.

Run Control
ISF All LCM

Commit Limit
15,000

Configure Processes

Prepare Material Purchase Order Data
☐

Prepare Invoice Data
☐

Associate Invoices to Trade Operation Charges
☐

Allocate Landed Cost Charges
☒

Process Parameters

Associate Invoices to Trade Operation Charges Allocate Landed Cost Charges

+ Add

Procurement BU Trade Operation Creation From Trade Operation Number To Trade Operation Number Charge Line Status Apply Charges to Receipts Actions

No parameters defined for the allocate landed cost charges process.
Click the add button to define parameters.

VISION

Edit landed cost run control

Run Control
ISF All LCM

Commit Limit
15,000

Configure Processes

Prepare Material Purchase Order Data
☐

Prepare Invoice Data
☐

Associate Invoices to Trade Operation Charges
☐

Allocate Landed Cost Charges
☒

Process Parameters

Associate Invoices to Trade Operation Charges Allocate Landed Cost Charges

+ Add

Procurement BU Trade Operation Creation From Trade Operation Number To Trade Operation Number Charge Line Status

No parameters defined for the allocate landed cost charges process.
Click the add button to define parameters.

New process parameter

Procurement BU
ISF BU

Trade Operation Creation
Last 3 months

From Trade Operation Creation Date

To Trade Operation Creation Date

From Trade Operation Number

To Trade Operation Number

Charge Line Status
All

Apply Charges to Receipts
Yes

Cancel Create

دي لو بتتكم إن الشغل ده على Trade Opreation مختلف

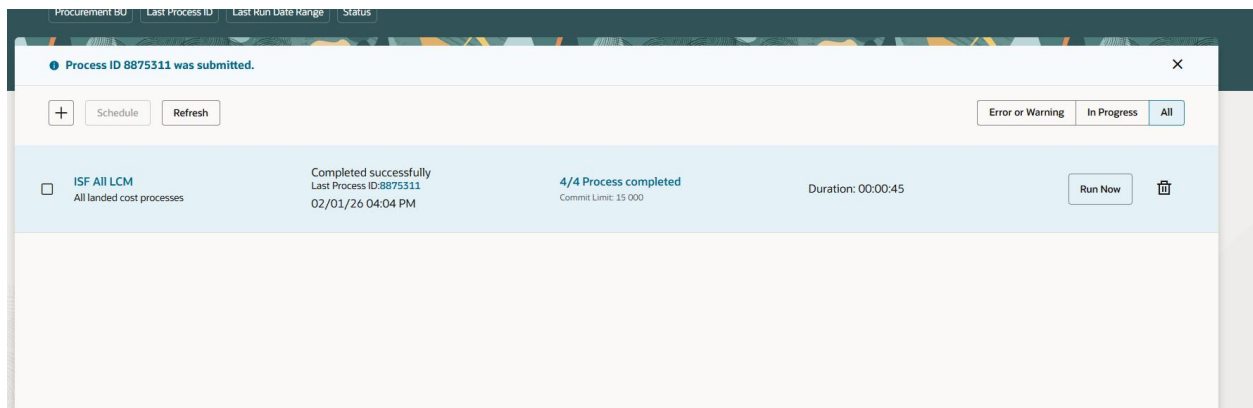
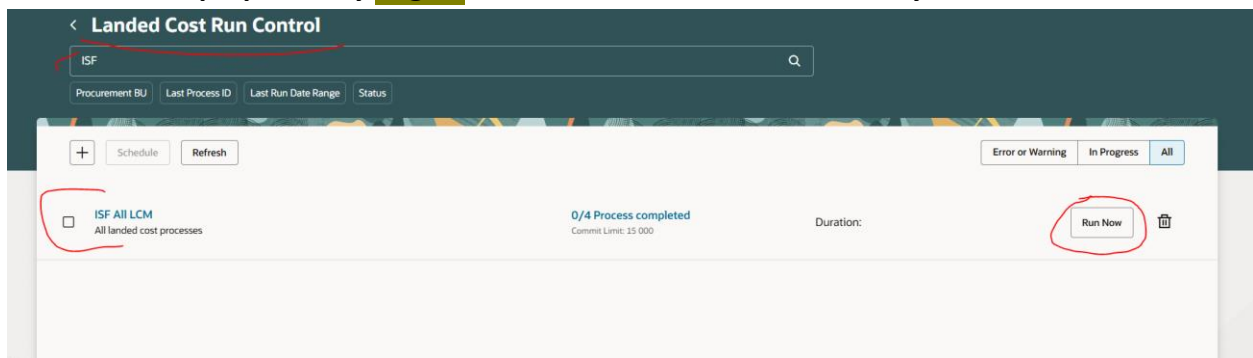
هنا بقوله ايه يشتغل وايه ميشتغلش

Created By: Islam Afify

+2 01060903831

LinkedIn: [linkedin.com/in/islam-mahmoud-afify-19239a271](https://www.linkedin.com/in/islam-mahmoud-afify-19239a271)

So now I have prepared my **Engine**: what it will do, when, and exactly what it will run.



The next step is to start checking what the system pulled from Payable.

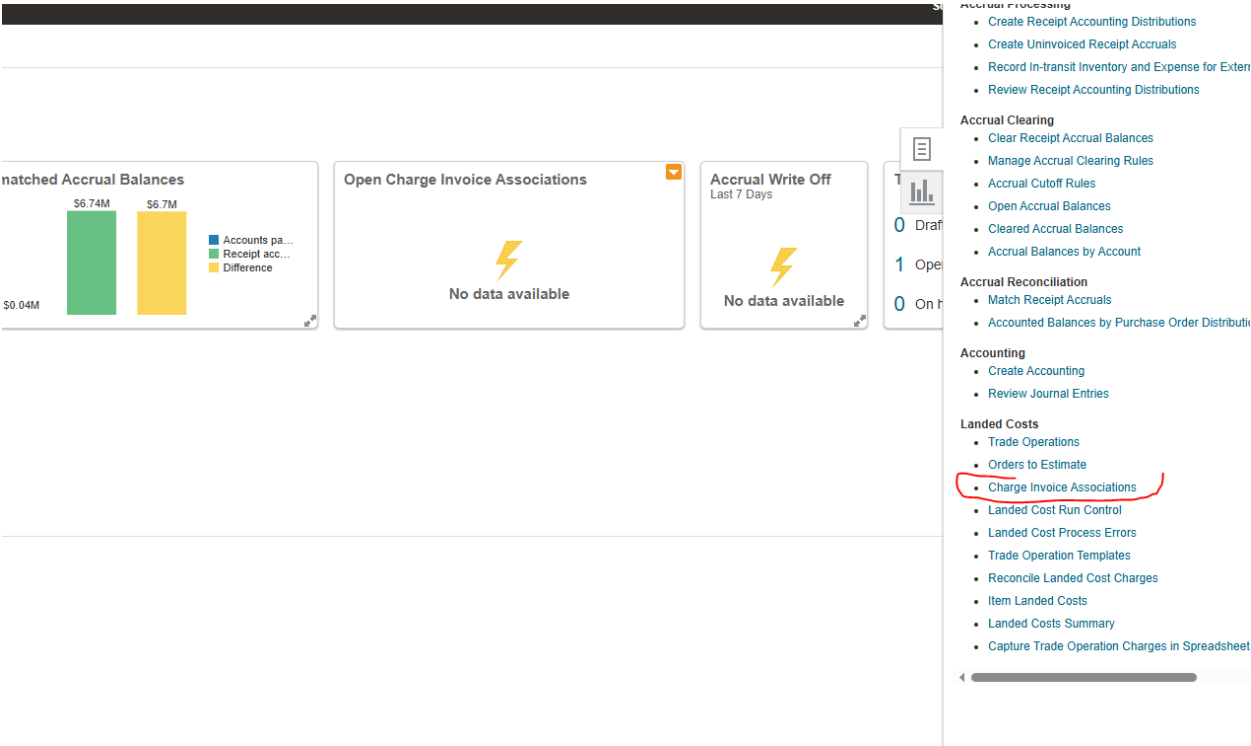
Since I told it I want to review, it will show, for example, that these will be applied to Trade Operation number such-and-such, Charge Name such-and-such.

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+2 01060903831

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Then I can tell it Confirm or Cancel Allocation.



So I can start reviewing what is waiting for my confirmation.

<

Charge Invoice Associations

Search by invoice number, charge name, or supplier

Q

Procurement BU ISF BU X

Missing Charge Name

Missing Charge References

Association Status

Invoice Date

Filters

Clear (1)

Review Trade Operation Charge Lines

Associate Charge Lines

Update References

...

Unmatched Invoices

Partial Matches

Needs Review

Associated

All

Select	Association Status	Procurement BU	Invoice Number	Invoice Line	Charge Name	Missing Charge...	Supplier	Supplier Site	Invoice Currency	Amount In...	Nonrecoverable Tax in Invoice...	Total in Invoic...	Invoice Date	Run Contr...
☒	Needs review	ISF BU	PO-0000...	4	ISF Cust...		ISF Supplier	Sadat	USD	370.00	0.00	370.00	02/01/26	88753:
☒	Needs review	ISF BU	PO-0000...	2	ISF Cust...		ISF Supplier	Sadat	USD	120.00	0.00	120.00	02/01/26	88753:
☒	Needs review	ISF BU	PO-0000...	5	ISF Cust...		ISF Supplier	Sadat	USD	220.00	0.00	220.00	02/01/26	88753:

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

< Charge Invoice Associations

Search by invoice number, charge name, or supplier

Procurement BU ISF BU X Missing Charge Name Missing Charge References Association Status Invoice Date Filters Clear (1)

2 Review Trade Operation Charge Lines Associate Charge Lines Update References ...

Unmatched Invoices Partial Matches Needs Review Associated All

Select	Association Status	Procurement BU	Invoice Number	Invoice Line	Charge Name	Missing Charge...	Supplier	Supplier Site	Invoice Currency	Amount in...	Nonrecoverable Tax in Invoice...	Total in Invoic...	Invoice Date	Run Contr...
☒	Needs review	ISF BU	PO-0000...	4	ISF Cust...		ISF Supplier	Sadat	USD	370.00	0.00	370.00	02/01/26	88753:
☒	Needs review	ISF BU	PO-0000...	2	ISF Cust...		ISF Supplier	Sadat	USD	120.00	0.00	120.00	02/01/26	88753:
☒	Needs review	ISF BU	PO-0000...	5	ISF Cust...		ISF Supplier	Sadat	USD	220.00	0.00	220.00	02/01/26	88753:

< Trade Operation Charge Lines

Procurement BU ISF BU Invoice Number PO-00002-LQM Line Number 4 Invoice Date 02/01/26

Invoice Details

Charge Name: ISF Customs Fees Supplier: ISF Supplier Supplier Site: Sadat Invoice Line Type: ITEM

Total Invoice Amount: 370.00 Invoice Currency: USD

Trade Operation Charge Lines

+ Reject

Status	Association Details	Trade Operatio...	Trade Operatio...	Charge Line	Charge Name	Supplier	Supplier Site	Functional Currency	Amount in Function...	Nonrecoverable Tax in Function...	Total in Function...	Actions
☒ Needs review		PO-00002	1	1	ISF Customs Fees	ISF Supplier	Sadat	USD	100.00	0.00	100.00	...
☐ Good match-4		PO-00002	1	3	ISF Bank Charges	ISF Supplier	Sadat	USD	350.00	0.00		Delete
☐ Good match-4		PO-00002	1	2	ISF Miscellaneous	ISF Supplier	Sadat	USD	200.00	0.00		Confirm

And we do the rest in the same way.

Now we go back and run the **Landed Cost** Control, because we need to Confirm the Match.

Then we run it again.

This will start loading the **Actual**, and the Receiving Distribution will begin picking up the Actual at the level of the receipts that occurred.

Now the **Actual** will appear.

Created By: Islam Afify

+2 01060903831

LinkedIn: linkedin.com/in/islam-mahmoud-afify-19239a271

< Landed Cost Run Control

ISF

Procurement BU

Last Process ID

Last Run Date Range

Status

Process ID 8875506 was submitted.

+

Schedule

Refresh

Error or Warning

In Progress

All

☐

ISF All LCM
All landed cost processes

Completed successfully
Last Process ID:8875503
02/01/26 04:26 PM

4/4 Process completed

Commit Limit: 15 000

Duration: 00:00:24

Run Now

< Trade Operations

Try a trade operation name

Procurement BU

Trade Operation Number

Status

Last Update Date

Filters

Create Trade Operation

Update Status

Export All

...

	Procurement BU	Name	Trade Operation...	Status	Transaction Type	Document Currency	Estimated Amount	Actual Amount	Last Update Date	Created By	Actions
☐	ISF BU	PO-00002	1	Open	PO receipt	USD	650.00	710.00	02/01/26 02:06 PM	Islam.Afify	